DENEB

INVESTMENTS LIMITED

Integrated annual report 2024

About this report

Deneb Investments Limited ("Deneb" or "the Group") is proud to present its tenth Integrated Annual Report.

This report aims to provide a balanced and concise understanding of Deneb's underlying investments, how we manage the Group from a corporate governance perspective, its social and environmental impact and our financial performance for the year under review. The Group strives to be an exemplary corporate citizen and commits itself to the highest standards of corporate governance.

SCOPE AND BOUNDARY

The 2024 Integrated Annual Report covers the activities and performance of the Group for the financial year 1 April 2023 to 31 March 2024. The Group operates principally in South Africa and generates the majority of its revenue from South Africa. In addition, the Group has subsidiaries based in Switzerland, Hong Kong and the United Kingdom.

In preparing the Integrated Annual Report, we were guided by IFRS® Accounting Standard, the JSE Listings Requirements and the requirements of the South African Companies Act.

The Group implemented the recommendations of the King IV Report on Corporate Governance for South Africa,

("King IV™") and has further applied the principle of materiality in determining the content and levels of disclosure throughout the Integrated Annual Report.

EXTERNAL ASSURANCE

The board, assisted by the audit and risk committees, is ultimately responsible for overseeing the integrity of the Integrated Annual Report. The Group's external auditors have assured the financial statements and accredited specialist agencies have verified the disclosure on broad-based black economic empowerment, property valuations and carbon emissions. The Group has implemented a combined assurance framework which considers the assurance provided by all independent assurance providers.

APPROVAL OF THE INTEGRATED ANNUAL REPORT

The integrity of the report is the responsibility of the board of directors. The directors confirm that the report is a fair representation of the integrated performance of the Group.

ADDITIONAL INFORMATION

Our 2024 Integrated Annual Report is available online at **www.deneb.co.za**

A printed copy of the financial statement is available on request from **info@deneb.co.za**

Contents

Prima Interactive: Thrustmaster steering wheel.

Company profile

Deneb Investments Limited is a diverse investment company operating predominantly in southern Africa and is listed on the JSE under the Financial Services – Diversified Financial Services.

BRANDED PRODUCT DISTRIBUTION

This segment is responsible for the sourcing and distribution of branded products. The businesses operating in this segment include Butterfly Products, Oops, Prima Interactive, Prima Toys, HTIC, Sirius Sales and Seartec. These enterprises supply and distribute an extensive selection of prestigious brands predominantly to the South African consumer. See pages 4 to 11.

Executive management:
Paul Cook, Ian Hepplewhite, John Jordaan, Juan Laubscher, Steven Ho, Farrel Nussbaum

PROPERTY

Vega Properties owns and manages a portfolio of predominately industrial properties situated in KwaZulu-Natal, Western Cape, Limpopo and the Eastern Cape, with a market value in excess of R1,4 billion. See pages 12 and 13.

Executive management:
Keith Robson

MANUFACTURING

Manufacturers of a wide variety of mainly industrial products for the automotive, construction, agricultural, mining, retail and hospitality industries. The businesses operating in this segment include Formex Industries, Premier Rainwatergoods, Romatex, Integrated Polypropylene Products, Custom Extrusion, Brits Nonwoven, Gold Reef Speciality Chemicals, Blue Reef Water Solutions and Explorius. See pages 14 to 23.

Executive management:
Riaan Coetzee, Sarah Doyle, Claude du Plessis, Piet van Wyk, Hennie Venter, Gary Moses, Rowan Smit

Butterfly Products: Staff posing with products.

Business segments

Branded Product Distribution

Butterfly Products: Product range.

BUTTERFLY PRODUCTS

Butterfly Products has the singular goal to simplify life through products that are creative, practical and easily accessible through the mass and independent retail sectors.

Butterfly has established itself as a valued contributor of over 2 000 products in local supply chains. It sources finished goods or outsources the manufacture for its range of school, office stationery and children's publishing categories for supply within South Africa. More recently, Butterfly has expanded its offering to international markets in a collaboration with a fellow subsidiary, Oops Global.

The most significant success to date is the local manufacture by a fellow subsidiary of the Butterfly Pocket File. Majority market share has been achieved as a result of its innovative and high-quality products.

Butterfly's agility allows it to serve the latest designs and product innovations in short cycles. This ability to pivot and quickly adapt to consumer demand has allowed it to expand into new categories such as lunchware, hydration bottles and accessories in record time.

www.butterflysa.co.za

OOPS GLOBAL

Oops Global is a Swiss-registered company with its headquarters based in Chiasso.

Oops, in a recent collaboration with fellow subsidiary company Butterfly Products, now expanded its product range to distribute baby, lifestyle and scholastic products under the Butterfly brand to markets worldwide.

The collaboration of these two companies allows them to leverage each other's core competencies while further developing their existing strengths, infrastructure and supply chains.

What this means for everyday consumers is that they can trust that the products supplied are the latest in designs and product composition.

Some innovative and exciting products are in the pipeline, notably the recycled and eco-friendly scholastic products which are entirely made in South Africa, by another fellow subsidiary, from recycled plastic bottles!

www.oops-global.com

Business segments
(continued)

Branded Product Distribution

PRIMA INTERACTIVE

Prima Interactive was established in 2009 as a distribution company focused on the supply of gaming software to retail.

Over the past 15 years Prima Interactive's suite of products has continued to evolve, adapting to market trends and customer needs. From a business focused primarily on gaming software, Prima has now expanded into the distribution of IT products and services.

The IT division has secured the distribution for Epson consumer products, which includes the market-leading Epson Ecotank printer and the world-leading Epson projector. In addition, Prima offers a range of Epson business machines to the distributor channel. Included in the IT products and services range is Microsoft Surface devices, which provide consumers with the ultimate Windows experience and will soon be launching the most advanced AI computers to the consumer market under the Co Pilot + PC banner.

In 2023 the business was awarded the distribution of Rapoo PC accessories. Rapoo is a technology company that is the market leader in China.

With the shift of software distribution from physical goods to digital, Prima's partnership with Epay Worldwide is establishing itself as the leader in retail distribution of digital software. Prima Interactive/Epay are integrated into the systems of leading retailers to offer a range of products including Microsoft 365 subscriptions, antivirus products such as Kaspersky, and gift vouchers for PlayStation, Xbox and Steam digital stores. This range is constantly expanding with the ultimate goal being to offer a full gift card mall to South African consumers.

The hardware range has expanded to add Acer Nitro and Predator gaming notebooks, Steamdeck handheld mobile PCs, alongside the range of Xbox consoles.

The accessory range now includes GameSir, the No. 1 Amazon Xbox/PC controller, Thrustmaster which is the world leader in flight simulation accessories and racing wheels, Next Level Racing and Flight sim seats, Rapoo V series PC gaming accessories, as well as the range of first-party Xbox accessories from Microsoft.

Prima Interactive's gaming software range includes several publishers which make games for all platforms including Xbox, PlayStation, Nintendo and PC. These publishers include Namco Bandai, Square Enix, Take 2 Interactive who makes games like GTA and WWE, and Activision Blizzard which makes Call of Duty.

The business is positioned as a full-service distributor to retail and, now, channel which offers brand marketing and key account sales services, backed up in retail with its own field marketing team. The management team has extensive experience working with brand distributors and multinationals and has built a distribution solution that meets the needs of companies that require valued-added services to support their brands in South Africa.

Our product range embodies our company mantra of "Work Print Play".

www.primainteractive.co.za

Prima Interactive: Xbox controller.

Prima Interactive: laptop

Prima Toys: Paw patrol.

Business segments
(continued)

Branded Product Distribution

PRIMA TOY AND LEISURE TRADING

"Where the Magic Keeps Coming."

Prima Toy and Leisure Trading is a specialist distributor that imports, warehouses and sells branded toy and leisure products into the South African retail sector.

Prima is a long-established business which continues to enjoy loyal and lasting relationships with its major international suppliers, some of which have been in business together for more than 30 years. Prima's sound reputation affords the business first access to many of the top international toy brands on offer.

Prima's distribution network is well developed and covers more than 2 000 retail doors, including wholesale, mass-market, specialist and online retail channels. The business distributes many high-margin specialist brands, as well as traditional high-volume key value items ("KVI") products into mass-market channels.

Prima are market leaders in their approach to promoting brands, consistently earning numerous best-in-class awards from international suppliers. Their command in securing prime retail shelf space, enhancing in-store brand presentations and implementing demand-push advertising strategies gives them a distinct competitive edge.

Prima Toy and Leisure Trading is in the FUN business. Their mission is to deliver smiles to consumers, through marketing exceptional brands and products, with an unparalleled service proposition to retail customers.

www.primatoys.co.za

HTIC – HONG KONG

HTIC is a China sourcing and logistics operation, based in Kowloon, Hong Kong.

It focuses primarily on sourcing products for the Prima Toy and Leisure Trading business, but also assists the Deneb group of companies to establish commercial relationships with suppliers and manufacturers in the Far East.

HTIC has an administration office and showroom based in Kowloon, and over the many years of trading has developed a strong sourcing network of manufacturers operating out of the various regions in China.

The management at HTIC has a strong service delivery ethic, they understand the South African market intimately, and enjoy longstanding and fruitful relationships with their retail customers in South Africa.

HTIC has recently entered into business arrangements with a number of sales representatives from the US, South America and Canada, with a mind to broadening their sourcing and service operations outside of the South African market.

Business segments
(continued)

Branded Product Distribution

Sirius Sales: Product display.

SIRIUS SALES

Sirius Sales is a specialist merchandising, sales and distribution business, with in-depth knowledge of the South African retail landscape and longstanding relationships with South African retailers. The merchandising service is provided on a roving basis, supported by centre-based permanent merchandisers. The company operates in both the non-foods and foods divisions of most major mass-market retailers in South Africa.

In line with international trends, the company recently secured the rights to develop a range of licensed/branded pet accessories and a large percentage of the new pet accessories range is locally manufactured. Supporting local industry and job creation is a key part of the strategy, with a long-term goal to export internationally. The company is also developing its very own range of pet toys and accessories under its homegrown “Bubbles & Zeus” brand, which will be introduced in to the South African market during the second half of 2024.

www.siriussales.co.za

SEARTEC TRADING

Seartec is one of South Africa's fastest-growing office automation businesses and serves thousands of customers throughout South Africa on a daily basis. The business consist of two divisions – asset rental and consumable distribution.

The asset rental division, with its unique 30-day notice flexible rental solutions, remained on a satisfactory growth path. Its creative solutions provide an attractive alternative to the traditional onerous and inflexible 60-month rental copier contract. This flexible product provides customers with a desirable, flexible, competitively priced and technologically relevant solution. In a fast-paced world, technological changes are unavoidable and keeping up with such changes, whilst avoiding infrastructural obsolescence, is even more challenging. Seartec provides a unique solution to this challenge with its flexible product offering, which is attractive to both the corporate and the small, medium and micro enterprise ("SMME") sectors alike.

The office consumable distribution division is focused on reliably delivering high-quality aftermarket product support for various office automation original equipment manufacturer ("OEM") brands. In addition, distribution rights have been obtained for Katun®, which is arguably the best-known aftermarket brand in the office automation industry. Focused on top-tier brands, this division will continue with the progressive expansion of its product range, sales and service coverage.

www.seartec.co.za

Seartec: Epson Multifunctional printer.

Business segments
(continued)

Property

VEGA PROPERTIES

Vega Properties' primary strategy is the acquisition and development of second-tier industrial property and the development of second-tier industrial properties into multi-tenanted industrial parks.

In the year under review Vega disposed of one non-core property in the Western Cape, with two further properties identified to be sold in the current year and held for sale at year-end, both in KwaZulu-Natal. Vega is not under any pressure to sell these properties and is content to wait until its target price is achieved. However, the intention remains to consolidate to a core portfolio of value-add investment properties consisting of second-tier industrial multi-tenanted industrial parks and industrial properties occupied by Deneb subsidiaries.

Vega is well advanced with its feasibility to provide off-grid energy and water solutions at its large New Germany Industrial Park in KwaZulu-Natal, the successful implementation of which it is intended to replicate at its Western Cape-based industrial parks. This will ensure sustainability and self-sufficiency of the portfolio to the benefit of its tenants.

www.vegaproperties.co.za

Vega Properties: New Germany Industrial Park, KwaZulu-Natal.

Formex Industries: Robotic welding for bolster assembly.

Business segments
(continued)

Manufacturing

FORMEX INDUSTRIES

Formex is a leading manufacturer of automotive components in South Africa.

Formex plays a core role in this industry, supplying automotive parts, completed assemblies and tubular products to various global automotive brands. The last year has seen many milestones surpassed for the company and their longstanding relationships with direct and indirect customers are a testament to the company's growth strategy and leadership.

Formex's recent investments in facilities

In this financial year Formex completed all the technology and manufacturing expansion projects (worth over R140 million) that it had announced last year. These upgrades have put Formex in a key position to respond to emerging export markets.

Formex can now boast one of the biggest presses in the southern hemisphere with its a new 1 600 ton auto transfer press at the Struandale plant. The second 1 000 ton press announced last year is also operational and, as a result, is now internationally competitive for body shop stampings, which is important in the shift away from traditional internal combustion engine components.

Recent localisation initiatives

Due to its recent investment in new machinery, Formex can meet future industry capacity requirements primarily including the metal presses. This will open new opportunities for the company as it grows its output and manufacturing capabilities.

The business has now fully launched all its new projects (Mercedes-Benz, Ford, Toyota and VWSA) and it still has available capacity that can produce a further 8 million in large stampings. This not only bodes well for local job creation, but establishes a long-term commitment to the country and local component suppliers.

Formex and Naacam

Formex's own Mihlali Sogoni was also elected to the National Executive Committee ("NEC") of the National Association of Automotive Component and Allied Manufacturers ("NAACAM"). The NEC are responsible for the strategic leadership decisions which affect all member companies of the association, including Formex Industries.

NAACAM is the voice of the South African automotive component industry, both domestically and internationally. Formex has benefited in several ways from the association. As Commercial Executive, Mr Sogoni had numerous engagements with the association before his appointment to the NEC.

This allows Formex to align its strategies and contribute more meaningfully to the industry. Alongside this association Formex has built a reputation for excellence, innovation and reliability over the years.

www.formex.co.za

Business segments
(continued)

Manufacturing

PREMIER RAINWATERGOODS

Premier Rainwatergoods is a proudly South African company with more than 30 years' experience in the industry. The business specialises in the manufacturing and nationwide supply of a broad range of products to the building and plumbing industries.

The company has a well-equipped, highly efficient 9 500 m^2 manufacturing plant with state-of-the-art automated and semi-automated roll forming machines. Stringent quality systems ensure that consistent high standard finished products are continuously supplied. Its product range includes:

- Rainwater goods
- Galvanised guttering
- Ceiling accessories
- Roofing accessories
- Drywall products
- Specialised custom-made products
- Flooring and building accessories

Our newly acquired state-of-the-art machines include:

- Laser and pipe cutting machine
- Laser welding machine
- Light steel frame machine
- Foam fascia and cladding machine (Chromadek and polyurethane)

Acquiring these machines means that Premier Rainwatergoods can now expand its product range to the building industry with more efficient and cost-effective building materials and building solutions.

Premier prides itself on service delivery. Its footprint consists of the whole of South Africa and most of the direct neighbouring countries.

www.rainwatergoods.co.za

Premier Rainwatergoods: Roll forming machine that manufactures metal sheeting profiles.

Manufacturing

Romatex: Stenter finishing oven.

ROMATEX

Romatex is a leading manufacturer of household textiles and stitchbonded fabric within the South African market. The business's highly mechanised facility is based in Cape Town and supplies a broad spectrum of customers covering retail, hospitality and geotextiles.

Romatex has over 50 years of superb experience in the home textile industry and is a key supplier into the retail and hospitality sectors, supplying a variety of both natural and synthetic duvets, pillows, mattress protectors and bed linen. All our products are locally manufactured, allowing us to manage the process and ensure delivery of high-quality products at competitive prices.

Our locally manufactured non-woven 100% polyester stitchbond plant has expanded its manufacturing capabilities and now offers various high-quality industrial products. These products include waterproofing, footwear, mattresses, geotextiles and its more recent use as a base fabric for plastic replacement shopper bags. It is versatile, durable, cost-effective and, best of all, made from recycled fibre, thereby reducing single-use plastic. Every year, we consume circa 60 million plastic bottles worth of rPET fibre, making a significant impact in the reduction of plastic waste to landfill.

The multifaceted nature of Romatex is key to its success. The factory is the beating heart of Romatex, and recent equipment upgrades and investment in the facility have enabled us to expand our product offerings and output to meet increasing market demand.

www.romatex.co.za

Business segments
(continued)

Manufacturing

INTEGRATED POLYPROPYLENE PRODUCTS

Integrated Polypropylene Products ("IPP") is a major contributor to South Africa's polypropylene extrusion and bulk bag manufacturing industry. They have experienced continuous growth and expansion over recent years, despite the various economic challenges faced in South Africa.

IPP continues to manufacture and supply world-class PP fabric and bulk bags to the local market and the rest of Africa. The business now has a total extrusion and weaving capacity of over 8 000 tons per annum, but not all of this is converted into bags. Fabric is also distributed to the mining industry and to other smaller bag manufacturers. The business' bag-making operation, Custom Bulk Bags ("CBB"), has the capacity to manufacture up to 3.5 million bulk bags per annum and continues to supply four sectors: mining, chemical, food and agriculture.

Sustainability, excellent customer service and quality are the three main pillars of the company's business model. Through these principles the business is able to successfully meet client expectations with superior service delivery. The business is an extended producer responsibility ("EPR") member of Polyco, which is a non-profit company that focuses on turning waste into a valuable resource for the economy.

Commission of new equipment

During the year IPP commissioned a new extruder, which enabled the company to increase its tape production capacity. It also installed new circular looms, which further boosted the output of polypropylene fabric.

In terms of sustainability, IPP has been using solar power to mitigate load-shedding and this is an area earmarked for further expansion. The company also benefited from rainwater harvesting and its recycling plant reduces its environmental impact and waste.

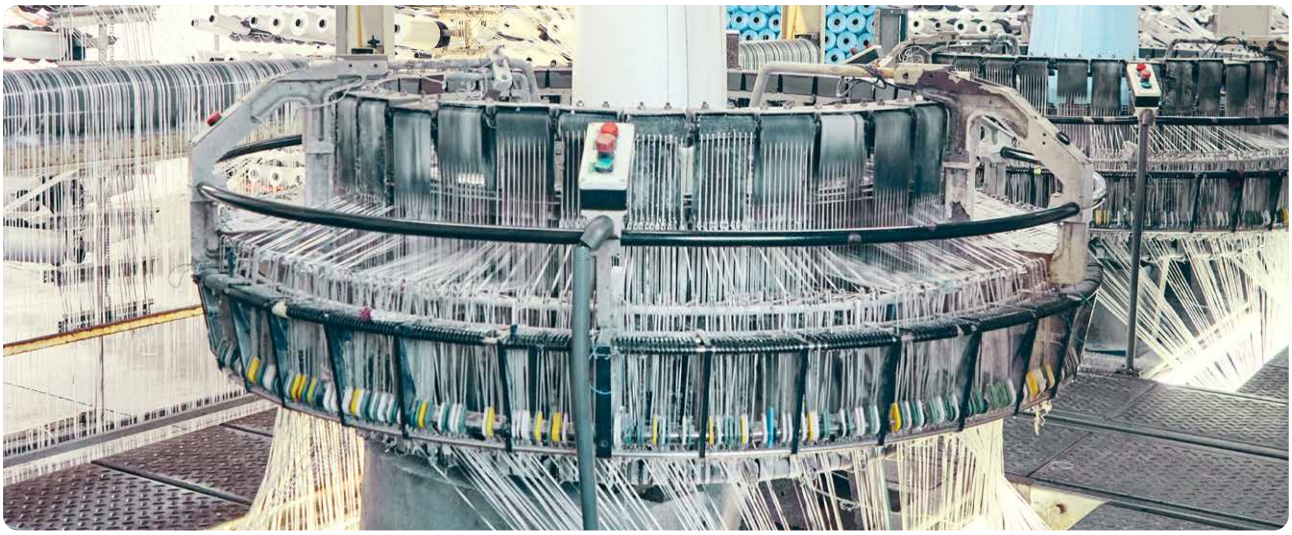
The Bloemfontein facility has brought the business closer to a variety of key customers in that region of the country and has helped to minimise lead times and mitigate production interruptions. All of these investments have enabled the company to boost its production capacity and improve the overall quality and standard of its products throughout the last financial year.

IPP produces world-class bulk bags

The bulk bags meet stringent testing requirements and have a minimum 5:1 safety factor rating. Using precision manufacturing and rigorous quality control processes, the bulk bags are extremely safe to use for various applications. IPP holds ISO 9001 certification for quality management and has a number of UN-certified bulk bag designs, accredited through Ten E.

IPP continually benchmarks itself against international competitors and ensures that it attains quality certifications using globally recognised testing houses like Labordata from Braunschweig, Germany.

www.poly-prop.co.za



Polypropylene Products: Polypropylene loom.

BRITS NONWOVEN

Brits Nonwoven is a manufacturer of specialist non-woven and energy-efficiency products with production facilities in Durban, Cape Town and Johannesburg. Brits sells innovative and eco-sustainable non-woven products and energy-efficiency products into a diverse range of local, regional and international markets.

The key focus is on recycling and circularity in the textile market and improving energy usage in building products. As a result a significant portion of the input raw materials are from a recycled base and 100% of our non-woven finished products can be fully repurposed into new non-woven end products again.

The engineered solutions are specifically designed to service the following market sectors:

- Apparel: Lofted linings for jackets, shoulder padding and jacket fronts
- Automotive products: Seat interlayer, bonnet liner, interior trims, trunk liners, parcel shelves and wheel house liners
- Blankets: Transport protection, pet care and utility blankets
- Building insulation: Sound absorption and thermal insulation products – Isotherm and Granric brands
- Filtration: Pocket-filter media and filter mats
- Flooring: Underlay felt and non-slip products
- General industrial applications
- Mattress components: Foam replacement pads, mid and spring protector pads
- Quilting: General quilt backers for home textiles
- Upholstery: Various wadding grades for all applications

Brits is registered with the Department of Environment, Forestry and Fisheries Affairs as an approved textile waste processing facility. It currently converts 100 – 150 tons of discarded textile products and second-hand clothing, per month, back into shoddy flock for conversion into new recycled products. Every year this prevents these large volumes of products ending up as landfill. New recycling initiatives include agreements with mines and petrochemical companies to recycle their workwear into flame-retardant non-woven products which find new applications in thermal barriers and fire-retardant insulation.

New developments for launch in 2024 include an expanded range of non-combustible insulation and acoustic products as well as an expanded range of flame-retardant non-woven products.

www.brits.co.za

Brits Nonwoven: Thermobonding machine which manufactures polyester nonwovens.

Gold Reef: Shear testing adhesive in a tensile tester.

Business segments
(continued)

Manufacturing

BLUE REEF WATER SOLUTIONS

Blue Reef delights its customers by working closely with them to identify the most efficient and effective means to achieve world-class, sustainable solutions to their water treatment opportunities.

The business has continued to expand not only in terms of revenue, but also its customer base and the geographic footprint of its customers. This expansion is underpinned by its philosophy of G-R-O-W: “Generating Recycling Opportunities for Water”. Practically, this means not only addressing the symptoms of a particular problem but also understanding the upstream impacts that cause the symptoms, thus often eliminating the problematic symptoms experienced downstream. This is particularly true of the effluent markets which we serve.

The potable market has continued to be a strong contributor to the results. Research and development efforts have seen the company make inroads into new markets, notably the European market which presents attractive expansion prospects for the business. Work is also under way to expand into complementary markets.

Strategic partnerships are seen as key elements in the business expansion and good progress was made in these areas through the course of the year. Blue Reef will build on these foundations through the coming financial year.

www.bluereef.co.za

GOLD REEF SPECIALITY CHEMICALS

For 45 years Gold Reef Speciality Chemicals has created sustainable value for all stakeholders by providing tailor-made chemical-based solutions to satisfy the needs of our extensive and diverse range of customers. The business distinguishes itselves as the partner of choice through its bespoke solutions offering. Trusted relationships are underpinned by providing high-end technology solutions and superior quality products which are backed with excellent service and competitive pricing.

Gold Reef’s expertise in the polymerisation of acrylic and vinyl acetate co-polymers, homo-polymers and surfactants continue to expand, with the business firmly focused on the development of unique and differentiated products while continuing to supply customers in the traditional coatings and adhesive markets. To this end the business continued to expand its laboratory capabilities with the continual upgrading and replacement of laboratory equipment.

The past year has seen pleasing growth in new markets, and the business looks forward to accelerating this performance in the new year.

Gold Reef continues to maintain a broad range of industry accreditations and associations in support of the diverse markets that it serves:

- ISO 9001:2015
- ISO 14001:2015
- BS EN 204:2001
- Class D3 Adhesives – FIRA evaluated
- Responsible Care signatory, Ecovadis Sustainability – Silver Status
- Halaal Certification, Kosher Certification
- Executive member of the Durban Chemical Cluster

www.gold-reef.co.za

EXPLORIUS

Explorius has evolved through the past year in the wake of its extensive research and development activities into a business which not only provides environmental solutions to convert mining and industrial waste into fuel, but also biomass into fuel and other value-added products for a diverse range of markets ranging from agriculture to water treatment. Its unique patented process technologies provide a technology and efficiency advantage while its mobile agglomeration plant, a key differentiator from competitors, has proven itself in the field during the past year. Despite this positive progress, the business is still considered to be in its start-up phase.

The well-equipped laboratories provide the ability to customise binders to specific applications while in-house calorimeter testing gives quick progress results to optimise the energy content of its fuels.

Diversification into alternate input materials, notably biomass, has grown the range of customers who can benefit from the company’s waste conversion technology, while it has also created a whole new range of distribution opportunities for an expanded range of products into new markets such as agriculture, pet care and water treatment.

www.explorius.co.za

Financial highlights

for the year ended 31 March

Rand thousands, unless otherwise indicated		2024	2023	2022	2021	2020
Revenue from continuing operations		**3 527 707**	3 289 787	2 879 541	2 603 554	2 871 599
Profit from continuing operations		**100 658**	140 809	127 691	129 581	1 880
Profit/(Loss)		**100 658**	135 101	124 393	124 089	(129 340)
Comprehensive income/(loss) attributable to shareholders		**118 212**	142 813	127 612	128 788	(122 361)
Equity attributable to equity holders		**1 855 788**	1 781 557	1 678 902	1 577 794	1 464 010
Total tangible assets (excluding cash and deferred tax)		**3 176 460**	3 271 685	3 004 834	2 797 200	2 957 526
Net interest-bearing borrowings		**856 005**	978 842	790 177	852 587	1 065 428
Net interest-bearing borrowings (excluding lease liabilities)		**746 997**	855 317	688 881	737 155	938 839
Ratio of net interest-bearing borrowings to total equity	(%)	**46**	55	47	54	73
Ratio of net interest-bearing borrowings (excluding lease liabilities)	(%)	**40**	48	41	47	64
RATIOS						
Profitability						
Operating profit as percentage of revenue – continuing operations	(%)	**7,1**	8,6	8,3	8,1	3,8
Profit for the period as percentage of revenue – continuing operations	(%)	**2,9**	4,3	4,4	5,0	0,1
Return on investments (comprehensive income attributable to shareholders)*	(%)	**3,7**	4,4	4,2	4,6	(4,1)
Return on shareholders' interest**	(%)	**6,4**	8,0	7,6	8,2	(8,4)
Leverage						
Ratio of borrowings to capital and reserves	(%)	**40**	48	41	47	64
Liquidity						
Current ratio		**2,0**	1,8	1,4	1,5	1,0
Solvency ratio	(%)	**23,6**	22,3	22,4	20,1	11,3
Finance charges cover		**2,0**	3,2	3,8	2,8	0,9
Productivity						
Total assets turnover ratio		**1,1**	1,0	1,0	0,9	1,0
Number of employees (continuing operations)		**2 680**	2 394	2 271	2 305	2 581
Revenue per employee (continuing operations)	(Rand)	**1 316 309**	1 374 180	1 267 962	1 129 525	1 112 592
Operating profit per employee	(Rand)	**93 722**	117 518	105 573	91 959	41 761
Assets per employee	(Rand)	**1 185 246**	1 366 619	1 323 133	1 213 536	1 145 884
Operating cash generated per employee	(Rand)	**72 638**	55 338	55 650	90 495	154 595

Revenue and total tangible assets (excluding cash and deferred tax)

	Revenue				Total tangible assets (excluding cash)			
	2024		2023		2024		2023	
Segment	Rm	%	Rm	%	Rm	%	Rm	%
Branded Product Distribution	**1 329**	**38**	1 327	40	**489**	**15**	592	18
Properties	**155**	**4**	141	4	**1 486**	**47**	1 509	46
Industrial Product Manufacturing	**1 220**	**35**	1 168	35	**766**	**24**	669	20
Automotive Parts Manufacturing	**823**	**23**	654	20	**410**	**13**	497	16
Discontinued operations	**–**	**–**	22	1	**–**	**–**	–	–
Head office	**–**	**–**	–	–	**25**	**1**	5	–
	3 527	**100**	3 312	100	**3 176**	**100**	3 272	100

* *Comprehensive income/(loss) attributable to shareholders/total tangible assets (excluding cash).*
** *Comprehensive income/(loss) attributable to shareholders/total equity.*

	2024 R000's	2023 R000's	2022 R000's	2021 R000's	2020 R000's
OPERATIONS					
Revenue	**3 527 707**	3 289 787	2 879 541	2 603 554	2 871 599
Operating profit before finance costs	**251 175**	281 337	239 757	211 965	107 786
Net finance costs	**(123 316)**	(88 416)	(63 896)	(75 365)	(125 496)
Profit/(Loss) before taxation	**127 859**	192 921	175 861	136 600	(17 710)
Taxation (expense)/income	**(27 201)**	(52 112)	(48 170)	(7 019)	19 590
Profit from continuing operations for the year	**100 658**	140 809	127 691	129 581	1 880
Loss from discontinued operations for the year	**–**	(5 708)	(3 298)	(5 492)	(131 220)
Profit/(Loss)	**100 658**	135 101	124 393	124 089	(129 340)
Comprehensive profit/(loss) attributable to shareholders	**118 212**	142 813	127 612	128 788	(122 361)
CASH FLOW					
Cash generated from operations	**194 671**	132 478	126 382	208 590	399 009
Net cash flow from investing activities	**(17 128)**	(232 359)	(28 584)	(52 035)	(99 519)
Net cash from financing activities	**(117 980)**	71 334	(80 696)	(45 421)	(58 597)
FINANCIAL POSITION					
Capital and reserves	**1 855 788**	1 781 557	1 678 902	1 577 794	1 464 010
Net interest-bearing borrowings – continuing operations	**746 997**	855 317	688 881	737 155	938 839
Other non-interest-bearing debt (excluding deferred liabilities)	**488 635**	557 936	600 587	453 159	466 663
Net working capital (excluding cash)	**543 736**	559 513	310 149	468 594	586 182
Total tangible assets (excluding cash and deferred tax)	**3 176 460**	3 271 685	3 004 834	2 797 200	2 957 526
Value of property portfolio	**1 434 015**	1 476 359	1 415 941	1 443 827	1 380 978

Profit before finance costs and return on total tangible assets (excluding cash and deferred tax)

	Profit before finance costs				Return on tangible assets (excluding cash and deferred tax)	
	2024		2023		2024	2023
	Rm	%	Rm	%	%	%
Branded Product Distribution	**63**	**25**	71	26	**13**	12
Properties	**127**	**51**	116	42	**9**	8
Industrial Product Manufacturing	**53**	**21**	87	32	**7**	13
Automotive Parts Manufacturing	**52**	**21**	45	16	**13**	9
Discontinued operations	**–**	**–**	(6)	(2)	**N/A**	N/A
Head office	**(44)**	**(18)**	(38)	(14)	**N/A**	N/A
	251	**100**	275	100		

Financial highlights
for the year ended 31 March (continued)

Statistics per share in cents, where applicable		2024	2023	2022	2021	2020
Headline earnings/(loss)		**22,54**	28,02	32,54	23,17	(8,92)
Headline earnings – continuing operations		**22,54**	29,33	31,27	22,41	12,69
Headline earnings/(loss) – discontinued operations		**–**	(1,31)	1,27	0,76	(21,61)
Basic earnings/(loss)		**23,06**	31,01	28,56	28,64	(29,24)
Basic earnings – continuing operations		**23,06**	32,32	29,32	29,90	0,96
Basic loss – discontinued operations		**–**	(1,31)	(0,76)	(1,26)	(30,20)
Comprehensive income/(loss)		**26,96**	32,68	29,30	29,60	(28,16)
Cash flow from operating activities		**44,39**	30,32	29,02	47,94	91,84
Cash flow from operating activities before working capital changes		**77,42**	78,86	71,90	59,87	38,63
SHARE STATISTICS*						
Weighted average number of shares issued	(000's)	**438 536**	436 994	435 552	435 073	434 473
Distribution	(cents)	**10,0**	9,0	7,0	4,0	3,0
Headline earnings/(loss) yield at period-end	(%)	**9,8**	12,9	16,4	16,6	(6,4)
Dividend yield at period-end	(%)	**4,4**	4,1	3,5	5,0	2,1
Net asset value per share	(cents)	**424**	406	385	363	337
Total number of shares traded	(000's)	**2 745**	6 043	2 233	15 423	16 976
Total value of shares traded	(R000's)	**6 086**	13 033	3 981	26 305	34 957
Percentage of issued shares traded	(%)	**0,6**	1,4	0,5	3,5	3,9
Market price – Highest – ordinary	(cents)	**241**	233	245	200	250
– Lowest – ordinary	(cents)	**167**	198	125	70	140
– Period-end – ordinary	(cents)	**229**	217	198	140	140

* *Refer to Analysis of Shareholders on page 134.*

Value-added statement

for the year ended 31 March

	2024 R000's	2023 R000's
Cash derived from revenue	**3 526 313**	3 298 059
Paid to suppliers for materials and services	**2 315 145**	2 229 942
Cash value added	**1 211 168**	1 068 117
Interest received	**1 370**	1 624
Total wealth created	**1 212 538**	1 069 741
Distributed as follows:		
Employees		
Administration	**162 703**	228 340
Production	**326 876**	263 360
Sales	**112 218**	99 209
	601 797	590 909
Providers of capital		
Interest paid on borrowings	**124 686**	90 040
Distribution to shareholders	**43 832**	39 210
	168 518	129 250
Monetary exchanges with government		
Taxation (including customs and excise duty)	**54 270**	52 132
PAYE	**98 652**	123 054
VAT	**103 191**	64 427
Incentives	**(8 561)**	(22 509)
	247 552	217 104
Retained to develop future growth	**194 671**	132 478
Total wealth distributed	**1 212 538**	1 069 741

Value added is a measure of the wealth that the Group has created in its letting, manufacturing and distribution operations by adding value to the cost of its raw materials and services purchased.

The statement above shows how that wealth was created, and also how it was shared between employees and the providers of funds to the Group.

The statement takes into account the amounts retained and reinvested in the Group for the replacement of assets and the development of future operations.

Distribution of wealth	2024 %	2023 %
Employees	**49,6**	55,2
Government	**20,4**	20,3
Retained	**16,1**	12,4
Lenders	**10,3**	8,4
Shareholders	**3,6**	3,7
	100,0	100,0

Directors' profiles

EXECUTIVE DIRECTORS

Stuart Queen (51)

CHIEF EXECUTIVE OFFICER

BCompt (Hons), CA (SA)

Stuart was appointed to the board on 21 June 2013. Prior to that, he served as the chief executive officer of Seardel Investment Corporation Limited and as the chief financial officer of Johnnic Holdings Limited. Additionally, Stuart currently serves as a member of the executive and risk committees.

Gys Wege (49)

CHIEF FINANCIAL OFFICER

BCompt (Hons), CA (SA)

Gys was appointed to the board as financial director on 21 June 2013. Before joining the board, he held several senior financial positions within the automotive logistics industry and served as the financial director of Seardel Investment Corporation Limited. Currently he is a member of the executive, risk, and social and ethics committees.

NON-EXECUTIVE DIRECTORS

John Copelyn (73)

CHAIRPERSON

BA (Hons), BProc

Johnny was appointed to the board on 10 October 2014. Having joined Hosken Consolidated Investments Limited ("HCI") as chief executive officer in 1997, he brought with him a wealth of experience. Prior to this role, Johnny served as a member of Parliament and general secretary of the Southern African Clothing and Textile Workers' Union ("SACTWU"). In addition to his role as chairperson of Tsogo Sun Gaming, Southern Sun and eMedia Holdings Limited, he serves as the non-executive chairman of Montauk Renewables Inc. Johnny is also a member of the Deneb remuneration committee.

Dave Duncan (69)

BCom

Dave was appointed to the board as chief operating officer ("COO") on 10 October 2014. After retiring from his position as COO of Deneb Investments in December 2020, he transitioned to a non-executive director role on the board. With over 30 years of experience in the manufacturing sector, Dave brings a wealth of knowledge to the board.

Kevin Govender (53)

BCompt (Hons)

Kevin was appointed to the board on 10 October 2014. His tenure with HCI dates back to 1997, during which time he has held multiple directorships within the HCI Group, including eMedia Holdings Limited and Frontier Transport Holdings Limited. In addition to his role as a non-executive director at Montauk Renewables Inc, Kevin also serves as a trustee of the HCI Foundation.

Yunis Shaik (66)

BProc

Yunis joined the board on 10 October 2014 and currently serves as an executive director of HCI, as well as director of Tsogo Sun Gaming and chairperson of Frontier Transport Holdings Limited.

Prior to his appointment at HCI, he practised as an attorney at the High Court and served as an acting judge in the Labour Court. Additionally, Yunis has previously held the position of deputy general secretary of SACTWU and also served as a senior commissioner to the Commission for Conciliation, Mediation and Arbitration in KwaZulu-Natal.

Directors' profiles
(continued)

INDEPENDENT NON-EXECUTIVE DIRECTORS

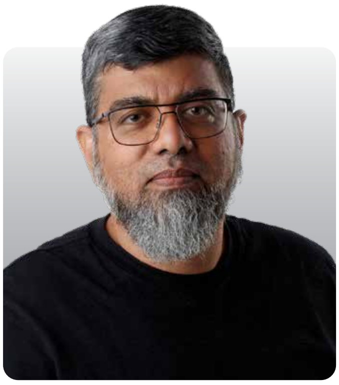
Naziema Jappie (63)

PhD (Education), MSocSc (specialising in Industrial and Labour Studies), BSocSc (Hons), PGDip (Higher Education)

Naziema, appointed to the Deneb Investment board in October 2014, brings extensive expertise in higher education management and research, labour law, mediation and conflict resolution. With a background spanning roles such as National Education Officer at SACTWU, executive director at Durban University of Technology, and Dean of Students at the University of the Witwatersrand, she currently serves as director at the Centre for Educational Assessments ("CEA") and Deputy Dean at the Centre for Higher Education and Development ("CHED") at the University of Cape Town ("UCT"). She actively contributes to committees including audit, risk, social and ethics, and remuneration, and holds positions as a board member for African Sun Media and as the Honorary Consul for the Republic of Maldives.

Koktsi Faith Mahloma (Faith) (71)

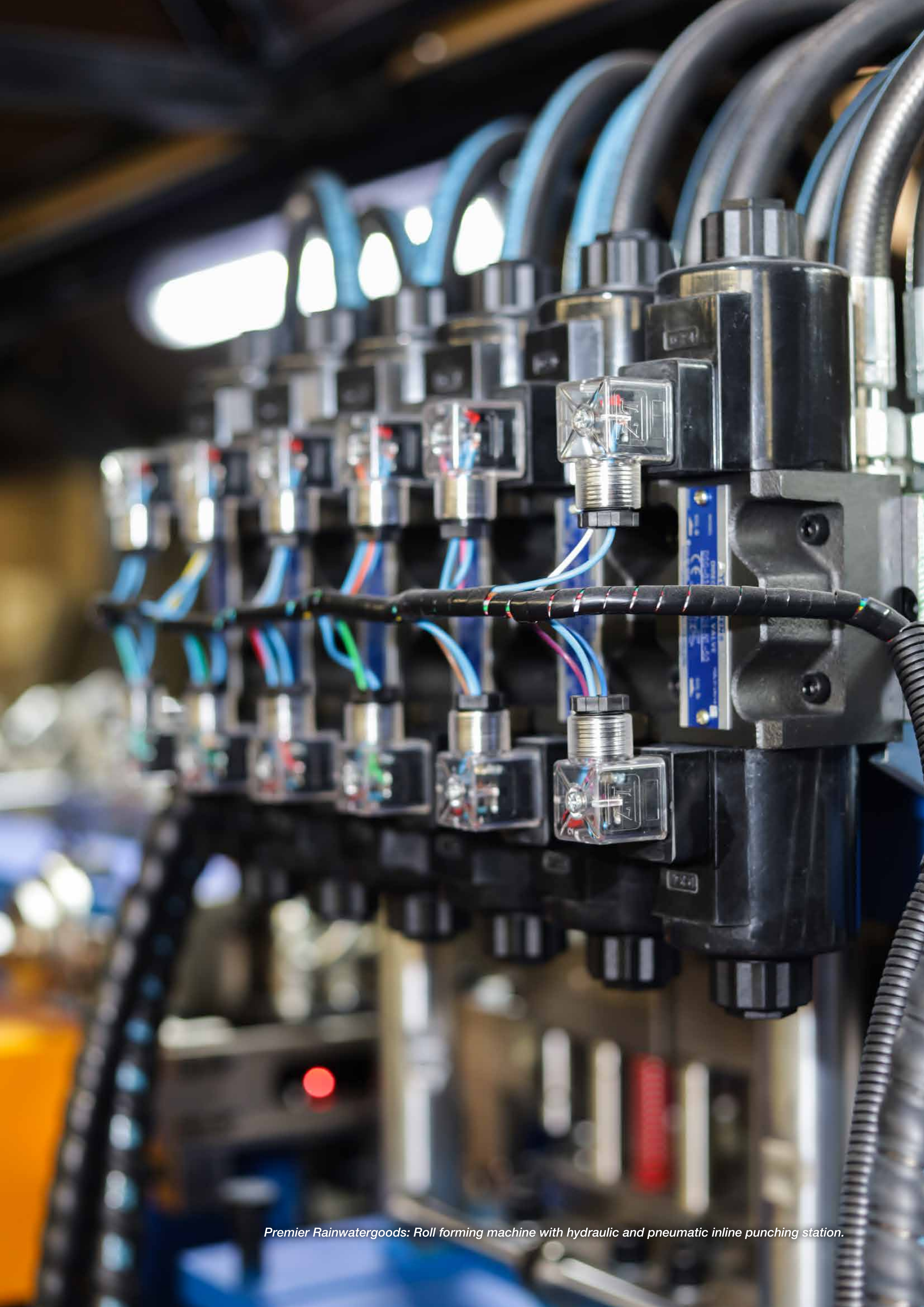
Faith was appointed to the board on 20 May 2019. Prior to her appointment she held the role of a senior shop steward for 20 years until 2001 whilst serving as an executive member of COSATU and vice president of SACTWU from 1987 to 2001. Additionally, Faith was an executive member of the National Economic Development and Labour Council from 1997 to 2001 and has served as a member of Municipal Public Accounts Committee, the Germiston Pension Fund Committee and dedicated a decade to her role as a ward councillor before resigning in 2016. Her directorship roles included Zenzeleni Clothing Proprietary Limited and Frontier Transport Holdings Limited. Currently she is a member of the audit, risk, and social and ethics committees.



Mohamed Ahmed (59)

BCompt

Mohamed, a prominent businessman, assumed the role of lead non-executive director to the board on 10 October 2014. He currently serves as a non-executive director of HCI, Southern Sun Limited and Montauk Renewables Inc. Previously Mohamed held the position of chief financial officer at HCI. In addition to his directorship roles, he also serves as the chairperson of the audit, risk, social and ethics, and remuneration committees.



Premier Rainwatergoods: Roll forming machine with hydraulic and pneumatic inline punching station.

Chief executive officer's report

The results for the comparative period were significantly influenced by the finalisation of a Covid-19 business interruption insurance claim and an asset claim arising from KwaZulu-Natal floods. The net after-tax benefit of these claims was R52 million. As the insurance claims are non-recurring in nature and mostly relate to loss of profits which occurred in prior periods, we believe that it is appropriate to exclude the claims for comparison purposes. This will give shareholders a better sense of the underlying performance of the Group in the current period.

On that basis, revenue is up 7% largely due to good turnover growth in our Automotive Parts Manufacturing businesses (up 26%) due to new contracts coming on line on the back of capital investments. Revenue growth was hard to come by in the rest of the Group and volumes were slightly down with whatever revenue growth that did occur, largely due to price increases. The industrial manufacturing businesses recorded revenue growth of 4% and revenue within the Branded Product Distribution segment was flat.

Despite the lower volumes, margins were largely maintained and the Group's gross margin was down by 30 basis points. The slight decline in margins is mostly due to turnover mix. Manufacturing businesses typically have lower gross margins than the branded product businesses so as the manufacturing segment accounts for a greater portion of turnover, overall margins decline. This effect was dampened because gross margins at an individual business unit level improved in the main.

Costs were well controlled, increasing by under 1%; well below inflation. If variable selling costs are excluded, as these naturally rise with turnover, fixed costs declined by 1% year on year.

The result of the above is that operating profit, excluding the insurance claims, grew by 21% to R252 million.

For most of the year the Group had higher debt levels due to investments in expansion capex, mostly in the prior year and higher average working capital levels as a consequence of shipping delays and weaker exchange rates. The higher debt and higher average interest rates resulted in the net finance expenses being up 45% to R109 million. Increased rates account for just over half of the increase and increased debt the balance. What is pleasing is that the Group has been quite strongly cash generative in the final quarter and for the full year generated R195 million from operations, up 47% from the R132 million generated in the comparative period. At year-end, total interest-bearing debt is down R108 million compared to the prior year-end.

PROPERTY

The property portfolio has performed quite strongly. Revenue grew by 13% with revenue from external tenants growing by 10%. Revenue growth is largely due to lower vacancies and rental from two owner-occupied properties bought in the prior year. Operating profit grew by 17% to R126 million. At half-year-end we informed you about the sale of two externally let properties for R129 million. We can now report that one of these properties was transferred by year-end, resulting in a net cash inflow of R64 million. The other property sale has been transferred subsequent to year-end, resulting in a further R65 million inflow. These disposals are part of a strategy to dispose of properties that are no longer considered core.

BRANDED PRODUCT DISTRIBUTION

The branded product segment had a subdued year with revenue flat. This reflects economic pressure on consumers and overstocked situations at retail. In the main we have maintained market share in the categories we operate in. Higher gross margins saw gross profit improve by 2% despite the revenue being flat. Operating costs were well controlled, rising by just 1%. Excluding the once-off insurance settlement in the prior year, the improved margins and good cost control saw operating profit improve by 21% to R63 million. This is quite a pleasing result when one considers that revenue was flat. There are still improvements to be made in this segment to get operating margins above the current 5% levels.

MANUFACTURING

The manufacturing businesses delivered good revenue growth of 12%, although most of this growth came through the automotive segment. Gross margins were slightly down and as a result gross profit was only up 12%. Costs were up in line with inflation at 6%. Slightly lower production incentives received in the year saw operating profit, excluding the insurance settlement, improve by 5% to R105 million.

Overall, given the general economic environment, we are satisfied with the results but recognise that there are still further improvements to be made. We will continue to drive a process of iterative improvements to move the Group forward.

Stuart Queen
Chief executive officer

24 June 2024

Formex Industries: Laser tube storage area.

Corporate governance report

This report provides our stakeholders with insight as to how the board and its underlying committees are overseeing and guiding the Group's performance and strategy. It further outlines our corporate structure which is responsible for ensuring compliance with internal policies and external regulation.

BOARD OF DIRECTORS

Deneb's board of directors is tasked with both leading and controlling the Group's strategy and operations. The basis for good governance at Deneb is laid out in the board charter, which sets out the division of responsibilities between the board and executive management. The collective experience and diversity of the directors bring a broad perspective and insight. Their knowledge comes from a diverse array of backgrounds and specialist skills across a range of sectors including law, accounting, manufacturing, logistics, education and industrial relations.

BOARD COMPOSITION

As at 31 March 2024, the board of directors comprised nine members: seven non-executive directors and two executive directors. Three of the seven non-executive directors are independent.

The composition of the board is regularly reviewed to ensure a balance of power and authority, negate individual dominance in the decision-making processes, and promote race and gender diversity as per the adopted Gender and Race Diversity and Broader Diversity Policies of the Group. The board believes that diversity at board level assists the company to achieve its goals. The board strives to include members of various age, gender, race, culture, skills, field of knowledge and industry experience.

BOARD APPOINTMENT

The appointment to the board of directors is governed by a formal board-approved mandate regulating the terms of reference and incorporates the provisions of the Companies Act of South Africa and the mandatory provisions as stipulated in paragraph 3.84 of the JSE Listings Requirements, including the Group's Gender and Race Diversity and Broader Diversity Policies and the memorandum of incorporation of the company. There is a distinct division of responsibilities at board level so that no single individual has unfettered powers of decision-making. The board as a whole, within its powers and in a formal and transparent manner, is responsible for the selection and appointment of directors. Directors do not have a fixed term of appointment and there is no mandatory retirement age for non-executive directors.

Mr J A Copelyn has been appointed by the board as the non-executive chairperson. The roles of chairperson and chief executive officer are separate with a clear division of responsibilities.

The company's memorandum of incorporation provides that at the annual general meeting held each year, 1/3 (one-third) of the non-executive directors, or if their number is not a multiple of 3 (three), then the number nearest to, but not less than 1/3 (one-third) shall retire from office. In addition, if at the date of any annual general meeting any director will have held office for a period of 5 (five) years since his/her last election or appointment, he/she shall retire at such annual general meeting. A retiring director shall be eligible for re-election and, if re-elected, shall be deemed not to have vacated office.

The company's ultimate controlling shareholder is Hosken Consolidated Investments Limited ("HCI"). Four of the non-executive directors, namely Messrs J A Copelyn, T G Govender, Y Shaik and M H Ahmed, also serve on the HCI board.

INDEPENDENCE OF DIRECTORS

Deneb's non-executive directors acknowledge the need for their independence, while recognising the importance of good communication and close co-operation with executive management. The directors are entitled to seek independent professional advice at the company's expense concerning the company's affairs and have access to any information they may require in discharging their duties as directors. Deneb has appointed Mr M H Ahmed as the company's lead independent non-executive director and is responsible for verifying, on an annual basis, the independence and objectivity of the independent non-executive directors. This is done by assessing any circumstance or relationships that could affect such independence.

BOARD ATTENDANCE

The board meets at least four times a year and additional meetings can be convened to consider specific business issues which may arise between scheduled meetings. Directors are provided with substantive board papers to enable them to consider the issues on which they are requested to make decisions.

The following table details each director's board meeting attendance during the year under review:

	22 May 2023	21 Aug 2023	23 Nov 2023	19 Mar 2024
M H Ahmed	√	√	√	√
J A Copelyn	√	√	√	√
D Duncan	√	√	√	√
T G Govender	√	√	√	√
N B Jappie	√	√	√	√
K F Mahloma	√	√	√	√
S A Queen	√	√	√	√
Y Shaik	√	√	√	√
G D T Wege	√	√	√	√

√ *In attendance*

COMPANY SECRETARY

The company secretary is Ms C L Philip who provides support and guidance to the board in matters relating to governance, ethical conduct and their fiduciary duties. Where required, the company secretary facilitates induction and training for directors tailored to their individual needs and co-ordinates the annual board and committee evaluation process. Directors have unrestricted access to the advice and services of the company secretary. The company secretary does not fulfil any executive management function and maintains an arm's length relationship with the board and its directors. The company secretary is responsible for the functions as set out in section 88 of the Companies Act of South Africa (as amended). The board has assessed the company secretary and is satisfied that she has the competence, qualifications, independence and experience to fulfil the role of company secretary. All board, committee and shareholders' meetings are properly recorded as per the requirements of the Companies Act.

APPLICATION OF KING IV™

King IV™ advocates an outcomes-based approach and defines corporate governance as the exercise of ethical and effective leadership towards the achievement of the following governance outcomes:

- ethical culture;
- good performance;
- effective control; and
- legitimacy.

Deneb has reviewed the practices underpinning the principles promoted in King IV™. Many of these principles are entrenched in the Group's internal controls, policies and procedures governing corporate conduct. The board is satisfied that Deneb, in all material aspects, complies with the major recommendations of King IV™ to ensure that sound corporate governance and structures are applied within the Group.

In terms of part 5.4, principle 14 of King IV™, the company's remuneration policy and implementation report should be tabled to shareholders for separate non-binding advisory votes at the annual general meeting. These votes enable shareholders to express their views on the remuneration policy and implementation report adopted. Furthermore, King IV™ recommends that the remuneration policy should record the measures that the board commits to take in the event that either the remuneration policy or the implementation report, or both, have been voted against by 25% (twenty-five percent) or more of the voting rights exercised by the shareholders. As the non-binding advisory votes taken at the annual general meeting held on 21 August 2023 were passed by the requisite majority, there was no further engagement with shareholders in this regard.

For the detailed King IV™ application register, please visit the company's website at **www.deneb.co.za**.

DEALINGS IN THE COMPANY'S SECURITIES

Deneb complies with the continuing obligations of the JSE Listings Requirements. The company's directors, executives and senior employees are prohibited from dealing in Deneb securities during prescribed restricted periods. The company secretary regularly disseminates written notices to inform them of the insider trading legislation and advises them of closed periods. All directors and senior executives are required to obtain clearance from the company secretary prior to dealings in the company's securities. All dealings in the company's securities are disclosed in terms of the applicable JSE Listings Requirements.

WHISTLE-BLOWER HOTLINE

A whistle-blower hotline is available within all the businesses of the Group. This service, operated by an independent service provider, enables all stakeholders to anonymously report environmental, safety, ethics, accounting, auditing and control issues or other concerns. It is the responsibility of all employees and stakeholders to report known or suspected unethical or illegal conduct. The follow-up on all reported matters is co-ordinated by internal audit and reported to the social and ethics committee.

GOVERNANCE OF INFORMATION TECHNOLOGY

The board of directors is responsible for information technology ("IT") governance. The board tasks the Group head of IT to ensure IT governance compliance within the Deneb Group. The Group head of IT further provides oversight and direction on business-level IT strategy, IT investment and the efficiency and effectiveness of IT. IT risk management is aligned with the Group risk management structure and is channelled by way of the risk management committee. The committee receives feedback on critical risk issues, the solutions proposed and progress reports.

BOARD COMMITTEES

Deneb's board has established committees to assist it to discharge its duties. The committees play a pivotal role in guiding and overseeing strategy, enhancing high standards of governance and achieving increased effectiveness within the Group. The committees comprise members of the board and executive officers of the Group. Board committees are free to take independent, outside professional advice within the scope of their terms of reference and as deemed necessary to carry out their duties. The Group's chief executive officer and other members of the executive management whose presence is required for such committees' effective performance of their responsibilities are invited to be in attendance at committee meetings. The board has established five committees to assist it in discharging its responsibilities:

Executive committee
Chairperson: Mr S A Queen

Role: The executive committee is responsible for controlling the day-to-day operational activities of the Group, and the development and implementation of the board strategy.

The Deneb executive committee comprises Messrs S A Queen (chairperson) and G D T Wege.

The executive committee meets formally bi-weekly and executive committee members attend the monthly operational meetings of each operating entity within the Group. Such formal bi-weekly and monthly meetings include the review of strategic, operational and financial results. The board is apprised of progress through reporting at board meetings and regular communication with management.

Audit committee
Chairperson: Mr M H Ahmed

Role: The audit committee oversees the Group's financial statements and reporting processes, including the system of internal financial controls. The committee's report is presented on pages 55 and 56.

Risk committee
Chairperson: Mr M H Ahmed
Chief risk officer: Mr D Levin

Role: The risk committee is primarily responsible for the governance of risk in accordance with the framework of the Group's risk management policy. The committee's report is presented on pages 44 to 46.

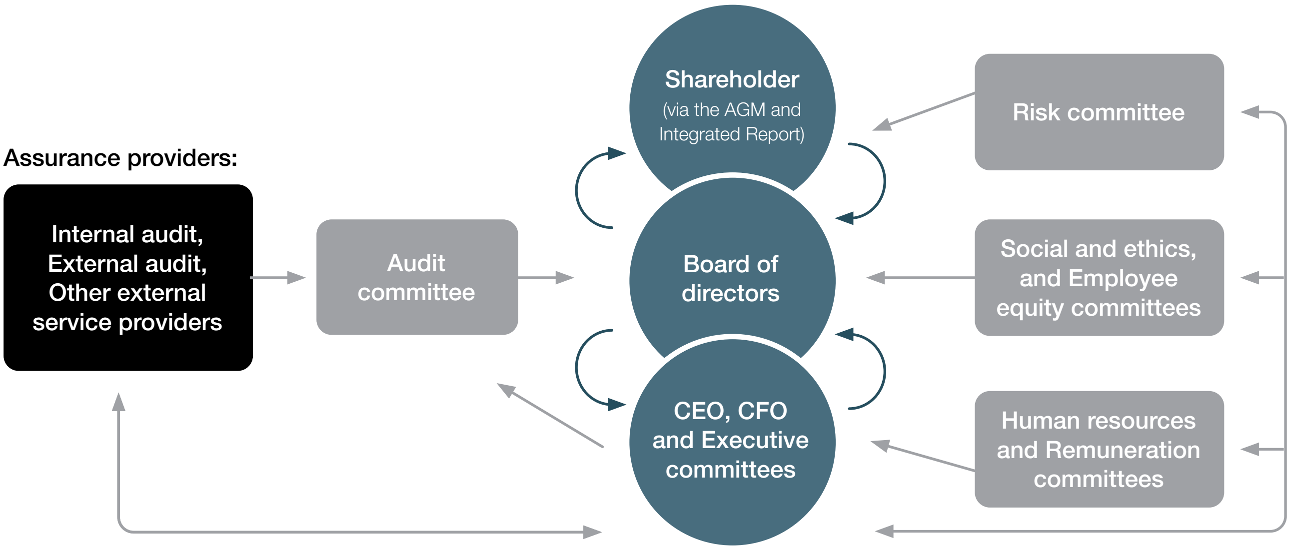
Remuneration committee
Chairperson: Mr M H Ahmed

Role: The remuneration committee ensures that the Group's directors and senior management are fairly rewarded for their individual contribution to overall performance and aligned with the Group's strategy and performance goals. The committee's remuneration report and remuneration implementation report are presented on pages 47 to 52.

Social and ethics committee
Chairperson: Mr M H Ahmed

Role: The social and ethics committee monitors activities relating to ethics, stakeholder engagement and the social impact of the company on communities within which it operates. The committee also monitors progress across all areas of strategic empowerment as well as compliance with transformation codes. The committee's report is presented on pages 39 to 43.

Corporate governance report
(continued)



Butterfly Products: Lunchbox stationery range.

Social and ethics committee report

The Deneb social and ethics committee is a formal committee of the board and functions within its documented terms of reference.

MEMBERS

The members of the committee consisted of Mr M H Ahmed (independent non-executive director), Ms N B Jappie (independent non-executive director), Ms K F Mahloma (independent non-executive director), Mr S Rubidge (Group IR executive) and Mr G D T Wege (executive director). The members are appointed by the board and the committee elected Mr M H Ahmed as chairperson.

MEETINGS

The committee holds a minimum of two meetings per annum. Additional meetings are convened on request of any of the members. The table below records the attendance of committee members at meetings:

	22 May 2023	23 Nov 2023
M H Ahmed	√	√
K F Mahloma	√	√
N B Jappie	√	√
S Rubidge	√	√
G D T Wege	√	√

√ *In attendance*

FUNCTIONS

The committee fulfilled the following functions:

- monitored the Group's progress on transformation of human capital, including:
  - broad-based black economic empowerment ("B-BBEE") and employment equity;
  - prevention of corruption;
  - adherence to the Group's code of ethics;
  - prevention of discrimination;
  - promotion of equality;
  - consumer relations; and
  - labour and skills development;
- monitored the Group's activities in relation to social activities and the socio-economic development of communities in which it operates and adherence to the principles of the United Nations Global Compact;
- monitored the company's practices pertaining to health and safety, the environmental impacts of its operations and preservation of natural resources; and
- highlighting key matters arising from the above to the board.

TRANSFORMATION OF HUMAN CAPITAL

Deneb embraces the objectives of creating a representative workforce within a work environment free from discrimination and prejudice. Transformation continues to be monitored and managed within a governance framework, which includes the social and ethics committee, an internal transformation committee in which the chief executive participates, and the subsidiary transformation forums.

As a member of the HCI Group of companies, Deneb adopted the Group's B-BBEE accreditation methodology. The Group's B-BBEE status was accredited on 26 July 2023 and is valid for a 12-month period. The Group obtained a Level 2 Contributor Status with a total score of 98,81 (2023: 97,96) out of a potential 111 points.

The measurement criteria consist of five elements and we accordingly provide stakeholders with further information on each of these elements: Ownership, Management Control, Skills Development, Enterprise and Supplier Development, and Socio-economic Development.

Our B-BBEE profile is summarised below:

Element	Maximum score	Current year score	Previous year score
Ownership	**25,00**	**25,00**	**25,00**
Management control	**19,00**	**14,71**	**14,73**
Skills development	**20,00**	**13,91**	**11,77**
Enterprise and supplier development	**42,00**	**40,19**	**41,46**
Socio-economic development	**5,00**	**5,00**	**5,00**
Overall score	**111,00**	**98,81**	**97,96**

Social and ethics committee report
(continued)

OWNERSHIP AND MANAGEMENT CONTROL

Applying the B-BBEE methodology, Deneb's black ownership percentage is 78,54% (2023: 81%). In addition, of the total shareholding, 50,48% (2023: 46,06%) is owned by black women. Further, 91,2% (2023: 89,7%) of Deneb's employees are black.

Deneb implemented programmes across all entities to achieve the Group's transformation objectives. These programmes include, among other things, the implementation of an in-house learning and development plan and a management trainee programme where graduates are employed and given the opportunity to work within several of the Group's businesses. The programme is structured to ensure the trainee gains exposure across various industries and business functions, which will equip the participants with sufficient experience to excel in future employment.

SKILLS DEVELOPMENT

Shop floor development programmes coupled with formalised training programmes are key to our future upskilling of employees to ensure that we continue to provide quality services and products to our customers.

Formalised tertiary education programmes have provided employees with the opportunity to attend tertiary educating institutions to obtain degrees and diplomas. Qualifications obtained, or studies toward obtaining such qualifications, include commerce, production and quality management, supply chain and operations management, and logistics and transport management. We have also supported employees who have enrolled and made progress toward their MBA qualification.

A number of learnerships are offered via the respective SETAs. These are industry-specific learnerships at a NQF Level 2 and provide the employees with a portable and recognised qualification. Apprenticeships are offered to existing employees as well as unemployed learners. These include electrical and fitter apprenticeship programmes.

During the year we commenced a focused graduate internship programme to create a talent pool of future leaders and management. The programme provides the graduate with work experience and exposure under the guidance of a mentor and coach. Regular feedback is provided to the intern. A number of interns have participated in the programme; and where suitable vacancies have arisen, permanent employment has been offered. While the programme is still in its infancy, we have created a talent pool which will grow over time.

The Group is proud of the ongoing mentorship programme where management and staff offer to mentor postgraduate students. The programme has been mutually beneficial for both the student and the mentor. The mentors have found it to be enriching to give of their time as well as gaining insight into the lives of their mentees.

Short courses and specific discipline training has been offered and provided to employees to ensure they are updated and competent to perform their work. Technical advancements and improvements necessitate ongoing updating and training in many disciplines. These programmes include ISO and quality training, employment equity, team leadership and supervisory training, information technology and software training, health and safety, and updates on changes in the legislation.

ENTERPRISE AND SUPPLIER DEVELOPMENT

The Group's enterprise and supplier development plan continued to assist black-owned entities to build and distribute their products. The Group procured in excess of 96,5% (2023: 92%) of its discretionary merchandise and services from empowered local suppliers.

Deneb continued to participate as a member of the HCI Group's Supplier Club. The Supplier Club aims to develop small, medium and micro enterprises ("SMMEs") as a solution to support and develop emerging businesses through financial and non-financial benefits.

SOCIO-ECONOMIC DEVELOPMENT

The Deneb Group of companies, with the support of the HCI Foundation, have been involved in programmes which have mainly focused on education, child support, environmental support initiatives and sustainability. More detail of the programmes of the HCI Foundation can be at www.hci.co.za/hci-foundation.

In addition to Deneb's support to the HCI Foundation, the following support has been provided to the communities in which we operate:

- Assistance has been provided to SMMEs with the focus on black-owned female small enterprises. Many teenage girls are often not able to attend school or participate in normal activities as they are not able to afford sanitary pads. The Group has been involved in initiatives to provide sanitary pads to high school girls in Langa.
- Other initiatives include support and "treat hamper packs" for schools and aftercare institutions in the Cape Town area. Some 148 children benefited from this initiative. The Santa Shoe Box project collects and distributes personalised gifts of essential items and treats for the underprivileged children in South Africa. Some 243 children benefited from this programme.
- Our ongoing mentorship programmes for tertiary students have continued. A number of management and staff gave of their time to mentor tertiary students. The Group has also launched a graduate internship programme to provide graduates with work experience and exposure which assists them to secure permanent employment.
- The Group donated substantial book vouchers to the Top 10 matric students as part of the Gauteng Education Department District Awards Programme.

Many of our employees have been directly involved in these initiatives by making donations and by giving of their time and support for the programmes. Their efforts and generosity are appreciated as they have made a difference in the lives of the beneficiaries of their contributions.

Social and ethics committee report
(continued)

ENVIRONMENTAL MANAGEMENT

Carbon footprint

Consistent with prior years, the carbon footprint was calculated according to the World Resources Institute ("WRI")/World Business Council for Sustainable Development ("WBCSD") Greenhouse Gas ("GHG") Protocol, a widely used corporate GHG accounting and reporting standard. The conversion factors were sourced from the Intergovernmental Panel on Climate Change ("IPCC") 2006 Guidelines and the South African Department of Environment, Forestry and Fisheries' Technical Guidelines for Monitoring, Reporting and Verification of GHG Emissions by Industry. These conversion factors do not change on an annual basis, making the carbon footprint process easier. Some emission factors, such as those for business travel captured under Scope 3 emissions, were still sourced from the United Kingdom's Department for Environment, Food and Rural Affairs ("DEFRA").

The organisational boundary was set according to the operational control approach, whereby the Deneb Group of companies report on all GHG emissions from facilities and activities over which they have operational control.

In keeping with last year's methodology, emissions from waste, refrigerants, and oils and lubricants were excluded because of inaccuracies in the data. GHG emissions from these sources are immaterial in comparison to emissions from sources such as fuel combustion and electricity use.

In aggregate, Deneb's Scopes 1 and 2 emissions in the current financial year were 25 419 tCO_2e (2023: 23 373 tCO_2e). This represents a 9% increase relative to the Scopes 1 and 2 emissions reported in the prior financial year. This increase originates from increased manufacturing activity at Integrated Polypropylene Products ("IPP"), Romatex and Formex, flowing from expansion in manufacturing capacity. The biggest contributors to Deneb's Scopes 1 and 2 emissions are:

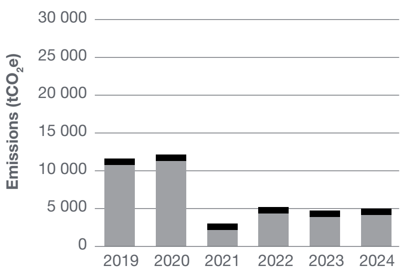
- Formex 26% (2023: 26%);
- Integrated Polypropylene Products 26% (2023: 20%); and
- Brits Nonwoven 22% (2023: 25%).

Current year Scope 1 emissions totalled 5 000 tCO_2e (2023: 4 807 tCO_2e), a 4% increase year on year. The three main sources of Scope 1 emissions were:

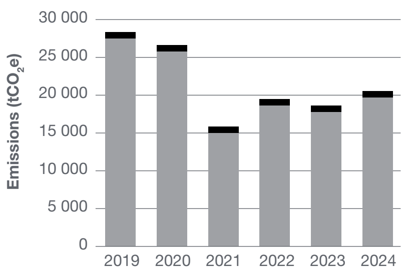
- natural gas (47%) – mostly as a result of the liquefied petroleum gas ("LPG") consumed in burners by Brits Nonwoven. LPG is also consumed in other equipment and forklifts by other businesses;
- diesel (30%) – consumed by most operations in both generators and vehicles; and
- heavy fuel oil ("HFO") (17%) – consumed largely by Romatex in its manufacturing facility in Cape Town.

Scope 2 emissions totalled 20 419 tCO_2e, up 10% on the prior year's emissions of 18 567 tCO_2e. The biggest

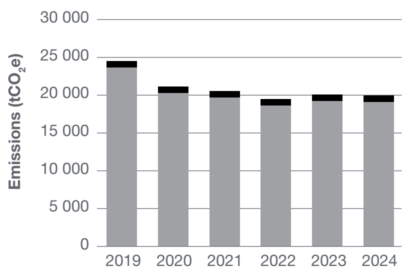
Deneb's Scope 1 emissions



Deneb's Scope 2 emissions



Deneb's Scope 3 emissions



contributors to Deneb's Scope 2 emissions are IPP 32% (2023: 25%), Formex 31% (2023: 32%) and Brits Nonwoven 14% (2023: 16%). The companies use significant amounts of electricity in their respective production processes.

Scope 3 emissions are attributable to emissions from business travel and emissions from electricity consumed by tenants at the properties owned by Vega Properties. Scope 3 emissions totalled 19 190 tCO_2e (2023: 19 951 tCO_2e), a 4% decrease relative to emissions in the prior financial year. Vega Properties is the largest contributor to Scope 3 emissions, mainly due to the electricity consumed by all non-Deneb tenants in its properties.

DENEB'S WATER FOOTPRINT

Water withdrawals

Deneb's water withdrawals for the year totalled 58 591 kℓ (2023: 61 523 kℓ), a 5% decrease compared to the prior year.

Formex is the largest water user (36%), followed by Custom Extrusion (24%). Both Formex and Custom use water in their production processes for washing, cooling and cleaning. The decrease is attributable to reduction initiatives from all businesses.

Water discharges

The Carbon Disclosure Project ("CDP") definition of water discharges excludes the discharge of collected rainwater and domestic sewage. Deneb's discharges during the year were 24 230 kℓ (2023: 29 626 kℓ), an 18% decrease from the water discharged in the prior year. Discharges are mainly attributable to Formex (83%) and Romatex (16%). All the discharges are to municipal treatment plants.

Water consumption

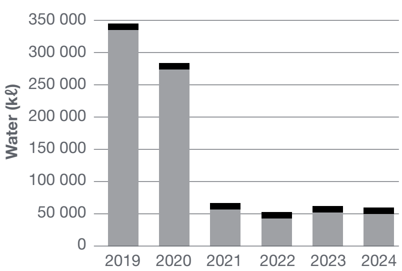
The CDP defines water consumption as "an amount of water that is used, but not returned to its original source". This includes water that has evaporated, transpired, has been incorporated into products, crops or waste, consumed by man or livestock or otherwise removed from the local source.

Deneb's water consumption was estimated by subtracting discharges from withdrawals. Using the same method, this year's water consumption was calculated to be 34 361 kℓ (2023: 31 898 kℓ). This is an 8% increase from the prior year. This is evidently a high-level estimate, since it excludes water discharged as sewerage or storm water. Reasons for changes in water consumption can be traced back to reasons for changes in withdrawals and discharges.

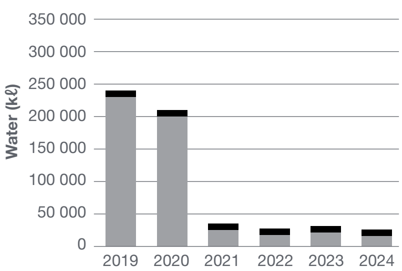
TERMS OF REFERENCE

The Deneb social and ethics committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for the reporting period. The committee has fulfilled its mandate as prescribed by the Companies Act and confirms there are no instances of material non-compliance.

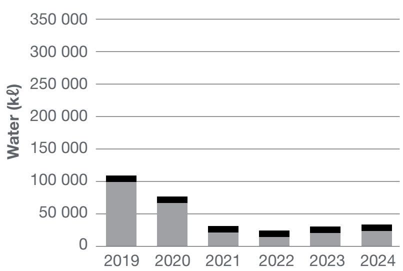
Deneb's water withdrawals



Deneb's water discharges



Deneb's water consumption



Risk committee report

The Group strives to maintain an appropriate balance between risk and reward, recognising that certain risks need to be taken to achieve sustainable growth and returns while at the same time protecting the Group and its stakeholders against avoidable risks.

RESPONSIBILITY

The board is responsible for the governance of risk and has appointed a risk committee to review the risk management progress of the company, the effectiveness of risk management activities, the key risks facing the company and the responses to the risk.

This process is managed in accordance with the Group's risk management charter.

MEMBERS OF THE RISK COMMITTEE

The risk committee formally convenes twice a year and consists of the members of the audit committee, the chief executive officer, chief financial officer and the chief risk officer. The composition of the committee ensures a good balance of executive and independent input.

Members of the committee consisted of Mr M H Ahmed (chairperson, independent non-executive director), Ms N B Jappie (independent non-executive director), Ms K F Mahloma (independent non-executive director), Mr S A Queen (chief executive officer), Mr G D T Wege (executive director) and Mr D Levin (chief risk officer). Despite not consisting of a majority of non-executive directors as envisaged by King IV, the board is of the opinion that the current composition of the committee is satisfactory to discharge the committee's roles and responsibilities.

MEETINGS

The committee holds a minimum of two meetings per annum. Additional meetings are convened on request of any members. The table below records the attendance of committee members at meetings:

	22 May 2023	23 Nov 2023
M H Ahmed	√	√
K F Mahloma	√	√
N B Jappie	√	√
S A Queen	√	√
G D T Wege	√	√
D Levin	√	√

√ *In attendance*

RISK MANAGEMENT APPLICATION

In fulfilling its duties, the committee reviewed:

- risks related to new acquisitions and disposals;
- the treasury function covering liquidity, banking covenants, credit risk and foreign exchange risks;
- the Group's facilities, which are provided by its commercial bankers;
- the Group's main credit exposures;
- the Group's foreign exchange mandate, which requires that at least 50% of forex exposure is covered;
- the Group's safety, health and environmental ("SH&E") and security risk control programme, which entails the continual auditing of all sites on an annual basis by the Group's operational compliance officer, and in terms of which selected sites are reviewed by independent risk consultants on a rotational basis;
- the insurance programme, in terms of which Group assets are insured subject to specific policy conditions, limits and deductibles;
- any fraud matters identified either by internal audit and/or via the independently managed ethics whistle-blower hotline;
- information technology risks as identified by the Group head of IT through continual assessment and monitoring; and
- material legal disputes.

The chairperson of the committee reports to the board on the most significant risks derived from the above. This continual emphasis on risk management assists the board to foster a culture in the Deneb Group that emphasises and demonstrates the benefits of a risk-based approach to internal controls and the management of the Group.

INTERNAL CONTROLS AND COMBINED ASSURANCE FRAMEWORK

Deneb operates a combined assurance framework, which aims to optimise the assurance coverage obtained from management, internal assurance providers and external assurance providers, on the risk areas affecting the Group. The combined assurance framework is integrated with the Group's risk management approach. Risks facing the Group are identified, evaluated and managed by implementing risk mitigations, such as insurance, strategic actions or specific internal controls.

The Group's internal controls and systems, which are reviewed by the audit committee, are designed to provide reasonable assurance as to the integrity and reliability of the financial and operational management information that assets are adequately safeguarded against material loss and that transactions are properly authorised and recorded. Internal controls also provide assurance that the Group's resources are utilised efficiently and that the activities of the Group comply with applicable laws and regulations.

The assurance obtained informs executive management about the effectiveness of the Group's internal controls in respect of significant risks. The risk committee, which is responsible for the oversight of risk management at Deneb, considers the risks and the assurance provided through the combined assurance framework and advises the board on the state of risks in Deneb's operating environment. This information is used as the basis for the board's review, sign-off and reporting to stakeholders, via the Integrated Annual Report, on risk management and the effectiveness of internal controls within Deneb by the audit committee. Deneb's combined assurance framework is based on Enterprise Risk Management best practice, as set out below.

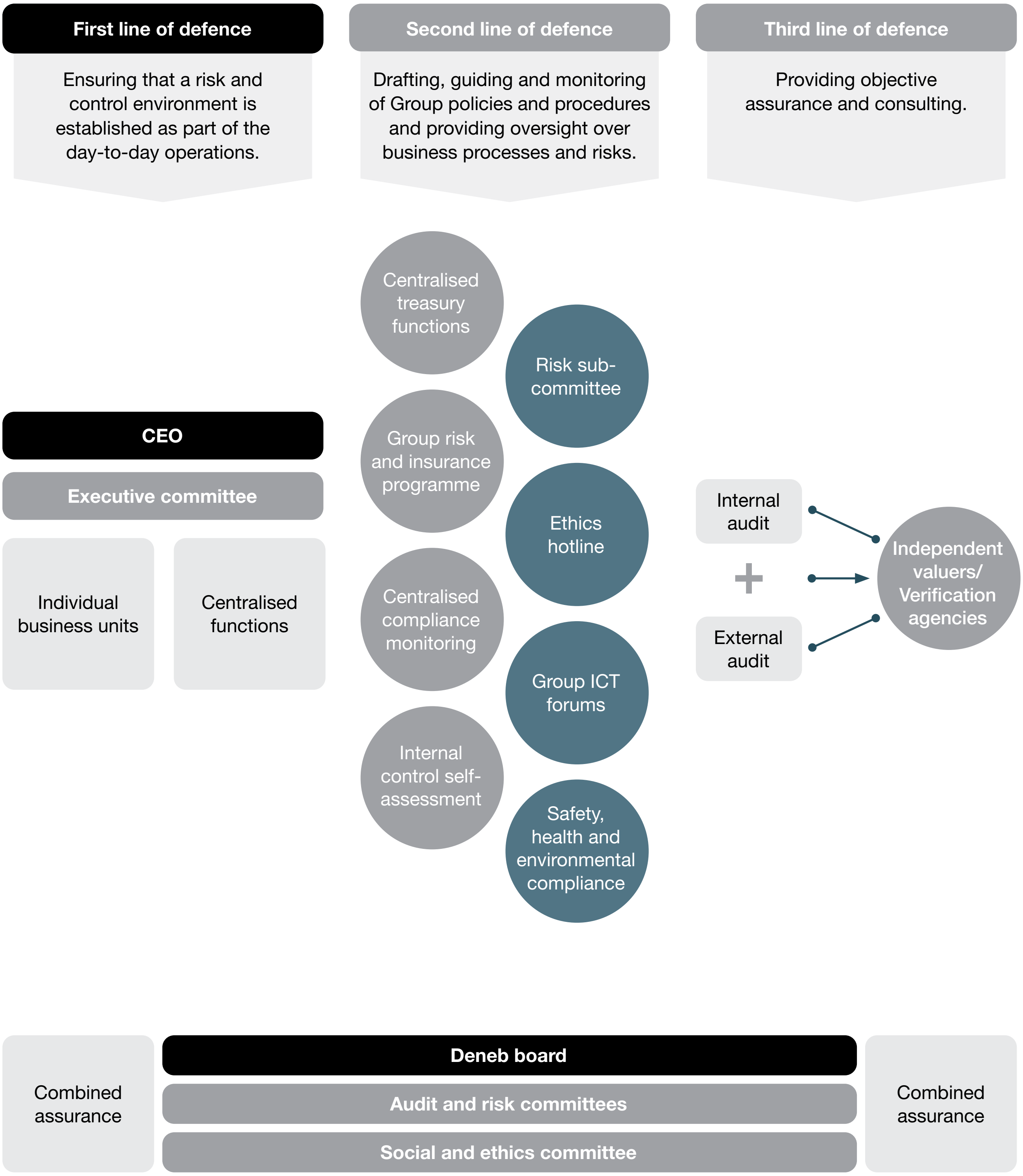
MATERIAL RISKS

A description of all immediately identifiable material risks specific to the company, its industry and/or its issued ordinary shares are available at **www.deneb.co.za**

The Deneb risk committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for the reporting period.

Prima Toys: Pokemon.

Risk committee report
(continued)



Remuneration committee report

The Group's remuneration policies strive to reward employees in a fair and responsible way, which ensures a culture of high performance to deliver returns to shareholders through employees who are motivated, engaged and committed. The Group's remuneration policies and philosophies are contained in this report and their intended consequences are to attract, retain and develop employees with scarce and critical skills that contribute to building sustainable businesses.

MEMBERS

The members of the committee consisted of Mr M H Ahmed (chairperson, independent non-executive director), Ms N B Jappie (independent non-executive director) and Mr J A Copelyn (non-executive director). On request of the committee members the chief executive officer attends the meetings, but recuses himself from the meetings before any decisions are made in which he is affected.

GOVERNANCE

The board delegates responsibility for the oversight of the Group's remuneration practices to the remuneration committee. The committee ensures that the Group has a competitive remuneration structure which is aligned with the Group's strategy and performance goals. The key duties of the committee include:

- ensuring the Group upholds its entrenched remuneration philosophy that promotes the achievement of its strategic objectives;
- determining on an annual basis:
  - the remuneration of non-executive directors;
  - the total remuneration package of executive directors including, where appropriate, annual increases, short-term performance bonuses and long-term incentives; and
  - the remuneration packages of senior management and employees who report directly to the chief executive officer;
- ensuring the combination of fixed and variable pay is appropriate when benchmarking remuneration levels;
- reviewing and recommending to the board all proposals for executive share-based incentives and other short-term and long-term incentive schemes;
- determining targets for any performance-related pay schemes and requesting the board, when required, to seek shareholder approval for any share-based and other long-term incentive schemes; and
- compiling a report for inclusion in the company's Integrated Annual Report.

The committee meets at least annually and seeks advice and guidance from external experts, as deemed appropriate.

Attendance of the meeting was as follows:

	29 Jun 2022	24 May 2023
M H Ahmed	√	√
J A Copelyn	√	√
N B Jappie	√	√

√ *In attendance*

SHAREHOLDER ENGAGEMENT

The remuneration policy and the remuneration implementation report, which provide insight into the Group's remuneration practices, will be tabled for non-binding advisory votes of shareholders at the annual general meeting.

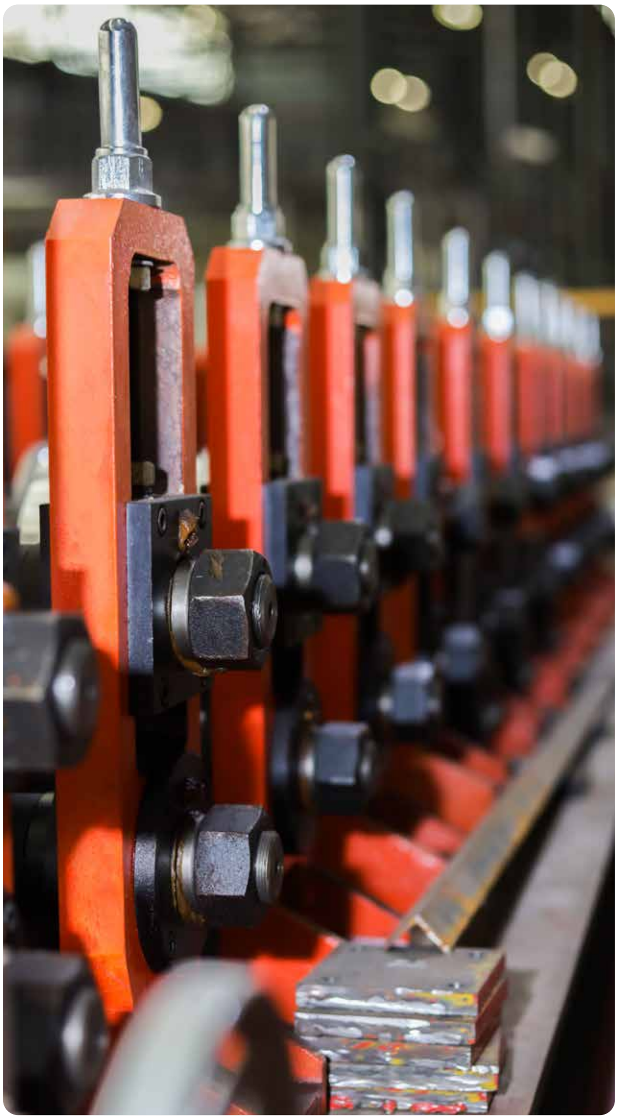
In the event that either the remuneration policy or the remuneration implementation report, or both, have been voted against by 25% (twenty-five percent) or more of the voting rights exercised by shareholders at the annual general meeting, the company will formally engage with such dissenting shareholders to understand the reasons for the dissenting votes, and in respect of objections which are legitimate and reasonable to consider amending the remuneration policies or governance processes.

COMPOSITION OF REMUNERATION

Non-executive directors

Non-executive directors receive fees for their services as directors and for serving on board committees. These fees reward the directors fairly for the time, service and expertise that they provide to the Group. Non-executive directors do not participate in the Group's short-term or long-term incentive schemes.

Messrs J A Copelyn, T G Govender, Y Shaik and M H Ahmed are directors of Deneb's ultimate holding company, Hosken Consolidated Investments Limited ("HCI").



Premier Rainwatergoods: Roll forming machine that manufactures metal sheeting profiles.

Executive directors

The remuneration packages of executive directors comprise:

- a guaranteed remuneration package (structured on a cost-to-company basis);
- access to retirement fund and medical aid benefits funded from the guaranteed remuneration package;
- a short-term discretionary cash-based incentive bonus based on business and individual performance; and
- participation in the Deneb Share Incentive Scheme.

The remuneration structure of executive directors is linked to the Group's medium to long-term business objectives and is therefore aligned to shareholder interests. The performance of the chief executive officer is evaluated by the chairperson, while the performance of the other executive directors is evaluated by the chief executive officer. The annual pay increases of the executive directors are aligned to the annual increase parameters as determined by the remuneration committee.

Executive directors participate in the annual short-term cash-based incentive scheme. To qualify for the incentive, minimum financial targets, based on the Group's return on equity ("ROE") hurdle or budgets, are set by the remuneration committee. The financial targets to qualify for the incentive were achieved and executive directors qualified for short-term cash-based incentives as set out in this report. The short-term incentive is capped at an agreed multiple of annual cost-to-company package.

The sustainability of the Group's business is critical in determining remuneration and the board is satisfied that the performance targets do not encourage excessive risk-taking by the executives. The Deneb Share Incentive Scheme in which executive directors may participate consists of a share option scheme, the details of which are disclosed in this report.

Management and non-bargaining unit employees

Senior management receives an annual guaranteed salary and participate in the short-term incentive bonus scheme. Guaranteed remuneration for senior executives is set at levels to retain and recruit management talent. Each senior executive position is graded, based on the business's turnover, number of employees, assets under management, locations and the degree of complexity involved in the business. The associated package is benchmarked against an external market survey for a similar job rating.

As the Group's philosophy is to reward performance, the salary benchmark is set at the 50th percentile median, which allows a lower fixed cost, but higher incentive structure.

The annual review of the performance of senior management is undertaken by the chief executive officer who provides a recommendation to the committee on any adjustments or incentive payments. Key senior managers participate in the Deneb Share Incentive Scheme, with selection based on their strategic contribution. Under the guidance of the remuneration committee the Group has introduced a uniform appraisal and evaluation process for all non-bargaining council employees. This process has been applied to all employees of the Group and is used as a guideline to determine remuneration adjustments.

The average salary increase parameter set by the remuneration committee for the year under review was 6% (2023: 6%) and the annual increase date is 1 July.

Bargaining unit employees

Collective salary increases are negotiated each year with the representatives of recognised trade unions.

INCENTIVE SCHEMES

Discretionary short-term incentive scheme

Key employees in each business unit participate in an annual discretionary short-term incentive scheme, which rewards the achievement of performance in excess of predetermined performance targets. The performance target is based on the business unit's core operating profit after interest, adjusted by an imputed interest charge at a hurdle rate. The imputed interest charge is calculated on the higher of net asset value or the average working capital level utilised by each business unit. In addition to the quantitative performance targets, the scheme includes predetermined qualitative performance targets.

In line with international trends, the Deneb Board has agreed that participation in the company incentive scheme will be subject to participants acknowledging and agreeing to abide by the following "clawback" condition:

- The company may implement measures to recover any incentive bonus that has been unjustly/incorrectly paid to an individual.

- Should it be established that an incentive bonus has been incorrectly paid due to material misstatements of financial statements, errors in calculations or for any other reason that has resulted in the overpayment of an incentive bonus, the company reserves the right to implement measures to recover such amounts.

The Deneb Share Incentive Scheme

The scheme was implemented to align executive directors' and senior management's objectives with those of the shareholders so as to ensure that those employees are encouraged and motivated to pursue sustainable growth and profitability. The aggregate number of shares which any one participant may acquire in terms of the scheme may not exceed 8 572 234 ordinary shares. The aggregate number of shares which may be utilised for the scheme may not exceed 42 862 171.

Participants are entitled to exercise options on a net equity-settled formulation, based on a minimum service period criteria, and are subject to the participant's continued employment on the date on which the option is exercised.

The required period of service is as follows:

- 10% from the first anniversary date;
- 20% from the second anniversary date;
- 30% from the third anniversary date; and
- 40% from the fourth anniversary date.

EMPLOYEE BENEFITS

Retirement funds

The majority of the Group's subsidiaries have defined contribution pension and provident fund arrangements in place. The assets of such retirement funds are managed separately from the Group's assets and are administered by independent trustees and administrators within an umbrella fund. In addition to the independent administrators, a management committee with employee and employer representation has been appointed.

Medical aid

The majority of the Group's subsidiaries offer membership of approved medical aid funds to employees.

The Group carries a liability totalling R76 million (2023: R77 million) for post-employment medical aid benefits. Certain employees who joined the Group before 1 July 1996 are eligible for a 50% retirement subsidy of their total medical scheme contributions. The notes to the financial statements provide further detail of the post-employment medical aid benefits.

The Deneb remuneration committee is satisfied that it fulfilled its responsibilities in accordance with its terms of reference for the reporting period.

Remuneration implementation report

NON-EXECUTIVE DIRECTORS

The fees to be paid to the non-executive directors of the company for services as directors are tabled below and are to be approved by shareholders at the annual general meeting:

Category of fee	2024 Proposed fee excluding VAT R	2023 Approved fee excluding VAT R
Board member	**173 000**	164 000
Member of the audit committee	**72 000**	68 000
Member of the remuneration committee	**72 000**	68 000

Messrs J A Copelyn, T G Govender, Y Shaik and M H Ahmed are directors of Deneb's ultimate holding company, Hosken Consolidated Investments Limited ("HCI").

The following table reflects the remuneration received by these directors from HCI and its subsidiaries for the year ended 31 March 2024:

	Board fees R000's	Salary R000's	Other benefits R000's	Share option expense R000's	Bonus R000's	Total for the year ended 31 March 2024 R000's	Total for the year ended 31 March 2023 R000's
Director							
J A Copelyn	–	9 218	–	7 537	6 913	**23 668**	22 135
T G Govender	–	2 399	–	3 270	1 560	**7 229**	6 895
Y Shaik	–	4 763	–	3 245	3 096	**11 104**	10 370
M H Ahmed	857	–	–	–	–	**857**	808
N B Jappie	–	–	–	–	–	**–**	458

EXECUTIVE DIRECTORS

Details of the executive directors' remuneration for the year ended 31 March 2024 are:

	Salary R000's	Short-term bonus R000's	Retirement and medical aid contributions R000's	Share option expense R000's	Total for the year ended 31 March 2024 R000's	Total for the year ended 31 March 2023 R000's
Executive director						
S A Queen (CEO)	5 481	6 436	–	3 084	**15 001**	17 461
G D T Wege	2 900	2 975	199	495	**6 569**	8 361

SHARE OPTIONS

During the year under review 10 903 328 (2023: 12 184 116) share options were granted to employees; 1 736 379 (2023: 6 969 291) shares were issued during the financial year.

Options in issue are as follows:

Option holder	Grant date	Unexercised options	Strike price (cents)	Vesting conditions	Remaining life of option (years)
S A Queen	30 June 2016	2 343 944	111	Continued employment	1 year
	4 July 2019	2 290 642	151	Continued employment	1 year
	30 June 2020	2 443 035	109	Continued employment	2 years
	28 June 2021	1 846 187	144	Continued employment	3 years
	29 June 2022	2 116 260	201	Continued employment	4 years
	28 June 2023	2 168 364	200	Continued employment	5 years
Total for S A Queen		**13 208 432**			
G D T Wege	30 June 2016	738 491	111	Continued employment	1 year
	26 June 2017	672 598	106	Continued employment	2 years
	4 July 2019	1 088 366	151	Continued employment	1 year
	30 June 2020	953 353	109	Continued employment	2 years
	28 June 2021	991 868	144	Continued employment	3 years
	29 June 2022	966 126	201	Continued employment	4 years
	28 June 2023	1 013 905	200	Continued employment	5 years
Total for G D T Wege		**6 424 707**			
Other, not being directors	30 June 2016	1 717 459	111	Continued employment	1 year
	26 June 2017	1 585 375	106	Continued employment	2 years
	4 July 2019	3 420 926	151	Continued employment	1 year
	30 June 2020	5 731 060	109	Continued employment	2 years
	28 June 2021	5 064 807	144	Continued employment	3 years
	29 June 2022	7 200 591	201	Continued employment	4 years
	28 June 2023	6 616 198	200	Continued employment	5 years
Total other		**31 336 416**			
Total options in issue		**50 969 555**			

Reconciliation of movements in options:

Number of options	**2024**	2023
Opening balance	**52 514 367**	60 287 289
Awarded during the period	**10 903 328**	12 184 116
Exercised during the period	**(1 736 378)**	(6 969 291)
Options used for strike price	**(4 483 705)**	(12 847 595)
Lapsed/forfeited during the period	**(6 228 057)**	(140 152)
Closing balance	**50 969 555**	52 514 367

		2024	2023
Number of options exercisable at year-end		**22 733 426**	14 932 694
Expense/(income) during the year (included in employment costs)	(Rand)	**3 937 033**	5 281 152
Value of shares issued during the year	(Rand)	**3 611 732**	12 149 871
Weighted average share price of share options exercised during the year	(Rand)	**2,22**	2,39

Top three executive management earners
In accordance with the recommendations of King IV™ the top three earners in the Group, excluding executive directors, during the year under review were remunerated as follows:

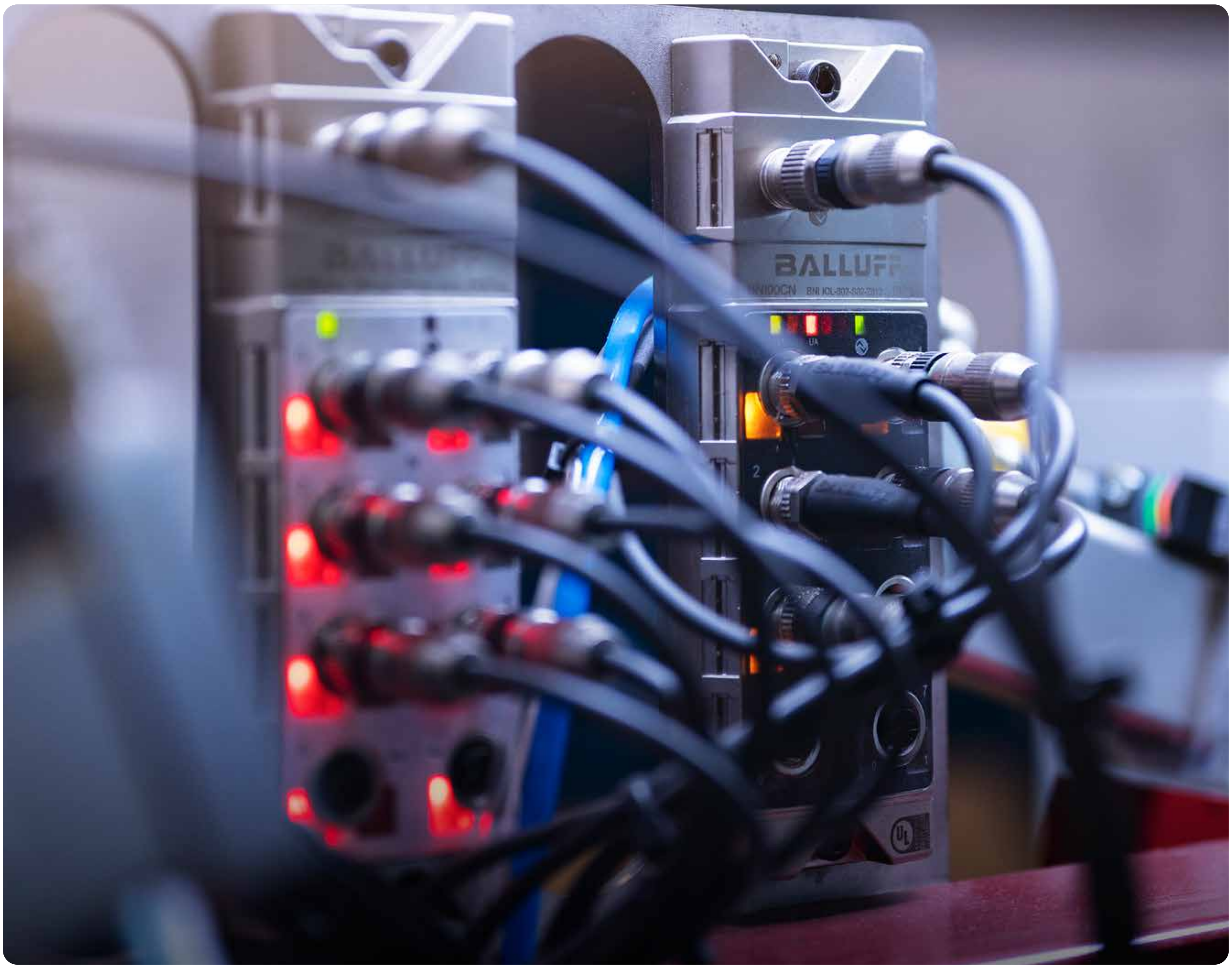
Top three earners for 2024	**R000's**
Executive 1	**11 403**
Executive 2	**6 862**
Executive 3	**5 407**

The names of the three most highly paid employees who are not directors have not been disclosed. The committee is of the opinion that such information is private to the individuals concerned and adds no value to stakeholders.

Blue Reef: Water sample analysis.

Consolidated annual financial statements

CONSOLIDATED ANNUAL FINANCIAL STATEMENTS



Audit committee report

The Deneb audit committee is a formal committee of the board and functions within its documented terms of reference. This report is presented to shareholders and constitutes the report of the audit committee in respect of the past financial year as required by section 94 of the Companies Act, No. 71 of 2008, as amended ("the Companies Act").

PRIMARY ROLE AND RESPONSIBILITY OF THE COMMITTEE

The audit committee fulfils an independent oversight role regarding the company's financial statements and the reporting process, including the system of internal financial control, with accountability to both the board and to shareholders. The committee's responsibilities include the statutory duties prescribed by the Companies Act, recommendations by King IV and additional responsibilities assigned by the board.

COMPOSITION AND MEETINGS OF THE AUDIT COMMITTEE

The committee comprises three independent, non-executive directors: Mr M H Ahmed (chairperson), Ms K F Mahloma and Ms N B Jappie. The committee members are appointed by the shareholders at the annual general meeting of the company. By invitation, the chief executive officer, the financial director, the external auditors and the head of internal audit have attended the committee meetings. Deneb appointed GRIPP Advisory Proprietary Limited ("GRIPP") to perform internal audit services for the company. GRIPP has dedicated a representative to perform the functions associated with the role of chief internal audit officer.

Each committee meeting includes a confidential discussion between members, internal auditors and the external auditors, without members of executive management being present.

The committee meets twice annually, with special meetings called as required. The committee held two meetings during the financial year under review and attendance was as follows:

	22 May 2023	23 Nov 2023
M H Ahmed	√	√
K F Mahloma	√	√
N B Jappie	√	√

√ *In attendance*

AUDIT COMMITTEE FEES

Fees paid to the committee members are disclosed in note 27.

EVALUATION OF THE AUDIT COMMITTEE

The effectiveness of the committee is assessed as part of the annual board and committee self-evaluation processes and the chairperson of the committee attends all statutory shareholder meetings to answer any questions on the committee's activities.

FUNCTIONS AND RESPONSIBILITIES OF THE AUDIT COMMITTEE

The audit committee has discharged the functions in terms of its charter and ascribed to it in terms of the Companies Act as follows:

Reporting function

- Reviewed the interim results announcement, annual financial statements and Integrated Annual Report, culminating in a recommendation to the board to adopt them.
- Reviewed and approved the appropriateness of the accounting policies and practices.
- Ensured compliance with IFRS® Accounting Standards, including consistent application to all periods as presented in the consolidated financial statements.
- Evaluated and determined the effectiveness of the company's internal control systems.
- Reviewed legal matters that could have a significant impact on the company's financial statements.
- Reviewed the requirements of King IV and instances where the King IV requirements have not been applied, have been explained in the Corporate Governance Report.
- Considered the JSE's most recent report on the proactive monitoring of financial statements and, where necessary, those of previous periods. The committee has taken appropriate action to respond to the findings as highlighted in the JSE's report when preparing the annual financial statements for the year under review.
- In accordance with paragraph 3.84(g)(ii) of the JSE Listings Requirements, the committee further confirms that the company has established appropriate financial reporting procedures and that those procedures are operating effectively.

External audit function

- Reviewed the external audit reports on the consolidated financial statements.
- Nominated the external auditor for appointment by the shareholders.
- Monitored and reported on the independence of the external auditor.

Audit committee report
(continued)

- Approved the budgeted audit fees, audit plan and engagement terms of the external auditor.
- Determined the nature and extent of allowable non-audit services and approved the contract terms for the provision of non-audit services by the external auditor.
- Determined that the audit firm and designated auditor is accredited as such on the JSE list of auditors and advisers.
- Reviewed any key audit matters identified by the external auditor and is satisfied that it has been adequately addressed.

Finance function

- Considered the expertise and resources of the finance function, as well as the experience of the senior members of management responsible for the financial function.
- Considered the expertise and experience of the financial director.

Internal audit function

- Oversaw the functioning of the internal audit department and performance assessment of the head of internal audit, including the representative of the outsourced internal audit function.
- Approved the annual internal audit plan and monitored the progress thereof.

INDEPENDENT EXTERNAL AUDIT

The audit committee reviewed a representation by the external auditor and, after conducting its own review, confirmed the expertise and objectivity of PwC as the external auditor and noted Mr Richard Jacobs as the designated auditor for the year under review. The external auditor has unrestricted access to the company's records and management and furnishes a written report to the committee on significant findings arising from the annual audit. The committee is satisfied that the external auditor is independent of Deneb as set out in section 94(8) of the Companies Act and suitable for re-appointment at the annual general meeting by considering, inter alia, the information stated in paragraph 22.15(h) of the JSE Limited Listings Requirements.

INTERNAL AUDIT AND INTERNAL CONTROL

The outsourced internal audit function is an independent and objective assurance and consulting function that adds value and improves the operations of the company. It assists to accomplish objectives by evaluating and improving the adequacy and effectiveness of risk management, internal control and governance processes. The internal audit function reports functionally to the chairperson of the audit committee, but administratively to the financial director.

A risk-based approach has been applied to develop the annual internal audit plan. The internal audit plan:

- is formally approved by the audit committee;
- is formulated by considering key risk factors as identified through ongoing risk assessments, but also incorporating any additional matters identified by management and the audit committee;
- considers the evaluation of governance processes, operational and financial processes and associated controls in accordance with the combined assurance model;
- assesses the internal financial controls; and
- is reviewed to consider new risk areas as the business evolves.

Any material or significant control weaknesses are brought to the attention of management and the audit committee.

EXPERTISE AND FINANCIAL EXPERIENCE OF FINANCIAL DIRECTOR AND FINANCE FUNCTION

The audit committee is satisfied that in terms of paragraph 3.84(g)(i) of the JSE Limited Listings Requirements the expertise and experience of the financial director is appropriate to meet the responsibilities of the position. This is based on the qualifications, continuing professional education and the committee's assessment of the financial knowledge and levels of experience of the financial director.

The committee has reviewed the resources of the finance function, the experience of the senior members of management responsible for the financial function and has concluded that the function is performing adequately in terms of the requirements of the audit committee.

APPROVAL OF THE AUDIT COMMITTEE REPORT

The committee confirms that it has functioned in accordance with its terms of reference for the 2024 financial year and complied with all statutory and regulatory responsibilities.

Mohamed Ahmed
Chairperson

24 June 2024

Directors' responsibility statement and CEO and CFO's responsibility statement

The directors are responsible for the preparation and fair presentation of the consolidated financial statements of Deneb Investments Limited, which comprise the consolidated statement of financial position as at 31 March 2024 and the consolidated statement of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes, as set out on pages 64 to 132. The consolidated financial statements were prepared in accordance with IFRS® Accounting Standards, the Listings Requirements of the JSE and the requirements of the Companies Act of South Africa and Companies Regulations, 2011. In addition, the directors are also responsible for preparing the Directors' Report.

The directors are also responsible for such internal control as they determine as necessary to facilitate the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and for maintaining adequate accounting records and an effective system of risk management as well as the preparation of the supplementary schedules included in these financial statements.

The directors have made an assessment of the ability of the company and its subsidiaries to continue as a going concern and have no reason to believe that the business will not be a going concern in the year ahead.

The auditors are responsible for reporting on whether the consolidated financial statements are fairly presented in accordance with the applicable financial reporting framework.

The directors of the Group are responsible for the control over and security of the website and, where applicable, for establishing and controlling the process for electronically distributing annual reports and other financial information to shareholders, and to the Companies and Intellectual Property Commission.

CEO AND CFO'S RESPONSIBILITY STATEMENT

Each of the directors, whose names are stated below, hereby confirm that:

- the annual financial statements set out on pages 64 to 132, fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS®;
- to the best of our knowledge and belief no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, having fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls;
- where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls; and
- we are not aware of any fraud involving directors.

APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

The consolidated financial statements of Deneb Investments Limited, as identified in the first paragraph, were approved by the board of directors on 24 June 2024 and signed on its behalf by:

Stuart Queen
Chief executive officer

Gys Wege
Group financial director

Declaration by the company secretary

We certify that Deneb Investments Limited has lodged with the Companies and Intellectual Property Commission, for the financial year ended 31 March 2024, all such returns as are required by a public company in terms of the Companies Act of South Africa and that such returns are true, correct and up to date.

Cheryl Philip
Company secretary

24 June 2024

Directors' report

The directors have pleasure in submitting their report on the activities of the business together with the consolidated financial statements for the year ended 31 March 2024.

NATURE OF BUSINESS

Deneb Investments Limited, incorporated in South Africa, is a diverse investment company operating predominantly in Southern Africa and listed on the JSE Limited under the Financial Services – Diversified Financial Services sector.

GENERAL REVIEW OF OPERATIONS

The results of the Group are set out in the Integrated Annual Report and consolidated financial statements of which this report forms part.

STATED CAPITAL

During the year under review, 1 736 379 (2023: 6 969 291) shares were issued in terms of the Group's share incentive scheme and 1 859 107 (2023: 4 288 127) shares were bought back. Refer to note 20.

HOLDING COMPANY

The company's ultimate holding company is Hosken Consolidated Investments Limited ("HCI").

DISTRIBUTION

The directors declared a 10 cents distribution to shareholders during the year ended 31 March 2024 (2023: 9 cents).

POST YEAR-END EVENTS

Refer to note 35.

GOING CONCERN

The directors have made an assessment of the ability of the Group to continue as a going concern and have no reason to believe that the business will not be a going concern in the year ahead.

DIRECTORATE

The directors of the company appear on pages 28 to 30. During the year under review there were no changes to the directorate.

COMPLIANCE WITH THE COMPANIES ACT AND MOI

The directors confirm compliance with the provisions of the Companies Act and that the company operated in conformity with its memorandum of incorporation during the year under review.

DIRECTORS' EMOLUMENTS

Directors' emoluments for the year ended 31 March 2024 are set out in the Remuneration Report and in note 27 of the consolidated financial statements.

SECRETARY'S AND ADMINISTRATIVE DETAILS

The company secretary is Ms C L Philip. Her business address is located at Suite 801, 76 Regent Road, Sea Point, 8005.

MATERIAL CHANGE

There has been no material change in the financial or trading position of the company since the publication of its condensed consolidated results for the year ended 31 March 2024.

SPECIAL RESOLUTIONS

The following special resolutions were passed by the company's shareholders at the annual general meeting of shareholders held on 21 August 2023:

- approval of the fees payable to non-executive directors for their services as directors or as members of the board sub-committees in respect of the period 1 September 2023 until the next annual general meeting of the company;
- granting the company general authority to issue shares, options and convertible securities for cash, subject to such issue, in the aggregate, not exceeding 5% (five percent) of the company's relevant number of ordinary shares at the date of the notice;
- granting the company and the subsidiaries of the company a general authority contemplated in terms of paragraph 5.72 of the JSE Listings Requirements, for the acquisition by the company, or a subsidiary of the company, of ordinary issued shares issued by the company; and
- granting the company authorisation to provide financial assistance to subsidiaries in accordance with sections 44 and 45 of the Companies Act.

SPECIAL RESOLUTIONS OF SUBSIDIARIES

The statutory information relating to special resolutions passed by subsidiaries is available from the registered office of the company.

Independent auditor's report
to the Shareholders of Deneb Investments Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Deneb Investments Limited ("the Company") and its subsidiaries (together "the Group") as at 31 March 2024, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa.

What we have audited

Deneb Investments Limited's consolidated financial statements set out on page 64 to 132 comprise:

- the consolidated statement of financial position as at 31 March 2024;
- the consolidated statement of profit or loss and other comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the consolidated statement of cash flows for the year then ended; and
- the notes to the financial statements, including material accounting policy information.

Basis for opinion

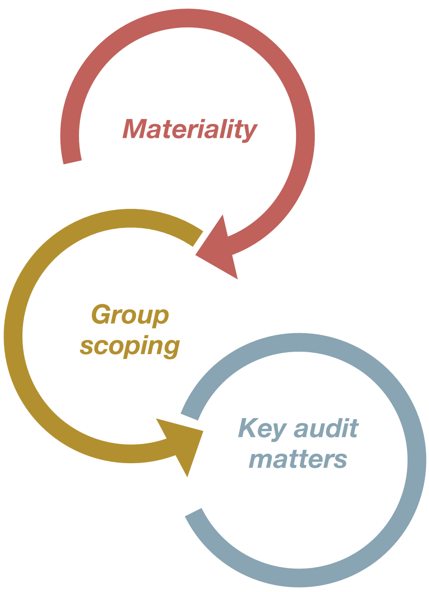
We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* ("IRBA Code") and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards).*

Our audit approach



Overview

Overall Group materiality

- R28 200 000, which represents 0.80% of consolidated revenue.

Group audit scope

- Eight of the components were subject to a full-scope audit and six components were subject to the audit of specific balances and transactions. A combination of review and analytical procedures were performed over the remaining components.

Key audit matters

- Valuation of investment properties and owner-occupied properties.

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the consolidated and separate financial statements. In particular, we considered where the directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

Independent auditor's report
(continued)

Materiality

The scope of our audit was influenced by our application of materiality. An audit is designed to obtain reasonable assurance whether the financial statements are free from material misstatement. Misstatements may arise due to fraud or error. They are considered material if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated financial statements.

Based on our professional judgement, we determined certain quantitative thresholds for materiality, including the overall Group materiality for the consolidated financial statements as a whole as set out in the table below. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures and to evaluate the effect of misstatements, both individually and in the aggregate on the financial statements as a whole.

Overall Group materiality	R28 200 000.
How we determined it	0.80% of consolidated revenue.
Rationale for the materiality benchmark applied	We chose consolidated revenue as our materiality benchmark because, in our view, it reflects the activity levels of the Group, and it is a benchmark against which the performance of the Group is most commonly measured by users. We chose 0.80% based on our professional judgement, after consideration of the range of qualitative materiality thresholds that we would typically apply when using revenue to compute materiality, and taking into account the level of debt in relation to the ratio of funding through equity.

How we tailored our group audit scope

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

The Group consists of the Company and its 24 operational subsidiaries (referred to as "components"), excluding dormant companies. Our scoping assessment included consideration of the financial significance of the Group's components as well as the sufficiency of work planned over material line items in the consolidated financial statements. Eight of the components were subject to a full-scope audit and six components were subject to an audit of specified balances and transactions. The remainder of the components were considered to be insignificant to the Group individually and in aggregate.

This, together with additional procedures performed at the Group level, including review and analytical procedures in respect of other components and testing of consolidation journals and intercompany eliminations, gave us the audit evidence we needed for our opinion on the consolidated financial statements as a whole.

In establishing the overall approach to the Group audit, we determined the extent of the work that needed to be performed by us, as the Group engagement team, and by component auditors from other PwC network firms operating under our instruction, in order to issue our audit opinion on the consolidated financial statements of the Group. Where the work was performed by component auditors, we determined the level of involvement necessary in the audit work at those components to be able to conclude whether sufficient appropriate audit evidence has been obtained as a basis for our opinion on the consolidated financial statements as a whole.

We had various interactions with our component teams in which we discussed audit risks, materiality and audit approaches. We discussed the reports of the component teams, the findings of their procedures and other matters which could be of relevance for the consolidated financial statements.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Investment properties and owner-occupied land and buildings The Group's property portfolio comprises industrial, office and retail investment properties with these being accounted for and disclosed as either owner-occupied or investment properties in the consolidated financial statements. The Group measures owner-occupied properties and investment properties at fair value with changes in the underlying fair values being reflected in other comprehensive income and in profit or loss respectively. As at 31 March 2024, the fair values attributed to owner-occupied properties and investment properties were R294.7 million and R1.02 billion, respectively. Included in consolidated other comprehensive income is a pre-tax amount of R16.4 million relating to the revaluation gain on land and buildings and included in consolidated profit or loss a pre-tax gain amount of R0.6 million. We considered the valuation of investment properties and owner-occupied properties to be a matter of most significance to our current-year audit due to the: • Magnitude of the investment property and owner-occupied property balances in the consolidated statement of financial position; and • Key judgements involved in respect of the unobservable inputs utilised in the valuation. Disclosure is provided in the consolidated financial statements in notes 9, 13 and 14, respectively	We evaluated the competency of the external experts engaged by the Group to perform the property valuations. This evaluation included but was not limited to assessing the professional qualifications and experience and independence of these experts. Significant judgement is applied in determining the capitalisation rates and other assumptions which will be disclosed in the financial statements. We obtained an understanding of the prevailing market conditions in which the Group invests by inspecting the latest Rodes and The South African Property Owners Association ("SAPOA") Cap and Discount Rate Reports. Making use of our valuations expertise, we compared historical valuations against current-year valuations, and noted that the movements appear to be in line with overall shifts in the market as evidenced in the property market reports. We met with management and discussed the details of selected individual properties, any new leases entered into during the year, lease expiries, capital expenditure and vacancy rates. We assessed the reasonableness of the unobservable inputs used in the valuation by performing the following procedures: • For a sample of leases, we compared the projected income used in the valuation to the tenancy schedule which was vouched to actual lease contracts. We found that the data used in the samples tested were accurate and consistent with tenant leases. • We compared market capitalisation rates by location and asset grade to an independent range determined based on benchmark market data for these assumptions. Where capitalisation rates fell outside of our anticipated ranges, we challenged the rationale supporting the rates applied in the valuation by discussing with management their reasons for supporting the adopted metric. Typically, the variances related to the relative age, or size/location of the property. In the context of the specific properties identified, the reasons provided by management for the variances were accepted. For a sample of properties, we compared the occupancy rates used in the external valuation to the SAPOA Cap and Discount Rate Report, based on the location of each property. We found that the occupancy rates fell within an acceptable range. Using our valuation expertise, we assessed the impact of the current economic climate on the forward rentals and capitalisation rates, adjusted for risk factors present, such as the occupancy rates and associated reletting prospects in the property portfolio.

Independent auditor's report
(continued)

Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Deneb Investments Limited Integrated annual report 2024" and "Deneb Investments Limited Separate Annual Financial Statements for the year ended 31 March 2024", which includes the Directors' report, the Audit committee report and the Declaration by the company secretary as required by the Companies Act of South Africa. The other information does not include the consolidated or the separate financial statements and our auditor's reports thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated financial statements

The directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that PricewaterhouseCoopers Inc. has been the auditor of Deneb Investments Limited for seven years.

PricewaterhouseCoopers Inc.

PricewaterhouseCoopers Inc.
Director: R Jacobs
Registered Auditor

Cape Town
24 June 2024

Consolidated statement of profit or loss and other comprehensive income

for the year ended 31 March

Continuing operations	Notes	2024 R000's	2023 R000's
Revenue	4, 5	**3 527 707**	3 289 787
Cost of sales	5	**(2 695 686)**	(2 502 994)
Gross profit		**832 021**	786 793
Other income	5	**43 513**	112 187
Selling and distribution expenses		**(309 547)**	(303 998)
Administrative and other expenses		**(313 795)**	(315 897)
Operating profit before finance costs, impairments and revaluation of properties	5	**252 192**	279 085
Revaluation of properties	9, 13, 14	**570**	8 395
Impairments	6	**(1 587)**	(6 143)
Profit before finance costs		**251 175**	281 337
Finance income	7	**1 370**	1 624
Lease finance expenses	7, 12	**(14 116)**	(12 894)
Finance expenses	7	**(110 570)**	(77 146)
Profit before taxation		**127 859**	192 921
Income tax expense	8	**(27 201)**	(52 112)
Profit after tax		**100 658**	140 809
Discontinued operations			
Loss from discontinued operations, net of tax	9	**–**	(5 708)
Profit		**100 658**	135 101
Other comprehensive income, net of related tax			
Items that will not be reclassified to profit or loss			
Revaluation of land and buildings		**12 876**	(1 138)
Revaluation	13	**16 424**	(1 451)
Related tax	8	**(3 548)**	313
Post-employment medical benefit – actuarial gain		**997**	3 848
Actuarial gain	21	**1 365**	5 271
Related tax	8	**(368)**	(1 423)
Fair value gain on financial asset at fair value through other comprehensive income		**869**	–
Items that may be reclassified to profit or loss			
Fair value loss on financial asset at fair value through other comprehensive income		**–**	(280)
Foreign operations – foreign currency translation differences		**2 329**	4 877
Other comprehensive income, net of tax		**17 071**	7 307
Total comprehensive income for the year		**117 729**	142 408
Profit attributable to:			
Owners of the company		**101 141**	135 506
Non-controlling interest	34	**(483)**	(405)
		100 658	135 101
Total comprehensive income attributable to:			
Owners of the company		**118 212**	142 813
Non-controlling interest	34	**(483)**	(405)
		117 729	142 408
Basic earnings per share	cents	**23.06**	31.01
Basic earnings per share from continuing operations		**23.06**	32.32
Basic loss per share from discontinued operations		**–**	(1.31)
Diluted earnings per share	cents	**22.45**	30.26
Diluted earnings per share from continuing operations		**22.45**	31.53
Diluted loss per share from discontinued operations		**–**	(1.27)

Consolidated statement of financial position

as at 31 March

	Notes	2024 R000's	2023 R000's
ASSETS			
Non-current assets		**2 158 310**	2 164 232
Property, plant and equipment		**952 250**	931 346
Plant and equipment	11	**586 746**	563 246
Right-of-use assets	12	**70 851**	87 754
Owner-occupied properties	13	**294 653**	280 346
Investment properties	14	**1 024 362**	1 063 513
Intangible assets and goodwill	15	**42 033**	42 447
Intangible assets		**20 122**	20 536
Goodwill		**21 911**	21 911
Financial assets at fair value through other comprehensive income	16	**22 675**	6 236
Long-term receivables	17	**3 065**	5 072
Deferred tax assets	8	**113 925**	115 618
Current assets		**1 283 154**	1 318 570
Inventories	18	**581 882**	644 970
Trade and other receivables	19	**543 698**	564 400
Current tax assets		**4 379**	11 402
Cash and cash equivalents		**153 195**	97 798
Non-current assets held for sale	9.3	**115 000**	132 500
Total current assets		**1 398 154**	1 451 070
Total assets		**3 556 464**	3 615 302
EQUITY AND LIABILITIES			
Total equity		**1 854 900**	1 781 152
Stated capital	20	**1 420 216**	1 465 203
Reserves		**435 572**	316 354
Equity attributable to owners of the company		**1 855 788**	1 781 557
Non-controlling interest	34	**(888)**	(405)
Non-current liabilities		**1 052 157**	1 105 541
Deferred tax liabilities	8	**26 066**	17 415
Post-employment medical aid benefits	21	**67 831**	69 437
Deferred income	24	**91 054**	94 949
Interest-bearing liabilities	22	**787 339**	818 999
Lease liabilities	12	**79 867**	104 741
Current liabilities		**649 407**	728 609
Current tax liabilities		**4 539**	2 093
Post-employment medical aid benefits	21	**7 878**	7 670
Deferred income	24	**10 900**	10 103
Interest-bearing liabilities	22	**49 669**	66 766
Lease liabilities	12	**29 141**	18 784
Trade and other payables	23	**484 096**	555 843
Bank overdraft		**63 184**	67 350
Total liabilities		**1 701 564**	1 834 150
Total equity and liabilities		**3 556 464**	3 615 302

Consolidated statement of changes in equity

for the year ended 31 March

	Notes	Stated capital total R000's	Other reserves R000's	Retained income R000's	Total R000's	Non-controlling interest R000's	Total R000's
Balance at 31 March 2022		1 462 143	288 668	(71 909)	216 759	–	1 678 902
Total comprehensive income		–	3 459	139 354	142 813	(405)	142 408
Profit		–	–	135 506	135 506	(405)	135 101
Other comprehensive income, net of tax		–	3 459	3 848	7 307	–	7 307
Fair value loss on financial asset at fair value through other comprehensive income		–	(280)	–	(280)	–	(280)
Foreign operations – foreign currency translation differences		–	4 877		4 877	–	4 877
Revaluation of land and buildings, net of tax		–	(1 138)	–	(1 138)	–	(1 138)
Post-employment medical benefits – actuarial gain, net of tax	21	–	–	3 848	3 848	–	3 848
Transactions with owners of the company		3 060	–	(43 218)	(43 218)	–	(40 158)
Share buy-back		(9 090)	–	–	–	–	(9 090)
Share scheme – expense		–		8 142	8 142	–	8 142
– options exercised		12 150	–	(12 150)	(12 150)	–	–
Distribution to shareholders		–	–	(39 210)	(39 210)	–	(39 210)
Balance at 31 March 2023		**1 465 203**	**292 127**	**24 227**	**316 354**	**(405)**	**1 781 152**
Total comprehensive income		**–**	**16 074**	**102 138**	**118 212**	**(483)**	**117 729**
Profit		**–**	**–**	**101 141**	**101 141**	**(483)**	**100 658**
Other comprehensive income, net of tax		**–**	**16 074**	**997**	**17 071**	**–**	**17 071**
Fair value gain on financial asset at fair value through other comprehensive income		**–**	**869**	**–**	**869**	**–**	**869**
Foreign operations – foreign currency translation differences		**–**	**2 329**	**–**	**2 329**	**–**	**2 329**
Revaluation of land and buildings, net of tax		**–**	**12 876**	**–**	**12 876**	**–**	**12 876**
Post-employment medical benefits – actuarial gain, net of tax	21	**–**	**–**	**997**	**997**	**–**	**997**
Transactions with owners of the company		**(44 987)**	**–**	**1 006**	**1 006**	**–**	**(43 981)**
Share buy-back		**(4 767)**	**–**	**–**	**–**	**–**	**(4 767)**
Share scheme – expense		**–**	**–**	**4 618**	**4 618**	**–**	**4 618**
– options exercised		**3 612**	**–**	**(3 612)**	**(3 612)**	**–**	**–**
Distribution to shareholders*		**(43 832)**	**–**	**–**	**–**	**–**	**(43 832)**
Balance at 31 March 2024		**1 420 216**	**308 201**	**127 371**	**435 572**	**(888)**	**1 854 900**

* *During the year a distribution of 10 cents (2023: 9 cents) (gross) per share was declared on 25 May 2023 out of capital reserves.*

Consolidated statement of cash flows

for the year ended 31 March

	Notes	2024 R000's	2023 R000's
Net cash flows from operating activities		**194 671**	132 478
Profit		**100 658**	135 101
Adjustments for:			
– Depreciation	5	**94 574**	74 785
– Amortisation of intangible asset	5, 15	**2 314**	4 104
– Revaluation of investment property	9, 13, 14	**(570)**	(8 395)
– Net foreign exchange (gains)/losses – unrealised		**(523)**	64
– Government grants relating to interest-free loans		**(993)**	(9 980)
– Net profit on disposal of property, plant and equipment		**(30)**	(1 227)
– Profit on non-current assets held for sale		**(4 042)**	(199)
– Net profit on lease termination		**–**	(154)
– Impairment of assets	6	**1 587**	6 143
– Investment income		**(136)**	(145)
– Post-employment medical benefit	21	**8 048**	7 770
– Share incentive scheme	34	**3 937**	5 282
– Inventory write-down		**3 132**	3 014
– Finance costs	7	**123 316**	88 416
– Deferred income		**(18 939)**	(12 065)
– Tax expense	8	**27 201**	52 112
Cash generated from operating activities before working capital changes		**339 534**	344 626
Changes in:			
– Inventories		**40 980**	(70 853)
– Trade and other receivables		**23 811**	8 510
– Post-employment medical benefit		**(8 081)**	(7 966)
– Trade and other payables		**(71 747)**	(30 738)
– Long-term receivables		**2 007**	2 883
Cash outflow from working capital changes		**(13 030)**	(98 164)
Finance costs	7	**(123 316)**	(88 416)
Taxes paid		**(10 880)**	(35 567)
Government grants		**2 363**	10 000
Net cash flow from investing activities		**(17 128)**	(232 359)
Acquisition of property, plant and equipment		**(84 305)**	(229 695)
Proceeds from sale of assets held for sale	9.3	**64 227**	709
Proceeds from sale of intangible assets		**–**	368
Proceeds from sale of property, plant and equipment		**9 770**	4 245
Development cost of investment property	14	**(2 964)**	(17 325)
Acquisition of investments	16	**(15 570)**	(2 279)
Acquisition of intangible assets		**(1 900)**	(1 866)
Investment income		**136**	145
Disposal of interest in subsidiary companies	25	**–**	1 229
Government grants		**13 478**	12 110
Net cash flow from financing activities		**(117 980)**	71 334
Proceeds from borrowings		**18 282**	217 966
Repayment of borrowings		**(68 923)**	(79 570)
Principal elements of lease payments		**(18 740)**	(18 762)
Share buy-back	20.1	**(4 767)**	(9 090)
Distribution to shareholders		**(43 832)**	(39 210)
Net increase in cash and cash equivalents		**59 563**	(28 546)
Cash and cash equivalents at the beginning of the year		**30 448**	58 994
Cash and cash equivalents at the end of the year		**90 011**	30 448
Cash and cash equivalents comprise the following:			
Cash and cash equivalents		**153 195**	97 798
Bank overdrafts		**(63 184)**	(67 350)
		90 011	30 448

Notes to the financial statements

for the year ended 31 March

1. ACCOUNTING POLICIES

Deneb Investments Limited ("the company") is a company domiciled in South Africa. The consolidated financial statements of the company for the year ended 31 March 2024 and comparative figures for the year ended 31 March 2023 comprise the company and its subsidiaries (together referred to as "the Group"). The company's registered office is 5th Floor, Deneb House, 368 Main Road, Observatory, 7925, Cape Town.

1.1 Material accounting policies

Statement of compliance

The consolidated financial statements have been prepared in accordance with IFRS® Accounting Standards ("IFRS®") and the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Pronouncements as issued by the Financial Reporting Standards Council, the JSE Listings Requirements and the requirements of the South African Companies Act.

Basis of preparation

The consolidated financial statements are presented in South African Rand, which is the company's functional currency and presentation currency, rounded to the nearest thousand.

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern. This basis assumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities, contingent obligations and commitments will occur in the ordinary course of business.

Historical cost bases have been used under IFRS®, adjusted for those assets and liabilities measured at fair value, where applicable.

The Group has consistently applied the accounting policies set out here to all periods presented in these consolidated financial statements.

A number of new or amended standards became applicable for the current reporting period, which did not have a material impact on the Group. Therefore, the Group did not have to change its accounting policies or make retrospective adjustments as a result of these standards.

Predecessor accounting

The internal reorganisation of the Group in 2014 represented a common control transaction as Hosken Consolidated Investment Limited ("HCI") is the ultimate controlling entity before and after the transaction. Common control transactions fall outside the scope of IFRS 3 and IFRIC 17, and are not specifically addressed in IFRS®.

Acquisitions by the Group of entities which are under common control are accounted for using predecessor accounting. The assets and liabilities of the acquired entity are recognised at the predecessor values; therefore no restatement of the acquiree's assets and liabilities to fair value are required. The difference between the consideration transferred and the carrying value of the net assets is recorded in equity in a common control reserve; as a result no goodwill is recognised on acquisition. The consolidated financial statements incorporate the acquired entity's results from the first day of the month in which the transaction took place. Consequently, the consolidated financial statements do not reflect the results of the acquired entity for the period before the transaction occurred. The corresponding amounts for the prior period are also not restated.

Judgements and estimates

The preparation of financial statements in conformity with IFRS® requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The assumptions and estimates are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods. The areas involving information about significant areas of estimation, uncertainty and critical judgements are given in note 2, Use of judgements and estimates.

Basis of consolidation

Subsidiaries

Subsidiaries are entities controlled by the Group. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group. Losses applicable to the non-controlling interests in a subsidiary are allocated to the non-controlling interests even if doing so causes the non-controlling interests to have a deficit balance.

Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date – i.e. when control is transferred to the Group. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Any contingent consideration payable is recognised at fair value at the acquisition date. If the contingent consideration is classified as equity, it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes to the fair value of the contingent consideration are recognised in profit or loss.

If share-based payment awards (replacement awards) are required to be exchanged for awards held by the acquiree's employees (acquiree's awards) and relate to past services, then all or a portion of the amount of the acquirer's replacement awards is included in measuring the consideration transferred in the business combination. This determination is based on the market-based value of the replacement awards compared with the market-based value of the acquiree's awards and the extent to which the replacement awards relate to past and/or future services.

Goodwill and bargain purchase

Goodwill that arises on the acquisition of subsidiaries is presented with intangible assets. Goodwill is subsequently measured at cost less accumulated impairment losses.

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

Loss of control

Upon the loss of control over a subsidiary, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary.

Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as a financial asset at fair value through other comprehensive income depending on the level of influence retained.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

Accounting for acquisitions of non-controlling interests

The Group applies IFRS 10 Consolidated Financial Statements in accounting for acquisitions of non-controlling interests. Acquisitions of non-controlling interests are accounted for as transactions with owners in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. The adjustments to non-controlling interests are based on a proportionate amount of the net assets of the subsidiary.

Property, plant and equipment

Recognition and measurement

Owner-occupied buildings are initially recognised at cost and are subsequently revalued to approximate fair value. When an item of property, plant and equipment is revalued, any accumulated depreciation at the date of the revaluation is eliminated against the gross carrying amount of the asset and the net amount restated to the revalued amount of the asset.

Other items of property, plant and equipment are measured at historical cost less accumulated depreciation and accumulated impairment losses. The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefit embodied within the part will flow to the Group and its cost can be measured reliably.

Where an item of property, plant and equipment comprises major components with different useful lives, the components are accounted for as separate items of property, plant and equipment.

Depreciation

Land is not depreciated while buildings are depreciated on a straight-line basis over their estimated useful lives. The split between land and buildings is determined by external, independent property valuators. Depreciation is provided on a straight-line basis over the estimated useful lives of the assets. Estimates of useful lives, residual values and methods of depreciation are reviewed annually. Any changes are accounted for prospectively as a change in accounting estimate. If the expected residual value of an asset is equal to or greater than its carrying value, depreciation on that asset is ceased. Depreciation is resumed when the expected residual value falls below the asset's carrying value.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, and is recognised net within other income/other expenses in profit or loss. When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Reclassification to investment property

When the use of a property changes from owner occupied to investment property, the property is remeasured to fair value and reclassified as investment property. Property that is being constructed for future use as investment property is accounted for at fair value. Any gain arising on remeasurement is recognised in profit or loss to the extent the gain reverses a previous impairment loss on the specific property, with any remaining gain recognised in other comprehensive income and presented in the revaluation reserve in equity. Any loss is recognised in other comprehensive income and presented in the revaluation reserve in equity to the extent that an amount had previously been included in the revaluation reserve relating to the specific property, with any remaining loss recognised immediately in profit or loss.

Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for resale in the ordinary course of business, use in the production or supply of goods or services or administrative purposes. Investment property is measured at fair value with any change therein recognised in profit or loss.

When the use of a property changes such that it is reclassified as property, plant and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting. Property interests held under operating leases are not treated as investment properties.

Costs include expenditure that is directly attributable to the acquisition of the investment property. The cost of self-constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Any gain or loss on the disposal of an investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

Properties classified as having a dual purpose, whereby part of the property is used for own-use activities and part is used as an investment property, are split between investment property and owner-occupied property if the investment portion can be sold or leased out separately under a finance lease. If a portion cannot be sold or leased out separately under a finance lease, then the entire property is classified as investment property only if the property held for own use is insignificant. As an internal guide, where more than 25% of a property is internally tenanted, the property is classified as owner-occupied property.

Discontinued operations

A discontinued operation is a component of the Group's business that represents a separate major line of business or geographical area of operation that has been disposed of or is held for sale, or is a subsidiary acquired exclusively with a view to resell. Classification as a discontinued operation occurs upon disposal or when the operation meets the criteria to be classified as held for sale, if earlier. When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is re-presented as if the operation had been discontinued from the start of the comparative period.

Non-current assets held for sale

Non-current assets (or disposal groups comprising assets and liabilities) that are expected to be recovered primarily through sale rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are remeasured in accordance with the Group's accounting policies. Thereafter generally the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on a disposal group is first allocated to goodwill, and then to remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets and employee benefit assets, which continue to be measured in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Once classified as held for sale, intangible assets and property, plant and equipment are no longer amortised or depreciated.

Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale are presented separately from the other assets in the balance sheet. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the balance sheet.

Impairments

Financial assets

The Group recognises an allowance for expected credit losses ("ECLs") for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the effective interest rate ("EIR").

The Group applies a simplified approach for measuring impairment on trade and lease receivables at an amount equal to lifetime ECLs. To measure lifetime ECLs, trade and lease receivables are assessed on an individual basis. The ECL rates are based on payment profiles of clients over a period of 36 to 72 months and the corresponding historical credit losses experienced within this period. The historical losses are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of customers to settle the receivables. ECLs are only recognised to the extent that the underlying receivables are not insured.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

The Group applies a general approach for measuring impairment on other receivables, at an amount equal to ECLs, taking into account past experience and future macroeconomic factors.

The Group considers a financial asset in default when payment terms are exceeded. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive outstanding contractual amounts in full. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Non-financial assets

The carrying amounts of the Group's non-financial assets, except for investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. Goodwill and indefinite-lived intangible assets are tested annually for impairment. An impairment loss is recognised if the carrying amount of an asset or cash-generating unit ("CGU") exceeds its recoverable amount.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Subject to an operating segment ceiling test, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment testing is performed reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to groups of CGUs that are expected to benefit from the synergies of the combination.

Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs), and then to reduce the carrying amounts of the other assets in the CGU (group of CGUs) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Finance income and expenses

Finance income comprises interest income on funds invested and is recognised as it accrues in profit or loss, using the EIR method.

Finance expenses comprise interest expense on borrowings and all borrowing costs not capitalised in terms of IAS 23 are recognised in profit or loss using the effective interest method.

Income tax

Income tax comprises current and deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in equity or in other comprehensive income, in which case it is recognised in equity or other comprehensive income.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future and the Group is in control of the entity. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Deferred tax assets and liabilities are off-set if there is a legally enforceable right to off-set current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Dividends withholding tax is a tax on shareholders receiving dividends and is applicable to all dividends declared on or after 1 April 2013.

The company withholds dividends tax on behalf of its shareholders at a rate of 20% on dividends declared. Amounts withheld are not recognised as part of the company's tax charge but rather as part of the dividend paid recognised directly in equity.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Where withholding tax is withheld on dividends received, the dividend is recognised at the gross amount with the related withholdings tax recognised as part of tax expense unless it is otherwise reimbursable, in which case it is recognised as an asset.

Inventory

Raw materials and consumables, work-in-progress and finished goods are stated at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses. Cost is determined on the first-in, first-out principle and includes direct material costs together with appropriate allocations of labour and overheads based on normal operating capacity.

Financial instruments

The accounting policies relating to financial instruments below have been disclosed based on the requirements of IFRS 9.

Initial recognition and measurement

The classification of the Group's financial instruments at initial recognition depends on the financial instrument's contractual cash flow characteristics and the Group's model for managing them. The Group manages most of its financial assets in order to generate cash flows, by determining whether cash flows will result from collecting cash flows and whether the contractual cash flows are solely payments of principal amounts and interest. The Group classifies its financial instruments into the following categories: financial assets at amortised cost, financial assets at fair value through profit or loss, financial instruments at fair value through other comprehensive income, financial liabilities at amortised cost and financial liabilities at fair value through profit or loss.

Financial instruments are initially recognised at fair value. For those instruments not measured at fair value through profit or loss, directly attributable transaction costs are included on initial measurement. Subsequent to initial recognition financial instruments are measured as described below.

Financial assets at fair value through other comprehensive income

Investments

Listed investments classified as financial assets at fair value through comprehensive income are carried at fair value, which is calculated by reference to stock exchange quoted selling prices at the close of business at the reporting date. Unlisted investments are shown at fair value, unless their fair value cannot be reliably determined, in which case they are shown at cost less accumulated impairment losses. Gains and losses are recognised in other comprehensive income in another reserve except for impairment losses, which are expensed in profit or loss.

Financial assets at amortised cost

The Group measures financial assets at amortised cost if both the following conditions are met:

- the financial asset is held with the objective to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the EIR method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost include trade and other receivables, cash and cash equivalents and long-term receivables.

Trade receivables

Trade receivables are recognised initially at the amount of consideration that is unconditional, unless they contain significant financing components when they are recognised at fair value. They are subsequently measured at amortised cost using the EIR method, less loss allowance. Details about the Group's impairment policies and the calculation of the loss allowance are provided in note 22.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are measured at amortised cost. Bank overdrafts that are payable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the statement of cash flows. Cash and cash equivalents are measured at amortised costs.

Financial liabilities at amortised cost

Financial liabilities at amortised cost mainly comprise borrowings and trade and other payables.

Financial liabilities, trade and other payables

Non-derivative financial liabilities are recognised at amortised cost using the EIR method, comprising original debt less principal payments and amortisations.

Financial instruments at fair value through profit or loss

Financial instruments are classified at fair value through profit or loss if they are held for trading.

The Group's financial assets and liabilities at fair value through profit or loss comprise derivative assets and liabilities shown on the statement of financial position as part of trade and other receivables and trade and other payables, respectively.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Derivative instruments

Derivative instruments are measured at fair value. Changes in the fair value are recognised in profit or loss.

Offset

In the instance that the Group has a current legal right to apply an amount due from a third party against the amount due to a creditor, provided that there is an agreement among the two parties that clearly establishes the contractual right to set-off, and the Group intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously, the related amounts are off-set and the net amounts reported in the statement of financial position.

Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The exchange between the Group and its original lenders of debt instruments with substantial modifications of the terms of existing financial liabilities are accounted for as an extinguishment of the original financial liability and recognition of a new liability. The Group assesses both the quantitative and qualitative factors in determining a substantial modification, such as the new term and changes in the type of interest rate.

Revenue

Revenue from contracts with customers

Revenue is recognised when the Group satisfies performance obligations and transfers control of goods or services to its customers at an amount that reflects the consideration the Group expects to be entitled to in exchange for these goods or services, allocated to each specific performance obligation. Revenue is measured at the fair value of consideration received or receivable.

Revenue is generally recognised at a point in time; however, for our tooling supply arrangements control is transferred over a period of time, and revenue is recognised when associated costs can be estimated reliably. When revenue is recognised over time, costs incurred to fulfil the contract to date are effectively recognised immediately, since the revenue booked represents recovery of costs incurred at zero profit margin.

Some products are sold with volume rebates and trade discounts. Revenue from these sales are recognised based on the price specified in the contract, net of the estimated returns, net of the estimated rebates and discounts to the extent that it is highly probable.

The Group does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money.

Lease income

Revenues from finance leases are recognised using the effective yield method. Revenues from operating leases are recognised on a straight-line basis over the lease term.

Dividend income

Dividend income from investments is recognised when the right to receive payment is established.

Earnings per share

Basic earnings per share are based on earnings attributable to shareholders and are calculated on the weighted average number of shares in issue during the financial year. Headline earnings per share are based on profit attributable to shareholders, excluding any non-trading capital items and the tax effect thereon, and are calculated as above. Diluted earnings per share are determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

These potentially dilutive shares relate to the options issued in terms of the share incentive scheme.

Foreign currency transactions

Transactions in foreign currencies are translated at the foreign exchange rate ruling at the transaction date. Monetary assets and liabilities denominated in foreign currencies are translated into South African Rand at rates of exchange ruling at the reporting date. Translation gains and losses, whether realised or unrealised, are taken to profit or loss.

The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for EIR and payments during the year, and amortised cost in foreign currency translated at the exchange rate at the end of the year.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Leases

The Group as lessee

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the entity. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Lease liabilities include the net present value of lease payments:

- fixed payments as per the lease contract; and
- variable lease payments that are based on an index or rate.

The lease payments are discounted using the lessee's incremental borrowing rate, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentive received;
- any initial direct costs; and
- restoration costs.

A number of lease contracts include both lease and non-lease components. The Group allocates the consideration in the contract to each lease and non-lease component on the basis of their relative standalone selling prices. The standalone selling prices of each component are based on available market prices. The Group has not elected the practical expedient to account for non-lease components as part of its lease liabilities and right-of-use assets. Therefore, non-lease components are accounted for as operating expenses and are recognised in profit or loss as they are incurred.

The Group as lessor

Finance leases

Amounts due from lessees under finance leases are recorded as receivables at the amount of the Group's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the Group's net investment outstanding in respect of the leases.

The Group enters into finance leasing arrangements for its copiers, faxes and point-of-sale equipment. All leases are denominated in South African Rands. The average term of finance leases entered into is four to five years.

Operating leases

The Group acts as lessor over all its investment property leases. Income from these leases are recognised as rental income on a straight-line basis over the lease term.

Employee benefits

Defined contribution plans

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

Defined benefits medical aid plan

The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of South African government bonds that have terms to maturity approximating the terms of the related plan liability.

Actuarial gains and losses arising from experience adjustments, and changes in actuarial assumptions, are recognised directly in other comprehensive income in the period in which they arise.

All other costs are recognised immediately in profit or loss.

Other long-term employee benefits

The Group's net obligation in respect of long-term employee benefits other than pension plans is the amount of future benefit that employees have earned in return for their service in the current and prior periods. The benefit is discounted to determine its present value and the fair value of any related assets is deducted. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating the terms of the Group's obligations and that are denominated in the currency in which the benefits are expected to be paid. The calculation is performed using the projected unit credit method. Any actuarial gains and losses are recognised in profit or loss in the period in which they arise.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Termination benefits

Termination benefits are expensed at the earlier of when the Group can no longer withdraw the offer of those benefits and when the Group recognises costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the end of the reporting period, then they are discounted.

Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Share-based payment transactions

The Deneb Investments Long Term Incentive Plan was established on 10 October 2014 and adopted by the company and the employer companies on 13 October 2014. An initial tranche of first allocation Deneb options totalling 22 531 660 have been granted to selected participants.

The grant-date fair value of share-based payment awards granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the period that the employees become unconditionally entitled to the awards. The amount recognised as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of awards that meet the related service and non-market performance conditions at the vesting date. For share-based payment awards with non-vesting conditions, the grant-date fair value of the share-based payment is measured to reflect such conditions and there is no true-up for differences between expected and actual outcomes.

The fair value of the employee share options is measured using an Actuarial Binomial Model. Measurement inputs include the share price on the measurement date, the exercise price of the instrument, expected volatility (based on an evaluation of the company's historic volatility, particularly over the historic period commensurate with the expected term), expected term of the instruments (based on historical experience and general option holder behaviour), expected dividends and the risk-free interest rate (based on government bonds). Service and non-market performance conditions attached to the transactions are not taken into account in determining fair value.

Tax deductions for the share-based payment transactions reflect the carrying amount of the share-based payment liability, which is measured at fair value under IFRS 2 (cash-settled arrangement) in the underlying participating subsidiaries.

Distributions to shareholders

Distributions are accounted for in the period in which the distributions are declared.

Share capital

Where any Group company purchases the company's equity instruments, for example as the result of a share buy-back or a share-based payment plan, the consideration paid, including any directly attributable incremental costs (net of income taxes), is deducted from equity attributable to the owners as treasury shares until the shares are cancelled or reissued. Where such ordinary shares are subsequently reissued, any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the owners.

Segmental reporting

The Group follows segmental reporting with segment financial information being disclosed as it is being used internally by the entity's chief operating decision-maker ("CODM") in order to make key operating decisions, allocate resources and assess performance.

Inter-segment pricing is determined on an arm's length basis.

The segment report has been presented in note 3.

Intangible assets

Intangible assets that are acquired by the Group and have finite useful lives are measured at cost less accumulated amortisation and accumulated impairment losses. Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in profit or loss as incurred. Intangible assets with indefinite useful lives are tested for impairment annually regardless of whether there is an impairment indicator.

The gain or loss arising from the derecognition of an intangible asset shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the asset. It is recognised in profit or loss when the asset is derecognised.

Amortisation

Amortisation is recognised in profit or loss on a straight-line basis.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

1. ACCOUNTING POLICIES (CONTINUED)

1.1 Material accounting policies (continued)

Government grants

Government grants are recognised as other income when there is a reasonable assurance that the Group will comply with the relevant conditions attached to them and that the grant will be received.

Government grants relating to costs are deferred and recognised in profit or loss over the period necessary to match them with the cost that they are intended to compensate.

Government grants relating to the purchase of property, plant and equipment are included in non-current liabilities as deferred income and are credited to profit or loss on a straight-line basis over the expected lives of the related assets.

Borrowing costs

General and specific borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings, pending their expenditure on qualifying assets, is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are expensed in the period in which they are incurred.

1.2 New standards, interpretations and amendments to existing standards

1.2.1 New standards, interpretations and amendments adopted as at 1 April 2023

The Group has adopted all relevant new or amended accounting pronouncements, as issued by the IASB, during the current year. None of these pronouncements had a significant impact on the Group.

1.2.2 New standards, interpretations and amendments that are not yet effective

At the date of authorisation of these annual financial statements certain new standards, interpretations and amendments to existing standards have been issued by the IASB that are effective in future accounting periods of the Group. The most significant of these, which the Group has decided not to early adopt, are the following:

	Effective date (periods beginning on or after)
Amendment to IFRS 16 – Leases on sale and leaseback	1 January 2024
Amendment to IAS 1 – Non-current liabilities with covenants	1 January 2024
Amendment to IAS 7 and IFRS 7 – Supplier finance	1 January 2024
Amendments to IAS 21 – Lack of exchangeability	1 January 2025

The Group has concluded that, other than the possible effect on disclosures, the above amendments to existing standards are not expected to have a material effect on the results of the Group.

2. USE OF JUDGEMENTS AND ESTIMATES

In preparing these consolidated financial statements, management has made judgements, estimates and assumptions that affect the application of the Group's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

2.1 Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the consolidated financial statements is included in the following notes:

- Taxation and deferred taxation
  Management has applied judgement in determining the estimated future taxable income used to assess the recoverability of deferred tax assets. Refer to note 8 for more information.

- Leases
  Determining lease terms
  In determining the lease period, management considers all facts and circumstances pertaining to the lease such as the non-cancellable period and any periods covered by an option to extend or terminate. Extension options based on that stipulated in lease contracts in place at year-end are only included in the lease term if the lease is reasonably certain to be extended.

  The Group applies judgement in assessing whether a lease is reasonably certain to be extended or terminated.

  The following factors are normally the most relevant:
  – business plans;
  – significant penalties not to extend;
  – historical lease durations; and
  – costs and business disruption required to replace the leased asset.

  Determining the discount rates
  In calculating lease liabilities, lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

  Refer to note 12 for more information.

- Properties
  The Group fair values its investment properties and owner-occupied property, categorised as Level 3.

  Properties owned by the Group represent a significant proportion of the Group's asset base. Judgements made in determining the fair values of these properties in particular, affect the Group's financial position and performance.

  The fair value of properties was determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers review the fair value of the Group's property portfolio on a bi-annual basis.

  Details regarding the estimates and judgements involved in the valuation of these properties are presented in notes 13 and 14.

  Properties classified as having a dual purpose, whereby part of the property is used for own-use activities and part is used as an investment property, are split between investment property and owner-occupied property if the investment portion can be sold or leased out separately under a finance lease. If a portion cannot be sold or leased out separately under a finance lease, then the entire property is classified as investment property only if the property held for own use is insignificant. As an internal guide, where more than 25% of a property is internally tenanted, the property is classified as owner-occupied property.

- Estimated impairment of goodwill
  The Group performs impairments testing for CGUs which contain goodwill on an annual basis. The recoverable amounts of CGUs have been determined based on value-in-use calculations. These calculations require the use of estimates as noted in note 6.

2. USE OF JUDGEMENTS AND ESTIMATES (CONTINUED)

2.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 March 2024 is included in the following notes:

- Note 6 – Impairment test: Key assumptions underlying recoverable amounts
- Note 8 – Recognition of deferred tax assets: Availability of future taxable profit against which carry forward tax losses can be used
- Note 21 – Measurement of defined benefit obligation: Key actuarial assumptions

2.3 Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group has an established control framework with respect to the measurement of fair values that are reviewed on an ongoing basis. If third-party information, such as from an external property valuer, is used to measure fair values, then it is assessed if the evidence obtained from the third parties supports the conclusion that such valuations meet the requirements of IFRS®, including the level in the fair value hierarchy in which such valuations should be classified.

Significant valuation issues are reported to the Group audit committee.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in the fair value hierarchy based on the inputs used in the valuation techniques as follows:

– Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities
– Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. prices) or indirectly (i.e. derived from prices)
– Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or a liability might be categorised in the different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Impairments
- Note 13 – Owner-occupied property
- Note 14 – Investment property
- Note 16 – Financial asset at fair value through other comprehensive income
- Note 22 – Financial instruments
- Note 35 – Share-based payment arrangements

3. SEGMENT REPORT

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker ("CODM"). The CODM, who is responsible for allocating resources and assessing the performance of the operating segments, has been identified as the executive committee. The segments have similar economic characteristics, they operate within the same regulatory environment, have overlapping client bases and their production processes are similar in nature.

The CODM has identified the following segments:

Reportable segments	Operations
Property	Vega Properties owns and manages a portfolio of industrial and commercial properties situated in KwaZulu-Natal, Western Cape, the Eastern Cape and Limpopo.
Industrial Product Manufacturing	Manufacturers of specialised industrial products and high-quality textiles. The businesses operating in this segment are Gold Reef Speciality Chemicals, Blue Reef Water Solutions, Explorius, The Polymer Group, Brits Nonwoven, Romatex, Custom Extrusion, Integrated Polypropylene Products and Premier Rainwatergoods.
Automotive Parts Manufacturing	Formex Industries, consisting of Formex Pressings and Formex Tubing, and African Tooling Innovations is a manufacturer of tubular and exhaust-related components.
Branded Product Distribution	This segment is responsible for the sourcing and distribution of branded products. The businesses operating in this segment include Prima Toys, Butterfly Products, Oops, HTIC, Seartec and Sirius Sales.

The CODM uses a measure of earnings before interest and tax to assess the performance of the operating segments. The committee also receives information about the segments' balance sheets, revenues, margins and operations costs on a monthly basis.

There are varying levels of integration between all segments. This integration includes sales of goods and services, renting and development of industrial and commercial properties and shared head office services.

3. SEGMENT REPORT (CONTINUED)

	Gross revenue R000's	Inter-segment revenue R000's	External revenue R000's	Profit/(loss) before taxation R000's	Interest revenue R000's	Interest expense R000's	Profit/(loss) before finance costs R000's	Depreciation and amortisation R000's
Year ended 31 March 2024								
CONTINUING OPERATIONS								
Property	**197 717**	**(43 031)**	**154 686**	**126 515**	**–**	**–**	**126 515**	**(2 453)**
Branded Product Distribution	**1 357 789**	**(28 422)**	**1 329 367**	**63 301**	**–**	**–**	**63 301**	**(15 323)**
Automotive Parts Manufacturing	**836 872**	**(13 442)**	**823 430**	**52 194**	**–**	**–**	**52 194**	**(27 147)**
Industrial Product Manufacturing	**1 268 768**	**(48 544)**	**1 220 224**	**52 847**	**–**	**–**	**52 847**	**(27 212)**
Centralised Services	**–**	**–**	**–**	**(166 998)**	**1 370**	**(124 686)**	**(43 682)**	**(1 313)**
Total continuing operations	**3 661 146**	**(133 439)**	**3 527 707**	**127 859**	**1 370**	**(124 686)**	**251 175**	**(73 448)**
DISCONTINUED OPERATIONS								
Branded Product Distribution	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
Industrial Product Manufacturing	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
Total discontinued operations	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
Total	**3 661 146**	**(133 439)**	**3 527 707**	**127 859**	**1 370**	**(124 686)**	**251 175**	**(73 448)**
Year ended 31 March 2023								
CONTINUING OPERATIONS								
Property	175 015	(34 191)	140 824	116 305	–	–	116 305	(2 032)
Branded Product Distribution	1 342 417	(15 026)	1 327 391	70 802	–	–	70 802	(11 773)
Automotive Parts Manufacturing	653 823	–	653 823	44 798	–	–	44 798	(19 808)
Industrial Product Manufacturing	1 222 370	(54 621)	1 167 749	87 444	–	–	87 444	(22 428)
Centralised Services	–	–	–	(126 428)	1 624	(90 040)	(38 012)	(1 440)
Total continuing operations	3 393 625	(103 838)	3 289 787	192 921	1 624	(90 040)	281 337	(57 481)
DISCONTINUED OPERATIONS								
Branded Product Distribution	21 548	–	21 548	(5 708)	–	–	(5 708)	(77)
Industrial Product Manufacturing	–	–	–	–	–	–	–	–
Total discontinued operations	21 548	–	21 548	(5 708)	–	–	(5 708)	(77)
Total	3 415 173	(103 838)	3 311 335	187 213	1 624	(90 040)	275 629	(57 558)

Depreciation of right-of-use asset R000's	Earnings before interest, tax, depreciation and amortisation R000's	Impairments R000's	Revaluation of properties R000's	Segment assets R000's	Segment liabilities R000's	Capital expenditure R000's	Geographical segments based on customer location — Holdings of property, plant and equipment, investment property and intangible assets: Within South Africa R000's	Outside South Africa R000's	Total R000's
(190)	**129 158**	**–**	**570**	**1 494 205**	**26 003**	**10 379**	**1 328 484**	**–**	**1 328 484**
(5 935)	**84 559**	**–**	**–**	**565 798**	**167 674**	**32 211**	**68 033**	**29**	**68 062**
(4 138)	**83 479**	**–**	**–**	**593 641**	**385 530**	**–**	**265 056**	**–**	**265 056**
(10 863)	**90 920**	**(1 587)**	**–**	**815 226**	**344 368**	**73 760**	**329 855**	**–**	**329 855**
–	**(42 369)**	**–**	**–**	**87 594**	**777 989**	**1 352**	**5 277**	**–**	**5 277**
(21 126)	**345 747**	**(1 587)**	**570**	**3 556 464**	**1 701 564**	**117 702**	**1 996 705**	**29**	**1 996 734**
–	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
–	**–**	**–**	**–**	**–**		**–**	**–**	**–**	**–**
–	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**
(21 126)	**345 747**	**(1 587)**	**570**	**3 556 464**	**1 701 564**	**117 702**	**1 996 705**	**29**	**1 996 734**
(131)	118 468	–	8 395	1 509 276	32 477	57 296	1 346 067	–	1 346 067
(4 423)	86 998	(2 743)	–	625 088	228 096	10 039	63 508	18	63 526
(2 993)	67 599	–	–	575 689	425 387	79 779	269 188	–	269 188
(9 757)	119 629	(3 400)	–	749 499	305 742	97 111	330 606	–	330 606
–	(36 572)	–	–	155 750	842 448	4 661	6 008	–	6 008
(17 304)	356 122	(6 143)	8 395	3 615 302	1 834 150	248 886	2 015 377	18	2 015 395
–	(5 631)	–	–	–	–	–	–	–	–
–	–	–	–	–	–	–	–	–	–
–	(5 631)	–	–	–	–	–	–	–	–
(17 304)	350 491	(6 143)	8 395	3 615 302	1 834 150	248 886	2 015 377	18	2 015 395

4. REVENUE

	Properties R000's	Branded Product Distribution R000's	Automotive Parts Manufacturing R000's	Industrial Product Manufacturing R000's	Head Office and Centralised Services R000's	Total R000's
2024						
Segment revenue						
Gross revenue	197 717	1 357 789	836 872	1 268 768	–	3 661 146
Less: Inter-segment sales	(43 031)	(28 422)	(13 442)	(48 544)	–	(133 439)
Revenue as per statement of comprehensive income	154 686	1 329 367	823 430	1 220 224	–	3 527 707
Primary geographical market						
South Africa	197 717*	1 294 860**	833 812	1 229 513	–	3 555 902
Other African countries	–	27 054	–	39 255	–	66 309
Asia	–	4 761	–	–	–	4 761
Europe	–	23 713	1 921	–	–	25 634
South America	–	–	1 139	–	–	1 139
North America	–	7 401	–	–	–	7 401
	197 717	1 357 789	836 872	1 268 768	–	3 661 146
Major products/service lines						
Woven, knitted and non-woven products	–	–	–	959 549	–	959 549
Pressed, roll-formed steel products	–	–	836 872	150 404	–	987 276
Speciality chemicals	–	–	–	158 815	–	158 815
Rentals	197 717*	–	–	–	–	197 717
Toys, electronic games and sports goods	–	972 143	–	–	–	972 143
Stationery, publishing and office supplies	–	385 646**	–	–	–	385 646
	197 717	1 357 789	836 872	1 268 768	–	3 661 146
IFRS 15 timing of revenue recognition						
At a point in time	–	1 318 353	792 120	1 268 768	–	3 379 241
Over time	–	–	44 752	–	–	44 752
	–	1 318 353	836 872	1 268 768	–	3 423 993
IFRS 16 revenue						
Lease contract income	197 717	39 436	–	–	–	237 153
	197 717	39 436	–	–	–	237 153
Total	197 717	1 357 789	836 872	1 268 768	–	3 661 146

* *Properties revenue relate to rental income received from tenants.*

** *Included in the above is R39,4 million (2023: R33,7 million) in rental income from the leasing of office supplies to customers.*

4. REVENUE (CONTINUED)

	Properties R000's	Branded Product Distribution R000's	Automotive Parts Manufacturing R000's	Industrial Product Manufacturing R000's	Head Office and Centralised Services R000's	Total R000's
2023						
Segment revenue						
Gross revenue	175 015	1 363 965	653 823	1 222 370	–	3 415 173
Less: Inter-segment sales	(34 191)	(15 026)	–	(54 621)	–	(103 838)
	140 824	1 348 939	653 823	1 167 749	–	3 311 335
Less: Revenue attributable to discontinued operations	–	(21 548)	–	–	–	(21 548)
Revenue as per statement of comprehensive income	140 824	1 327 391	653 823	1 167 749	–	3 289 787
Primary geographical market						
South Africa	175 015	1 311 958	648 457	1 183 791	–	3 319 221
Other African countries	–	23 371	–	38 579	–	61 950
Asia	–	7 215	–	–	–	7 215
Europe	–	12 776	1 281	–	–	14 057
South America	–	786	4 085	–	–	4 871
North America	–	7 859	–	–	–	7 859
	175 015	1 363 965	653 823	1 222 370	–	3 415 173
Major products/service lines						
Woven, knitted and non-woven products	–	–	–	903 588	–	903 588
Pressed, roll-formed steel products	–	–	653 823	153 324	–	807 147
Speciality chemicals	–	–	–	165 458	–	165 458
Rentals	175 015	–	–	–	–	175 015
Toys, electronic games and sports goods	–	985 065	–	–	–	985 065
Stationery, publishing and office supplies	–	378 900	–	–	–	378 900
	175 015	1 363 965	653 823	1 222 370	–	3 415 173
IFRS 15 timing of revenue recognition						
At a point in time*	–	1 330 232	573 897	1 222 370	–	3 126 499
Over time	–	–	79 926	–	–	79 926
	–	1 330 232	653 823	1 222 370	–	3 206 425
IFRS 16 revenue						
Lease contract income*	175 015	33 733	–	–	–	208 748
	175 015	33 733	–	–	–	208 748
Total	175 015	1 363 965	653 823	1 222 370	–	3 415 173

** The prior period figures relating to the Properties and Branded Product Distribution segments have been restated to show IFRS 16 lease contract revenue separately from IFRS 15 Revenue from Contracts with Customers. The restatement had no impact on the profits of the Group or the respective segments.*

Notes to the financial statements

for the year ended 31 March (continued)

5. OPERATING PROFIT BEFORE FINANCE COSTS, IMPAIRMENTS AND REVALUATION OF PROPERTIES

The following items have been taken into account in determining operating profit for continuing and discontinued operations before finance costs, impairments and revaluation of properties:

	Continuing operations		Discontinued operations		Total	
	2024 R000's	2023 R000's	**2024 R000's**	2023 R000's	**2024 R000's**	2023 R000's
Income						
Revenue from contracts with customers						
Sale of goods*	**3 423 993**	3 184 877	**–**	21 548	**3 423 993**	3 206 425
Less: Inter-segment sales	**(90 408)**	(69 647)	**–**	–	**(90 408)**	(69 647)
Other revenue						
Rental income from investment property	**197 717**	175 015	**–**	–	**197 717**	175 015
Rental income from leasing of office supplies*	**39 436**	33 733	**–**	–	**39 436**	33 733
Less: Inter-segment sales	**(43 031)**	(34 191)	**–**	–	**(43 031)**	(34 191)
Total revenue	**3 527 707**	3 289 787	**–**	21 548	**3 527 707**	3 311 335
Other income						
Government grants – production incentive	**15 386**	9 127	**–**	–	**15 386**	9 127
– other	**4 290**	3 845	**–**	–	**4 290**	3 845
– interest-free loans**	**993**	9 980	**–**	–	**993**	9 980
Foreign exchange gains – realised	**25 205**	32 010	**–**	–	**25 205**	32 010
– unrealised	**10 655**	18 417	**–**	–	**10 655**	18 417
Gain on lease termination	**–**	249	**–**	–	**–**	249
Loss on lease termination	**–**	(95)	**–**	–	**–**	(95)
Surplus on disposal of property, plant and equipment	**365**	1 333	**–**	–	**365**	1 333
Surplus on disposal of non-current assets held for sale	**4 042**	199	**–**	–	**4 042**	199
Loss on disposal of property, plant and equipment	**(334)**	(105)	**–**	–	**(334)**	(105)
Insurance claim – loss of profits***	**–**	59 875	**–**	–	**–**	59 875
– capital asset	**–**	13 522	**–**	–	**–**	13 522
Foreign exchange losses – realised	**(21 955)**	(23 867)	**–**	(15)	**(21 955)**	(23 882)
– unrealised	**(10 132)**	(18 481)	**–**	–	**(10 132)**	(18 481)
Other sundry income	**14 998**	6 178	**–**	–	**14 998**	6 178
Other income	**43 513**	112 187	**–**	(15)	**43 513**	112 172
Expenditure						
Cost of sales						
Material cost	**2 131 243**	2 024 723	**–**	–	**2 131 243**	2 024 723
Production labour	**229 945**	196 787	**–**	–	**229 945**	196 787
Production overheads	**269 470**	226 870	**–**	14 531	**269 470**	241 401
Direct costs associated with rental income	**65 028**	54 614	**–**	–	**65 028**	54 614
Cost of sales	**2 695 686**	2 502 994	**–**	14 531	**2 695 686**	2 517 525

* *The prior period figures have been restated to show IFRS 16 Lease Contract Revenue separately from IFRS 15 Revenue from Contracts with Customers.*

** *Government grants include amounts relating to the difference between the capital amount and fair value of interest-free loans granted by the Industrial Development Corporation of South Africa Limited ("IDC").*

*** *In the prior year other income includes an amount of R74,1 million which relates to the insurance payout of the Group's business interruption claims due to Covid-19. After deducting associated costs, the net benefit of the insurance claim included in other income, totals R59,9 million.*

5. OPERATING PROFIT BEFORE FINANCE COSTS, IMPAIRMENTS AND REVALUATION OF PROPERTIES (CONTINUED)

	Continuing operations		Discontinued operations		Total	
	2024 R000's	2023 R000's	**2024 R000's**	2023 R000's	**2024 R000's**	2023 R000's
Expenses by nature						
Amortisation	**2 314**	4 027	**–**	77	**2 314**	4 104
Write-offs – net of recoveries and reversals of allowance account	**397**	6 445	**–**	–	**397**	6 445
Bank charges	**2 328**	3 482	**–**	150	**2 328**	3 632
Depreciation – owned buildings	**2 096**	2 007	**–**	–	**2 096**	2 007
– leased buildings	**17 154**	13 621	**–**	–	**17 154**	13 621
– owned plant and machinery	**59 926**	42 853	**–**	–	**59 926**	42 853
– leased plant and machinery	**1 053**	722	**–**	–	**1 053**	722
– owned equipment and fittings	**9 073**	10 408	**–**	–	**9 073**	10 408
– leased equipment and fittings	**517**	309	**–**	–	**517**	309
– owned motor vehicles	**2 353**	2 214	**–**	–	**2 353**	2 214
– leased motor vehicles	**2 402**	2 651	**–**	–	**2 402**	2 651
Total depreciation**	**94 574**	74 785	**–**	–	**94 574**	74 785
Employment costs*	**601 797**	590 909	**–**	–	**601 797**	590 909
Production**	**326 876**	263 360	**–**	–	**326 876**	263 360
Sales	**112 218**	99 209	**–**	–	**112 218**	99 209
Administration	**162 703**	228 340	**–**	–	**162 703**	228 340
Technical and consulting fees	**10 117**	6 357	**–**	–	**10 117**	6 357
Audit fees						
Audit services	**5 643**	7 129	**–**	–	**5 643**	7 129
Non-audit services	**51**	43	**–**	–	**51**	43
Write-down of inventory to net realisable value**	**3 564**	3 468	**–**	–	**3 564**	3 468
Reversal of write-down of inventory to net realisable value	**(432)**	(453)	**–**	–	**(432)**	(453)

* *Includes contributions of R29,9 million (2023: R29,5 million) to medical, pension, provident and benefit funds.*

These contributions are after a R8,0 million charge (2023: R7,8 million) in respect of post-employment medical benefits relating to a defined benefit obligation and an IFRS 2 charge in respect of the share option scheme of R4,0 million (2023: R5,3 million).

** *The vast majority of depreciation, production employment costs and write-down of inventory relating to the manufacturing segments are included in cost of sales above.*

6. IMPAIRMENTS

	Notes	2024 R000's	2023 R000's
The following impairments were recognised during the year:			
Category of asset			
Property, plant and equipment	11	**1 587**	3 400
Intangible assets	15	**–**	2 743
Total		**1 587**	6 143
Segment classification			
Industrial Product Manufacturing		**1 587**	3 400
Property, plant and equipment	11	**1 587**	3 400
Branded Product Distribution		**–**	2 743
Intangible assets		**–**	2 743
Total		**1 587**	6 143

6.1 Determining CGUs for impairment testing

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units ("CGUs")).

The Group has performed impairment testing on:

- all CGUs where there is an indication that they may be impaired or impairment should be reversed;
- all CGUs that contain goodwill; and
- all CGUs that are disposal groups held for sale in terms of IFRS 5.

For the purposes of determining the CGUs of the Group, the guidelines as per IAS 36 were followed and the below considerations were given:

- how the Group reports its financial management accounts;
- how management makes day-to-day operational decisions; and
- how management makes decisions about continuing with or disposing of the entity's assets.

6.2 CGUs where there is an indication that they may be impaired or impairment reversed

For impairment testing in line with IAS 36, the recoverable amount of a CGU was determined based on the higher of fair value less costs to sell, or value-in-use calculation, as appropriate. Impairments recognised for discontinued operations are attributed to the IFRS 5 remeasurement of disposal groups at the lower of carrying amount and fair value less costs to sell.

Value-in-use estimations have been used to determine the recoverable amount for continuing CGUs and as a benchmark of fair value in the IFRS 5 remeasurement of disposal groups held for sale.

Value-in-use calculation uses cash flow projections approved by management. These cash flow forecasts cover five years, and the cash flows after the forecast period are extrapolated into the future over the useful life of the CGU, using steady growth rate, which is consistent with that of the industry and country.

In determining value-in-use, projected cash flows are discounted using the entity-specific pre-tax discount rate. Projected cash flows were adjusted for each CGU's specific risks.

Expected future cash flows are inherently uncertain and could materially change over time. They are significantly affected by a number of factors including production estimates, economic factors such as commodity prices, discount rates, currency exchange rates and estimates of costs to produce. Management believes that any reasonably possible change in the key assumptions on which the recoverable amount is based would not cause the carrying amounts to exceed their recoverable amount.

Impairments recognised are attributed to the following:

Industrial Product Manufacturing
Impairments recognised in the Industrial Product Manufacturing segment are attributed to Formex Tubing Proprietary Limited and Formex Industries Proprietary Limited. Property, plant and equipment were assessed for recoverability and certain assets were written down to their recoverable amount.

6. IMPAIRMENTS (CONTINUED)

6.3 Impairment testing for CGUs containing goodwill

Goodwill is reconciled as follows on a segmental basis:

	Branded Product Distribution R000's	Industrial Product Manufacturing R000's	Total R000's
Closing balance	**–**	**21 911**	**21 911**

CGUs in the Industrial Product Manufacturing segment

The recoverable amount of CGUs in this segment was based on value in use, estimated using discounted cash flows.

The key assumptions used in the estimation of the recoverable amount are set out below. The values assigned to the key assumptions represented management's assessment of future trends in the relevant industries and were based on historical data from both external and internal sources.

	2024 %	2023 %
Discount rate	**17,4**	16,4
Terminal value growth rate	**4,5**	4,5

The estimated recoverable amount of the CGU exceeded its carrying amount. There are no reasonable changes in the key assumptions that will cause the carrying amount to equal or exceed the recoverable amount.

The following table sets out the key assumptions for those CGUs that have significant goodwill allocated to them:

		Custom Extrusion
2024		
Gross profit margin	(%)	**9,25**
Long-term growth rate	(%)	**4,50**
Pre-tax risk-adjusted discount rate	(%)	**17,40**
Working capital	(days)	**53,06**
2023		
Gross profit margin	(%)	16,78
Long-term growth rate	(%)	4,50
Pre-tax risk-adjusted discount rate	(%)	16,40
Working capital	(days)	98,42

The above tables show average rates over the forecast period. The decrease in the gross profit margin is attributed to a new plant in Bloemfontein that will take at least 12 months to become profitable as they reach optimal production capacity.

6. IMPAIRMENTS (CONTINUED)

6.3 Impairment testing for CGUs containing goodwill (continued)

Management has determined the values assigned to each of the above key assumptions as follows:

Key assumptions	How determined
Gross profit margins	Based on most recent performance and adjusted for: • Future business plans • Margins are expected to grow in line with the long-term growth rate
Long-term growth rate	The long-term growth rate into perpetuity has been determined as the long-term annual inflation rate.
Pre-tax risk-adjusted discount rate	The discount rate applied to the cash flows of each of the Group's operations is based on the weighted average cost of capital of the Group, which comprises debt and equity. The risk-free rate used is the yield on 10-year capital market bonds. These rates are adjusted for a risk premium to reflect both the increased risk of investing in equities and the systematic risk of the specific company.
Working capital	The following inputs were used to determine the change in working capital in calculating cash flows: • Forecast sales and cost of sales • Historic debtor, inventory and creditor days

The values assigned to the key assumptions represented management's assessment of future trends in the relevant industries and were based on historical data from both external and internal sources.

Impact on possible changes in key assumptions

We have performed a sensitivity analysis on Custom Extrusion Proprietary Limited ("Custom Extrusion") as it is a CGU where the carrying values include the most material amounts of goodwill relative to the Group. Goodwill of R13,1 million relate to Customs Extrusion.

The recoverable amount of the Customs Extrusion CGU is estimated to exceed the carrying values by R81 million (2023: R109 million).

Management has considered and assessed reasonably possible changes for all key assumptions and has not identified any instances that could cause the carrying amount of the Customs Extrusion CGU to exceed its recoverable amount to an extent that would result in a material impairment.

6.4 Impairment testing for intangible assets with indefinite useful lives (note 15)

There were no intangible assets with indefinite useful lives.

7. FINANCE INCOME AND EXPENSES

	2024 R000's	2023 R000's
Recognised in profit or loss		
Finance income		
Interest received from financial institutions	**235**	266
Other interest received	**1 135**	1 358
	1 370	1 624
Finance expenses		
Interest paid on instalment sale agreements	**963**	702
Interest paid on leases	**14 116**	12 894
Interest paid to financial institutions	**105 635**	75 590
Interest paid to related parties	**–**	23
Other interest paid	**3 972**	831
	124 686	90 040

The finance expenses relate to financial liabilities which are categorised as being measured at amortised cost.

8. TAXATION AND DEFERRED TAXATION

	2024 R000's	2023 R000's
Income tax		
South African normal taxation		
Current	**(20 349)**	(19 366)
Deferred taxation		
Normal tax	**(21 510)**	(32 746)
Prior year under provision	**14 658**	–
	(27 201)	(52 112)

	%	%
Reconciliation between actual and normal taxation rates		
Taxation as a percentage of profit before taxation	**21,3**	27,0
Non-deductible items expenses*	**(1,4)**	(2,9)
Specific tax deductible expenses**	**0,7**	1,4
Exempt income	**0,1**	–
Capital gains tax on revaluation of investment property	**–**	0,2
Deferred tax asset not recognised on tax losses	**(0,9)**	(3,5)
Previously unrecognised tax losses***	**11,5**	–
Capital losses	**(4,5)**	3,5
Government grants	**0,2**	1,3
Normal taxation rate	**27,0**	27,0

* *In calculating the tax expense for the current period, the Group has treated R3,6 million (2023: R12,1 million) as being non-deductible expenses for tax purposes. Non-deductible expenses are primarily related to options exercised under the Group's share incentive scheme.*

** *In calculating the tax expense for the current period, the Group has treated R3,8 million (2023: R16,7 million) as being specific tax-deductible expenses for tax purposes. Specific tax-deductible expenses are primarily related to options exercised under the Group's share incentive scheme.*

*** *Previously unrecognised tax losses to the value of R14,7 million were recognised in Sargas Proprietary Limited.*

8. TAXATION AND DEFERRED TAXATION (CONTINUED)

	2024 R000's	2023 R000's
Deferred taxation		
Balance at the beginning of the year	**98 203**	129 183
Asset	**115 618**	140 384
Liability	**(17 415)**	(11 201)
Current movements recognised in profit and loss	**(6 852)**	(32 746)
Capital allowances	**(10 758)**	(10 803)
Provision for post-employment medical benefits	**(712)**	680
Tax losses recognised	**15 565**	–
Tax losses utilised	**–**	(21 700)
Capital allowances on intangible asset	**399**	522
Revaluations	**(554)**	(1 372)
Revaluation surplus reversed	**1 717**	123
Share incentive scheme	**634**	(1 709)
Working capital differences	**(13 143)**	1 513
Current movements recognised in other comprehensive income/(directly in equity)	**(3 492)**	1 766
Provision for post-employment medical benefits	**(368)**	(1 423)
Share incentive scheme	**424**	2 876
Revaluations	**(3 548)**	313
Balance at the end of the year	**87 859**	98 203
Asset	**113 925**	115 618
Liability	**(26 066)**	(17 415)
Deferred tax assets and liabilities are attributable to the following:		
Provision for post-employment medical benefits	**20 441**	21 521
Working capital allowances	**158 037**	171 170
Share incentive scheme	**5 604**	4 557
Tax losses	**201 507**	185 941
Capital allowances	**(158 883)**	(148 125)
Capital allowances on intangible asset	**(1 396)**	(1 795)
Revaluations	**(137 451)**	(135 066)
Net deferred tax at the end of the year	**87 859**	98 203

The Group has concluded that the deferred tax assets will be recoverable based on the estimated future taxable income of approved business plans and budgets.

Unrecognised tax losses in the Group, reflected at 27% (2023: 27%) of the underlying tax loss, aggregated to R53,4 million (2023: R53,1 million).

9. DISCONTINUED OPERATIONS

Discontinued operations in the prior year comprise our online furniture business which was sold on 1 March 2023 (refer to note 25) and operated under the Branded Product Distribution reportable segment. Their results have been disclosed separately on the face of the statement of profit or loss and other comprehensive income.

9.1 Results of discontinued operations

	2024 R000's	2023 R000's
Revenue	**–**	21 548
Cost of sales	**–**	(14 531)
Gross profit	**–**	7 017
Other income	**–**	(15)
Distribution costs	**–**	(11 109)
Administrative and other expenses	**–**	(1 601)
Operating loss before finance costs and impairments	**–**	(5 708)
Impairment of assets	**–**	–
Restructuring and retrenchment costs	**–**	–
Operating loss before finance costs	**–**	(5 708)
Finance income	**–**	–
Finance expenses	**–**	–
Loss before taxation	**–**	(5 708)
Income tax expense	**–**	–
Loss for the period from discontinued operations	**–**	(5 708)

9.2 Cash flows from discontinued operations

	2024 R000's	2023 R000's
Cash flows from discontinued operations		
Net cash from operating activities	**–**	15 464
Net cash from investing activities	**–**	815
Net cash from financing activities	**–**	–
Net cash used in discontinued operations	**–**	16 279

The loss from discontinued operations is attributable entirely to equity holders of the parent.

9.3 Assets classified as held for sale

Reconciliation of carrying amount

	Note	**2024 R000's**	2023 R000's
Carrying value at the beginning of the year		**132 500**	43 010
Transfer from investment property*	14	**126 771**	90 500
Transfer to investment property**	14	**(81 500)**	–
Additions		**–**	120
Disposals***		**(60 185)**	(510)
Fair value adjustments		**(2 586)**	(620)
Carrying value at the end of the year		**115 000**	132 500

* *The directors of Vega Properties, a division of Sargas Proprietary Limited have decided to dispose of two Durban properties. These sales are expected to be completed within the next 12 months.*

** *Two properties that were placed on the market in the prior year have been transferred back to Investment Property as the sale is no longer considered to be highly probable. The directors were unable to achieve their target selling price.*

*** *A property situated in Epping, Cape Town, was disposed of on 14 November 2023 for a consideration of R64 million. The details of the disposal were published on SENS on 15 November 2023.*

Non-current assets held for sale is disclosed in the Property segment.

Notes to the financial statements

for the year ended 31 March (continued)

10. PROFIT/(LOSS) PER SHARE

	Gross R000's	Net R000's	Number of shares 000's	Per share Cents
2024				
NUMBER OF SHARES IN ISSUE				
Net number of shares				
Number of shares in issue – 31 March 2024			438 201	
Weighted average number of shares				
Weighted average number of shares at 31 March 2024			438 536	
Shares as at 1 April 2023			438 324	
Effect of share options exercised			1 007	
Share buy-back			(795)	
Diluted average number of shares				
Diluted weighted average number of shares			450 559	
Weighted average number of shares			438 536	
Dilution effect of share options granted			12 023	
EARNINGS PER SHARE				
Basic earnings				
Profit attributable to equity holders of the parent		101 141	438 536	23,06
Continuing operations		101 141		23,06
Discontinued operations		–		–
Diluted earnings				
Profit attributable to equity holders of the parent		101 141	450 559	22,45
Continuing operations		101 141		22,45
Discontinued operations		–		–
HEADLINE EARNINGS				
Reconciliation between profit and headline earnings				
Profit attributable to equity holders of the parent		101 141		
Impairment of assets	1 587	1 159		
Revaluation of properties	(570)	(447)		
Surplus on disposal of property, plant and equipment	(364)	(284)		
Loss on disposal of property, plant and equipment	334	245		
Surplus on disposal of non-current assets held for sale	(4 042)	(2 951)		
Headline earnings		98 863	438 536	22,54
Continuing operations		98 863		22,54
Discontinued operations		–		–
Diluted headline earnings		98 863	450 559	21,94
Continuing operations		98 863		21,94
Discontinued operations		–		–

Issued shares

During the period 1 736 379 shares were issued in terms of the Group's share incentive scheme.

10. PROFIT PER SHARE (CONTINUED)

	Gross R000's	Net R000's	Number of shares 000's	Per share Cents
2023				
NUMBER OF SHARES				
Net number of shares in issue				
Number of shares – 31 March 2023			438 324	
Weighted average number of shares				
Weighted average number of shares			436 994	
Shares as at 1 April 2022			435 643	
Effect on share buy-back			3 966	
Effect of share options exercised			(2 615)	
Diluted average number of shares				
Diluted weighted average number of shares			447 848	
Weighted average number of shares			436 994	
Dilution effect of share options granted			10 854	
EARNINGS PER SHARE				
Basic earnings				
Profit attributable to equity holders of the parent		135 506	436 994	31,01
Continuing operations		141 214		32,32
Discontinued operations		(5 708)		(1,31)
Diluted earnings				
Profit attributable to equity holders of the parent		135 506	447 848	30,26
Continuing operations		141 214		31,53
Discontinued operations		(5 708)		(1,27)
HEADLINE EARNINGS				
Reconciliation between profit and headline earnings				
Profit attributable to equity holders of the parent		135 506		
Impairment of assets	6 143	5 225		
Revaluation of properties	(8 395)	(6 582)		
Surplus on disposal of property, plant and equipment	(1 333)	(1 027)		
Loss on disposal of property, plant and equipment	105	77		
Insurance claim for capital asset	(13 522)	(10 601)		
Surplus on disposal of non-current assets held for sale	(199)	(145)		
Headline earnings		122 453	436 994	28,02
Continuing operations		128 161		29,33
Discontinued operations		(5 708)		(1,31)
Diluted headline earnings		122 453	447 848	27,34
Continuing operations		128 161		28,61
Discontinued operations		(5 708)		(1,27)
Adjustment for insurance claims				
Profit attributable to equity holders of the parent		135 506		
Insurance claim for capital asset		(10 601)		
Impairment of assets		2 482		
Business interruption insurance claim		(43 709)		
Adjusted profit attributable to equity holders of the parent		83 678		
Adjusted basic earnings*		83 678	436 994	19,15
Continuing operations		89 386		20,46
Discontinued operations		(5 708)		(1,31)
Adjusted headline earnings*		78 744	436 994	18,02
Continuing operations		84 452		19,33
Discontinued operations		(5 708)		(1,31)

* *Basic and headline earnings on the adjusted basis excludes the net proceeds received from insurance claims for business interruption and flood damage. As these proceeds are non-recurring, we are of the opinion that providing earnings on an adjusted basis is meaningful disclosure to shareholders.*

Issued shares

During the period 6 969 291 shares were issued in terms of the Group's share incentive scheme.

11. PROPERTY, PLANT AND EQUIPMENT

Reconciliation of carrying amount

		Plant and machinery at cost R000's	Equipment and fittings at cost R000's	Motor vehicles at cost R000's	Total R000's
2024					
Cost/valuation at 31 March 2024		**865 670**	**106 702**	**21 811**	**994 183**
Opening balance		**805 180**	**98 503**	**21 195**	**924 878**
Additions		**91 435**	**17 853**	**3 550**	**112 838**
Disposals and assets reclassified as held for sale		**(30 945)**	**(9 654)**	**(2 934)**	**(43 533)**
Accumulated depreciation and impairment at 31 March 2024		**330 479**	**67 913**	**9 045**	**407 437**
Opening balance		**290 030**	**62 529**	**9 073**	**361 632**
Current period depreciation		**59 926**	**9 073**	**2 353**	**71 352**
Impairment		**1 587**	**–**	**–**	**1 587**
Disposals and assets reclassified as held for sale		**(21 064)**	**(3 689)**	**(2 381)**	**(27 134)**
Carrying value at 31 March 2024		**535 191**	**38 789**	**12 766**	**586 746**
Rate of (straight-line) depreciation	(%)	**10 – 15**	**10 – 20**	**20**	
Residual values	(%)	**–**	**–**	**20**	
2023					
Cost/valuation at 31 March 2023		805 180	98 503	21 195	924 878
Opening balance		629 337	84 312	17 426	731 075
Additions		185 632	22 638	6 476	214 746
Disposals and assets reclassified as held for sale		(9 789)	(8 447)	(2 707)	(20 943)
Accumulated depreciation and impairment at 31 March 2023		290 030	62 529	9 073	361 632
Opening balance		253 117	58 087	9 336	320 540
Current period depreciation		42 853	10 408	2 214	55 475
Impairment		3 400	–	–	3 400
Disposals and assets reclassified as held for sale		(9 340)	(5 966)	(2 477)	(17 783)
Carrying value at 31 March 2023		515 150	35 974	12 122	563 246

During the year inventory was reclassified to plant and machinery of R25 655 580 (2023: R21 747 710) relating to operating lease rentals, and this is included in additions.

Plant and machinery reclassified back to inventory as a result of the conclusion of operating lease rentals was R6 680 409 (2023: R7 624 358) and is included in disposals.

These are non-cash flow items.

12. LEASES

The Group leases various offices, warehouses, retail stores, machinery and motor vehicles. Rental contracts are typically made for fixed periods of one to eight years but may have extension options, which are used to maximise operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessors. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

12.1 The consolidated statement of financial position shows the following amounts relating to leases

	2024 R000's	2023 R000's
Right-of-use assets		
Property leases	**61 950**	75 596
Plant and machinery leases	**2 250**	2 993
Equipment and fittings leases	**1 806**	1 999
Motor vehicle leases	**4 845**	7 166
	70 851	87 754
Lease liabilities		
Current	**29 141**	18 784
Non-current	**79 867**	104 741
	109 008	123 525

Additions to the right-of-use assets during the 2024 financial year were R4,9 million (2023: R38,7 million).

The table below analyses the Group's lease liabilities into relevant maturity groupings based on the remaining period at the statement of financial position date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than 1 year R000's	Between 1 and 5 years R000's	Over 5 years R000's	Total R000's
31 March 2024				
Lease liabilities	**32 171**	**85 004**	**49 149**	**166 324**
31 March 2023				
Lease liabilities	31 021	147 966	3 492	182 479

Lease liabilities are effectively secured as the rights to the leased assets recognised in the financial statements revert to the lessor in the event of default.

12. LEASES (CONTINUED)

12.2 The statement of profit or loss shows the following amounts relating to leases

	2024 R000's	2023 R000's
Depreciation charge of right-of-use assets		
Property leases	**17 154**	13 621
Plant and machinery leases	**1 053**	722
Equipment and fittings	**517**	309
Motor vehicle leases	**2 402**	2 651
	21 126	17 303
Interest expense (included in finance cost)	**14 116**	12 894
Expense relating to short-term leases (included in cost of sales and administrative expenses)	**10 729**	9 819
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in cost of goods sold and administrative expenses)	**343**	421
Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Low-value assets comprise equipment and small items of office furniture. The Group applies a threshold of R75 000 for capitalising right-of-use assets.		
Expense relating to variable lease payments not included in lease liabilities (included in administrative and distribution expenses)	**211**	189

The total cash outflow for leases in 2024 was R32,9 million (2023: R18,8 million).

Leasing arrangements

The investment properties are leased to tenants under operating leases with rentals payable monthly. Lease payments for some contracts include consumer price inflation increases, but there are no other variable lease payments that depend on an index or rate. Where considered necessary to reduce credit risk, the Group may obtain bank guarantees for the term of the lease.

Although the Group is exposed to changes in the residual value at the end of the current leases, the Group typically enters into new operating leases and therefore will not immediately realise any reduction in residual value at the end of these leases. Expectations about the future residual values are reflected in the fair value of the properties.

	Nominal amount	
	2024 R000's	2023 R000's
Non-cancellable operating lease rentals are receivable as follows:		
Less than 1 year	**129 473**	121 588
Between 1 and 5 years	**223 751**	197 887
Over 5 years	**17 735**	2 736
	370 959	322 211
Non-cancellable operating lease rentals receivable between one and five years are disaggregated as follows:		
Between 1 and 2 years	**96 919**	91 819
Between 2 and 3 years	**69 463**	66 439
Between 3 and 4 years	**40 256**	33 522
Between 4 and 5 years	**17 113**	6 107
	223 751	197 887

No future sublease payments are expected to be received under non-cancellable subleases.

No contingent rentals were recognised as income in the period.

13. OWNER-OCCUPIED PROPERTY

13.1 Reconciliation of carrying amount

	2024 R000's	2023 R000's
Cost/valuation at 31 March 2024	**294 653**	280 346
Opening balance	**280 346**	247 545
Additions	**–**	38 546
Revaluations	**14 328**	(5 745)
Disposals and assets reclassified as held for sale	**(21)**	–
Accumulated depreciation and impairment at 31 March 2023	**–**	–
Opening balance	**–**	–
Current period depreciation	**2 096**	2 007
Revaluations	**(2 096)**	(2 007)
Disposals and assets reclassified as held for sale	**–**	–
Carrying value at 31 March 2024	**294 653**	280 346

13.2 Owner-occupied properties – cost less accumulated depreciation

The cost less accumulated depreciation of the owner-occupied properties is provided below. The allowed alternative method as described in IAS 16 is the revaluation model, which has been adopted by the Group.

	2024 R000's	2023 R000's
Cost	**163 315**	163 336
Accumulated depreciation	**(1 859)**	(907)
Carrying value	**161 456**	162 429
Reconciliation of cost of land and buildings:		
Opening cost at the beginning of the year	**163 336**	124 790
Additions	**–**	38 546
Disposals, transfers to investment property and assets reclassified as held for sale	**(21)**	–
Closing cost at the end of the year	**163 315**	163 336

13.3 Measurement of fair value – land and buildings

Fair value hierarchy

The fair value of owner-occupied properties was determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers review the fair value of the Group's owner-occupied property portfolio on a bi-annual basis.

The directors confirm that there have been no material changes to the information used and assumptions applied by the registered valuer in the prior year.

The fair value measurement of owner-occupied property of R295 million (2023: R280 million) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used (see note 13.4).

13. OWNER-OCCUPIED PROPERTIES (CONTINUED)

13.3 Measurement of fair value – land and buildings (continued)

Level 3 fair value

The following shows a reconciliation from the opening balances to the closing balances for Level 3 fair values.

	R000's
Carrying value at 31 March 2023	**280 346**
Additions	**–**
Depreciation	**(2 117)**
Changes in fair value through equity	**16 424**
Changes in fair value through profit or loss	**–**
Carrying value at 31 March 2024	**294 653**
Carrying value at 31 March 2022	247 545
Additions	38 546
Depreciation	(2 007)
Changes in fair value through equity	(1 451)
Changes in fair value through profit or loss	(2 287)
Carrying value at 31 March 2023	280 346

13.4 Valuation technique and significant unobservable inputs

Valuation technique	Significant unobservable inputs	Range of inputs (weighted average) 2024	Range of inputs (weighted average) 2023	Inter-relationship between key unobservable inputs and fair value measurements
Capitalisation of income: The valuation model considers the net operating income of the rent collected and divides it by the capitalisation rate (investor's rate of return), taking into account expected rental income and anticipated expenses for the next 12 months, the property's location, structure and rental-producing capacity of similar buildings in similar locations.	Capitalisation rate	**9,50% – 12,25%**	9,50% – 12,25%	The estimated fair value would increase or decrease if: • The capitalisation rate were lower or higher (see sensitivity analysis below).
	Occupation rate	**97% – 100%**	100%	• Decrease in the occupancy rate of 1% would decrease fair value by R3,7 million.
	Projected income	**R18,51 - R38,64/m² Based on 104 999 m² lettable area**	R17,51 - R43,82/m² Based on 103 042 m² lettable area	• If annual expected income was 1% higher or lower, the fair value would increase or decrease with R3,3 million and R2,6 million respectively. When practicable, external evidence was used such as current market rents for properties with a similar nature, conditions and locations.

Sensitivity analysis on the fair value of investment buildings

The capitalisation rates for the fair value of the properties were between 9,50% and 12,25%. The table below presents the sensitivity of the valuation on the carrying value of the investment property to changes in the capitalisation rate.

	Carrying value 2024 R000's	Carrying value 2023 R000's
Increase of 1% in the capitalisation rate	**269 269**	255 951
Decrease of 1% in the capitalisation rate	**326 223**	309 823

13.5 Securitisation of assets

Refer to note 32, which relates to the security provided for the benefit of the Group's bankers.

14. INVESTMENT PROPERTIES

Reconciliation of carrying amount

	2024 R000's	2023 R000's
Opening carrying value	**1 063 513**	1 125 386
Development cost	**2 964**	17 325
Transfer from held for sale	**81 500**	–
Transfer to held for sale	**(126 771)**	(90 500)
Fair value adjustments	**3 156**	11 302
Closing carrying value	**1 024 362**	1 063 513

Investment properties comprise a number of commercial properties that are leased to third parties. Each of the leases contains an initial non-cancellable period of between one and five years.

	2024 %	2023 %
Property type		
Retail/Commercial	**10,2**	9,7
Industrial	**89,8**	90,3

	2024 R000's	2023 R000's
Included in profit or loss:		
Rental income from investment property	**154 686**	140 824
Direct operating expenses (including repairs and maintenance) relating to rental-generating properties	**46 089**	38 603
Rates relating to rental-generating properties	**19 849**	19 597

Capital commitments

See note 29 for details on commitments.

Measurement of fair value – investment properties

Fair value hierarchy

The fair value of investment properties was determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers review the fair value of the Group's investment property portfolio on a bi-annual basis.

The directors confirm that there have been no material changes to the information used and assumptions applied by the registered valuer in the prior year.

The fair value measurement of investment property of R1 billion (2023: R1,06 billion) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

14. INVESTMENT PROPERTIES (CONTINUED)

Measurement of fair value – investment properties (continued)

Level 3 fair value

The following shows a reconciliation from the opening balances to the closing balances for Level 3 fair values:

	R000's
Opening value at 31 March 2023	**1 063 513**
Development cost	**2 964**
Transfer from held for sale	**81 500**
Transfer to held for sale	**(126 771)**
Gain included in profit or loss	
Changes in fair value	**3 156**
Closing value at 31 March 2024	**1 024 362**
Opening value at 31 March 2022	1 125 386
Development cost	17 325
Transfer to held for sale	(90 500)
Gain included in profit or loss	
Changes in fair value	11 302
Closing value at 31 March 2023	1 063 513

Valuation technique and significant unobservable inputs

Valuation technique	Significant unobservable inputs	Range of inputs for the majority of the property portfolio (weighted average) 2024	2023	Inter-relationship between key unobservable inputs and fair value measurements
Capitalisation of income: The valuation model considers the net operating income of the rent collected and divides it by the capitalisation rate (investor's rate of return), taking into account expected rental income and anticipated expenses for the next 12 months, the property's location, structure and the rental-producing capacity of similar buildings in similar locations.	Capitalisation rate	**8,25% – 9,75%**	8,0% – 9,75%	The estimated fair value would increase or decrease if: • The capitalisation rate was higher or lower (see sensitivity analysis below).
	Occupation rate	**95% – 100%**	97% – 100%	• Decrease in the occupancy rate of 1% would decrease fair value by R15,7 million.
	Projected income	**R33,57 – R80,00/m² Based on 239 198 m² lettable area**	R30,23 – R80,88/m² Based on 204 998 m² lettable area	• If annual expected income was 1% higher or lower, the fair value would increase or decrease with R10,0 million and R10,4 million respectively. When practicable, external evidence was used such as current market rents for properties with a similar nature, conditions and locations.

Sensitivity analysis on the fair value of investment buildings

The capitalisation rates for the fair value of the properties were between 8,25% and 11,00%. The table below presents the sensitivity of the valuation on the carrying value of the investment property to changes in the capitalisation rate.

	Carrying value 2024 R000's	2023 R000's
Increase of 1% in the capitalisation rate	**928 331**	963 092
Decrease of 1% in the capitalisation rate	**1 142 314**	1 187 748

Securitisation of assets

Refer to note 32, which relates to the security provided for the benefit of the Group's bankers.

15. INTANGIBLE ASSETS AND GOODWILL

	Brand names/ Trademarks R000's	Customer-related intangible assets R000's	Software R000's	Licences R000's	Goodwill R000's	Total intangibles R000's
Cost at 31 March 2024	**7 151**	**32 008**	**7 837**	**23 856**	**32 510**	**103 362**
Opening balance	**12 719**	**33 488**	**5 937**	**23 856**	**32 510**	**108 510**
Assets acquired separately	**–**	**–**	**–**	**–**	**–**	**–**
Disposals	**(5 568)**	**(1 480)**	**–**	**–**	**–**	**(7 048)**
Additions through internal development	**–**	**–**	**1 900**	**–**	**–**	**1 900**
Accumulated amortisation and impairment at 31 March 2024	**7 130**	**14 893**	**4 851**	**23 856**	**10 599**	**61 329**
Opening balance	**12 691**	**14 953**	**3 964**	**23 856**	**10 599**	**66 063**
Current period amortisation	**7**	**1 420**	**887**	**–**	**–**	**2 314**
Disposals	**(5 568)**	**(1 480)**	**–**	**–**	**–**	**(7 048)**
Impairment losses recognised in profit and loss (refer to note 6)	**–**	**–**	**–**	**–**	**–**	**–**
Carrying value at 31 March 2024	**21**	**17 115**	**2 986**	**–**	**21 911**	**42 033**
Nature of useful lives	Finite	Finite	Finite	Finite		
Amortisation method	Straight line	Straight line	Straight line	Straight line		
Rate of amortisation	Period of contract	5%	20%	Period of licence		
Residual values	0%	0%	0%	0%		
Cost at 31 March 2023	12 719	33 488	5 937	23 856	32 510	108 510
Opening balance	12 619	33 488	5 413	23 856	33 359	108 735
Assets acquired separately	100	–	719	–	–	819
Disposals	–	–	(1 242)	–	(849)	(2 091)
Additions through internal development	–	–	1 047	–	–	1 047
Accumulated amortisation and impairment at 31 March 2023	12 691	14 953	3 964	23 856	10 599	66 063
Opening balance	8 825	13 464	2 673	23 856	10 599	59 417
Current period amortisation	1 123	1 489	1 492	–	–	4 104
Disposals	–	–	(201)	–	–	(201)
Impairment losses recognised in profit and loss (refer to note 6)	2 743	–	–	–	–	2 743
Carrying value at 31 March 2023	28	18 535	1 973	–	21 911	42 447

The amortisation of intangible assets is included in the line item administration and other expenses in the statement of profit or loss and other comprehensive income.

Refer to note 6.3 for impairment testing on cash-generating units containing goodwill.

16. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	2024 R000's	2023 R000's
Business Partners Limited (unlisted)	**4 561**	3 957
JSE-listed investments	**6 179**	2 279
Eco Clarity Limited (unlisted)	**11 935**	–
	22 675	6 236

	Number of shares	Number of shares
Business Partners Limited (unlisted)	**605 220**	605 220
Eco Clarity Limited (unlisted)	**25 845**	–
	631 065	605 220
Investments are classified as available for sale and are reconciled as follows:		
Opening balance	**6 236**	4 237
Acquisition	**15 570**	2 279
Revaluations	**869**	(280)
Closing balance	**22 675**	6 236

17. LONG-TERM RECEIVABLES

17.1 Reconciliation of carrying amount

	2024 R000's	2023 R000's
Net investment in finance leases	**3 065**	5 072

17.2 Fair value of long-term receivables

The fair value of long-term interest-bearing receivables approximates the carrying value as market-related rates of interest are charged on these outstanding amounts. Refer to note 22 for information regarding the expected credit loss allowances on lease receivables.

17.3 Net investment in finance leases is reconciled with the gross investment in leases as follows:

	Gross investment in leases R000's	Unearned finance income R000's	Net investment in leases R000's
2024			
Lease payments receivable			
– Not later than one year	**7 740**	**(5 729)**	**2 011***
– Later than one year but not later than five years	**15 533**	**(12 468)**	**3 065**
	23 273	**(18 197)**	**5 076**
2023			
Lease payments receivable			
– Not later than one year	6 758	(1 873)	4 885*
– Later than one year but not later than five years	7 003	(1 931)	5 072
	13 761	(3 804)	9 957

* *Included in trade and other receivables.*

Interest is charged up to 25%.

There were no contingent rents recognised as income during the year.

The Group enters into finance leasing arrangements for its customer electronic equipment. All leases are denominated in South African Rands. The average term of finance leases entered into is four to five years.

18. INVENTORIES

	2024 R000's	2023 R000's
Raw materials and consumables	**226 148**	190 354
Work-in-progress	**41 338**	35 698
Finished goods	**314 396**	418 918
	581 882	644 970
Write-down of inventory to net realisable value during the year	**(3 564)**	(3 468)
Reversals of previous write-down of inventory to net realisable value during the year*	**432**	453

* *This inventory was realised during the year and the earlier write-down reversed.*

19. TRADE AND OTHER RECEIVABLES

19.1 Reconciliation of carrying value

	2024 R000's	2023 R000's
Trade receivables	**451 167**	449 773
Lease receivables	**2 011**	4 885
Other receivables	**51 487**	80 453
Fair value of outstanding foreign exchange contracts	**607**	35
Prepayments	**38 426**	29 254
Trade and other receivables	**543 698**	564 400
Carrying values approximate fair values for all classes.		
Other receivables		
Included under other receivables are:		
Income receivable from government grants (refer to note 24)	**3 900**	2 110
Lease smoothing asset	**14 005**	12 187
VAT	**2 754**	12 957
Insurance claim receivable	**1 078**	2 038
Deposits	**14 373**	11 042
Contract assets*	**2 805**	22 780
Sundry debtors	**12 572**	17 339
	51 487	80 453

* *The contract assets primarily relate to our tooling supply arrangements and represent the Group's rights to consideration for work completed but not yet billed at the reporting date, mainly on automotive component products. The contract assets were not impacted by any impairment charges and are transferred to receivables when the rights become unconditional, which usually occurs upon the issuance of an invoice to the customer upon delivery.*

19.2 Securitisation of assets

Refer to note 32, which relates to the security provided to the Group's bankers.

20. STATED CAPITAL AND RESERVES

20.1 Stated capital

	2024 R000's	2023 R000's
Authorised		
10 000 000 000 (2023: 10 000 000 000) ordinary shares of no par value		
Each ordinary share has the right to one vote at general meetings		
Issued stated capital		
438 200 945 (2023: 438 323 673) ordinary shares of no par value	**1 464 048**	1 465 203
Balance at beginning of year – 438 323 673 (2023: 435 642 509)	**1 465 203**	1 462 143
Share-buy back during the year – 1 859 107 (2023: 4 288 127)	**(4 767)**	(9 090)
Issued during the year – 1 736 379 (2023: 6 969 291)	**3 612**	12 150
Distribution	**(43 832)**	–
	1 420 216	1 465 203

Share buy-back

Current period

During the year the Group repurchased 2 119 135 shares from the open market on the JSE. Of the shares repurchased, 1 859 107 were cancelled in the current year and 260 028 were cancelled in the subsequent reporting period. The shares were acquired at an average price of R2,25 with prices ranging from R1,95 to R2,25. The total cost, including related after-tax transaction costs, were deducted from stated capital.

Issue of shares

Current period

During the period 1 736 379 shares were issued in terms of the Group's share incentive scheme.

Prior period

During the period 6 969 291 shares were issued in terms of the Group's share incentive scheme.

Reserved under options (see note 33)

42 862 171 ordinary shares of no par value each have been placed under the control of the directors, who are authorised to allot and issue all or any of such shares in accordance with the terms and conditions of The Deneb Share Incentive Scheme Plan and any amendments thereto.

The remainder of the unissued shares are under the control of the directors until the next annual general meeting.

20.2 Reserves

	2024 R000's	2023 R000's
Composition of other reserves		
Foreign currency translation differences	**8 387**	6 058
Common control reserve	**(20 219)**	(20 219)
Surplus on revaluation	**320 033**	306 288
	308 201	292 127

There are no restrictions on the Group to distribute these funds once realised.

21. POST-EMPLOYMENT MEDICAL AID BENEFITS

General description of plan

The post-employment subsidy policy is summarised below:

- qualifying medical scheme members who joined the Group before 1 July 1996 are eligible for a 50% retirement subsidy of their total medical scheme contributions;
- dependants of eligible continuation members receive a subsidy before and after the death of the principal member; and
- if a member eligible for a retirement subsidy dies in service, their dependants are eligible for a subsidy of medical scheme contributions as described above.

	2024 R000's	2023 R000's
Amounts recognised in the statement of profit or loss and other comprehensive income:		
Current service cost	**17**	29
Interest on the obligation	**8 030**	7 741
Total included in staff costs	**8 047**	7 770
Reconciliations in the net liability recognised in the balance sheet are as follows:		
Liability at the beginning of the year	**77 107**	82 574
Net expense recognised in profit or loss	**8 048**	7 770
Contributions from employer	**(8 081)**	(7 966)
Actuarial gains recognised in other comprehensive income – changes from financial assumptions	**(1 365)**	(5 271)
Liability in the balance sheet	**75 709**	77 107
Represented by		
Liability due within 12 months	**7 878**	7 670
Liability due after 12 months	**67 831**	69 437
	75 709	77 107
Present value of unfunded obligations	**75 709**	77 107
Fair value of plan assets	**–**	–
Recognised liability for defined benefit obligations	**75 709**	77 107

The net cumulative actuarial gain recognised in other comprehensive income is R1,4 million.

Forecast reconciliation of the plan to 31 March 2025 is as follows:	2025 R000's
Liability at 31 March 2024	75 709
Net expense in the statement of comprehensive income	8 397
Contributions	(8 315)
Forecast liability at 31 March 2025	75 791

Risk exposure

Through its post-employment medical plan, the Group is exposed to a number of risks, the most significant of which are detailed below:

- Changes in bond yields – The plan liabilities are calculated using a discount rate set with reference to South African government zero coupon bond yields. A decrease in bond yields will increase plan liabilities.
- Inflation risks – Medical scheme contributions have in the past increased at a significantly higher rate than general consumer price inflation. The Group's plan liabilities are linked to the healthcare cost inflation. Higher inflation will lead to higher liabilities.

21. POST-EMPLOYMENT MEDICAL AID BENEFITS (CONTINUED)

Sensitivity analysis

		2024	2023
The principal actuarial assumptions at the reporting date:			
Discount rate	(%)	**11,71**	10,99
Medical inflation	(%)	**8,41**	8,06
Sensitivity of results			
• A 1% increase in medical aid inflation would result in:			
– An increase in the accrued liability of	(R000's)	**5 792**	6 150
	(%)	**7,65**	7,98
– An increase in the service and interest cost of	(R000's)	**680**	680
	(%)	**8,45**	8,75
• A 1% decrease in medical aid inflation would result in:			
– A decrease in the accrued liability of	(R000's)	**(5 152)**	(5 445)
	(%)	**(6,81)**	(7,06)
– A decrease in the service and interest cost of	(R000's)	**(126)**	(601)
	(%)	**(1,57)**	(7,74)
• A 1% decrease in the discount rate would result in:			
– An increase in the accrued liability of	(R000's)	**5 649**	6 020
	(%)	**7,46**	7,81
• A 1% increase in the discount rate would result in:			
– A decrease in the accrued liability of	(R000's)	**(4 954)**	(5 253)
	(%)	**(6,54)**	6,81

22. FINANCIAL INSTRUMENTS

Financial risk management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- credit risk;
- liquidity risk; and
- market risk.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

Risk management framework

The board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The board has established a risk committee, which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the board of directors on its activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group audit committee oversees how management monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Group audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee.

22. FINANCIAL INSTRUMENTS (CONTINUED)

Interest-bearing liabilities

	Final repayment dates	Average rate of interest p.a.	2024 R000's	2023 R000's
Secured				
Instalment sale agreements	*	Prime	**7 583**	9 544
Loans from financial institutions	*; **	**	**829 425**	876 221
Total interest-bearing liabilities			**837 008**	885 765
Current portion of interest-bearing liabilities			**(49 669)**	(66 766)
Non-current portion of interest-bearing liabilities			**787 339**	818 999

* *Repayment dates vary between 2023 and 2032.*

** *Refer to note 26 for further information.*

Instalment sales are payable as follows:

	Principal R000's	Interest R000's	Gross instalments R000's
2024			
Less than one year	**3 979**	**517**	**4 496**
Between one and five years	**3 604**	**207**	**3 811**
	7 583	**724**	**8 307**
2023			
Less than one year	4 261	581	4 842
Between one and five years	5 283	97	5 380
	9 544	678	10 222

Financial risk management

Foreign currency management: Operating subsidiaries undertake transactions denominated in foreign currencies and hence exposures to exchange rate fluctuations arise. Material exchange rate exposure on imported goods, trade debtors/creditors, foreign currency assets and liabilities and capital equipment is hedged through the use of forward exchange contracts ("FECs"). Trade exports are hedged using FECs and customer foreign currency accounts. FECs are not used for speculative purposes.

FECs act as natural hedges and formal hedge accounting is not performed. Refer to note 28.

Interest rate management: The Group's primary interest rate risk arises from loan facilities and bank overdrafts (refer to note 26). This risk is managed through negotiations with reputable financial institutions and restructuring of borrowing facilities.

22. FINANCIAL INSTRUMENTS (CONTINUED)

Credit risk management: Financial assets, which subject the Group to concentrations of credit risk, consist principally of cash and cash equivalents, investments and receivables. A significant amount of the Group's trade debt is in respect of sales to retailers, in particular Massmart (R57,8 million) (2023: R56,6 million), Volkswagen SA (R53,6 million) (2023: R50,0 million), Ford Motors (R23,8 million) (2023: R12,0 million), Faurecia Emissions (R22,4 million) (2023: R25,6 million), and Incredible Connection (R17,5 million) (2023: R33,7 million).

Total debt in respect of sales to government and various municipalities was R10,0 million (2023: R1,4 million).

The risk on cash and cash equivalents is managed through dealing with established financial institutions with high credit standing.

Cash and cash equivalents comprise the following:

	2024 R000's	2023 R000's
Bank balances	**153 195**	97 798
Bank overdrafts	**(63 184)**	(67 350)
	90 011	30 448

The vast majority of trade debtors relate to sales made in the local market, with R454 million (97%) (2023: R446 million (97,4%)) being denominated in South African Rands.

Receivables are presented net of impairment allowances. The risk arising on trade receivables is managed through a Group policy on the granting of credit limits, continual review and monitoring of these limits. The company is jointly and severally liable in respect of third-party liabilities incurred by subsidiary companies.

Capital management: The Group's objectives when managing capital are to safeguard its ability to continue as a going concern and provide optimal returns for shareholders through maintaining an optimal capital structure. The capital base of the business is viewed as being the shareholder equity and non-current interest-bearing liabilities amounting to R2 643,1 million (2023: R2 600,6 million).

The board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The board of directors monitors the cost of capital, which the Group defines as the weighted average cost of capital, taking into account the Group's internally calculated cost of equity (shareholder funding) and long-term cost of debt assumptions. The board seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the advantages and security afforded by a sound equity position.

In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

Collateral

Finance lease receivable balances are secured over the electronic and office automation equipment leased. The Group does not hold any significant collateral other than electronic and office automation equipment securing lease receivable balances. The Group is not permitted to sell or repledge the collateral in the absence of default by the lessee.

During the period the Group did not obtain any assets by taking possession of any collateral held as security.

Repossessed electronic and office automation equipment is taken into stock and becomes available for lease or sale.

Expected credit losses

The Group had the following financial assets subject to the expected credit loss ("ECL") model:

- trade receivables;
- lease receivables; and
- other receivables.

Other receivables

Refer to note 19.1 for a breakdown of other receivables.

The Group has applied the general impairment model to other receivables. The Group has considered past experience and future macroeconomic factors and, consequently, the probability of default relating to these balances are low.

While sundry debtors and cash and cash equivalents are also subject to the requirement of IFRS 9, the identified impairment loss was immaterial.

22. FINANCIAL INSTRUMENTS (CONTINUED)

Expected credit losses (continued)

Trade and lease receivables

The Group applies the IFRS 9 simplified approach to measuring ECLs, which uses a lifetime expected loss allowance for all trade and lease receivables.

To measure the ECLs, trade and lease receivables have been grouped based on customer type, i.e. large private equity, large public equity, medium and small private equity, and government and the days past due. ECLs are calculated by applying a loss ratio to the aged balance of receivables.

The expected loss rates are based on the payment profiles of sales over a period of 36 to 72 months and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified the CPI and interest rate to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

On the above basis the ECL for trade and lease receivables for continuing and discontinued operations as at 31 March 2024 were determined as follows:

	Gross carrying amount R000's	Impairment R000's	Average ECL/ impairment ratio %
2024			
Large private equity	**289 714**	**14 546**	**5,0**
Lease receivables	4 751	151	3,2
Trade receivables:			
Current	163 939	476	0,3
30+ days	59 206	309	0,5
60+ days	19 462	154	0,8
90+ days	4 377	144	3,3
120+ days	37 979	13 312	35,1
Large public equity	**111 806**	**2 222**	**2,0**
Lease receivables	4 351	1	–
Trade receivables:			
Current	55 603	83	0,1
30+ days	32 068	103	0,3
60+ days	11 417	5	–
90+ days	1 997	3	0,2
120+ days	6 370	2 027	31,8
Medium and small equity	**103 762**	**5 941**	**5,7**
Lease receivables	134	1	0,7
Trade receivables:			
Current	62 485	431	0,7
30+ days	19 937	139	0,7
60+ days	7 066	145	2,1
90+ days	3 874	171	4,4
120+ days	10 266	5 054	49,2
Government	**577**	**27**	**4,7**
Lease receivables	107	1	0,9
Trade receivables:			
Current	397	7	1,8
30+ days	14	3	21,4
60+ days	1	–	–
90+ days	–	–	–
120+ days	58	16	27,6

22. FINANCIAL INSTRUMENTS (CONTINUED)

Expected credit losses (continued)

	Gross carrying amount R000's	Impairment R000's	Average ECL/ impairment ratio %
2023			
Large private equity	219 854	11 450	5,2
Lease receivables	8 330	1 300	15,6
Trade receivables:			
Current	121 744	576	0,5
30+ days	59 536	379	0,6
60+ days	15 530	219	1,4
90+ days	2 779	161	5,8
120+ days	11 935	8 815	73,9
Large public equity	177 120	7 675	4,3
Lease receivables	155	4	2,6
Trade receivables:			
Current	113 174	53	–
30+ days	41 930	(23)	(0,1)
60+ days	6 158	105	1,7
90+ days	4 920	103	2,1
120+ days	10 783	7 433	68,9
Medium and small equity	99 422	4 305	4,3
Lease receivables	691	6	0,9
Trade receivables:			
Current	65 239	454	0,7
30+ days	20 301	704	3,5
60+ days	7 682	1 509	19,6
90+ days	3 081	927	30,1
120+ days	2 428	705	29,0
Government	1 390	21	1,5
Lease receivables	782	10	1,3
Trade receivables:			
Current	488	7	1,4
30+ days	6	–	–
60+ days	6	–	–
90+ days	96	2	2,1
120+ days	12	2	16,7

22. FINANCIAL INSTRUMENTS (CONTINUED)

Allowances for expected credit losses	2024 R000's	2023 R000's
The movement in the allowance for impairment in respect of trade receivables for continuing and discontinued operations during the period was as follows:		
Opening balance	**23 451**	13 442
Written off as irrecoverable	**(6 299)**	(1 799)
Impairments recognised	**11 266**	17 920
Reversal of impairment	**(5 682)**	(6 112)
Closing balance	**22 736**	23 451

In determining the impairments, the Group considered, inter alia, disputes with customers, untraceable and slow payers, long overdue accounts and customers placed under liquidation.

Despite the current economic climate the Group has not noted any significant deterioration in the creditworthiness of customers.

The overall decrease in the impairment allowance is predominately attributed to two main factors. Firstly, there was a write-off related to a debtor who entered business rescue. Secondly, there was a reversal due to a slow-paying debtor who settled their account during the year.

Trade and other receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, among others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments for a period of greater than 120 days past due.

Impairment losses on trade and other receivables are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item.

Cash flow and funding risk management

This risk is managed through cash flow forecasts and ensures that adequate borrowing facilities are maintained. In terms of the memorandum of incorporation, the Group's borrowing powers are unlimited.

Refer to note 26 for borrowing facilities.

Categories of financial assets

The carrying amount of financial assets, which also represents the maximum credit exposure and reasonably approximates their fair values, is as follows:

	2024 R000's	2023 R000's
Financial assets at amortised cost	**655 366**	625 024
Financial assets at fair value through profit or loss	**607**	35
	655 973	625 059

22. FINANCIAL INSTRUMENTS (CONTINUED)

Categories of financial assets (continued)

Reconciliation with line items presented in the balance sheet:

	Financial assets at amortised cost R000's	Financial assets at fair value through profit or loss R000's	Financial asset at fair value through other comprehensive income R000's	Non-financial asset R000's	Total R000's
2024					
Long-term receivables	**3 065**	**–**	**–**	**–**	**3 065**
Trade and other receivables	**499 106**	**607**	**–**	**43 985***	**543 698**
Cash and cash equivalents	**153 195**	**–**	**–**	**–**	**153 195**
	655 366	**607**	**–**	**43 985**	**699 958**
2023					
Long-term receivables	5 072	–	–	–	5 072
Trade and other receivables	522 154	35	–	42 211*	564 400
Cash and cash equivalents	97 798	–	–	–	97 798
	625 024	35	–	42 211	677 270

* *Comprises VAT, contract assets and prepayments (refer to note 19).*

Categories of financial liabilities

The carrying amount of financial liabilities, which also reasonably approximate their fair values, is as follows:

	2024 R000's	2023 R000's
Fair value through profit or loss (forward exchange contracts)	**94**	996
Measured at amortised cost	**1 374 230**	1 501 992
	1 374 324	1 502 988

Reconciliation with line items presented in the balance sheet:

	Financial liabilities at fair value through profit or loss R000's	Financial liabilities at amortised cost R000's	Non-financial liability R000's	Total R000's
2024				
Interest-bearing liabilities – non-current	**–**	**787 339**	**–**	**787 339**
Interest-bearing liabilities – current	**–**	**49 669**	**–**	**49 669**
Trade and other payables	**94**	**474 038**	**9 964**	**484 096**
Bank overdrafts	**–**	**63 184**	**–**	**63 184**
	94	**1 374 230**	**9 964**	**1 384 288**
2023				
Interest-bearing liabilities – non-current	–	818 999	–	818 999
Interest-bearing liabilities – current	–	66 766	–	66 766
Trade and other payables	996	548 877	5 970	555 843
Bank overdrafts	–	67 350	–	67 350
	996	1 501 992	5 970	1 508 958

22. FINANCIAL INSTRUMENTS (CONTINUED)

Maturity profile of financial instruments

The maturity profile of financial liabilities at 31 March is summarised as follows:

	0 – 12 months R000's	1 – 3 years R000's	3 – 5 years R000's	Over 5 years R000's	Total R000's
2024					
Liabilities					
Interest-bearing borrowings	**49 669**	**692 127**	**95 212**	**–**	**837 008**
Trade and other payables	**474 038**	**–**	**–**	**–**	**474 038**
Bank overdrafts	**63 184**	**–**	**–**	**–**	**63 184**
Total financial liabilities – non-derivatives	**586 891**	**692 127**	**95 212**	**–**	**1 374 230**
Trade and other payables	**94**	**–**	**–**	**–**	**94**
Total financial liabilities – derivatives	**94**	**–**	**–**	**–**	**94**
Total liabilities	**586 985**	**692 127**	**95 212**	**–**	**1 374 324**
2023					
Liabilities					
Interest-bearing borrowings	66 766	697 636	121 363	–	885 765
Trade and other payables	548 877	–	–	–	548 877
Bank overdrafts	67 350	–	–	–	67 350
Total financial liabilities – non-derivatives	682 993	697 636	121 363	–	1 501 992
Trade and other payables	996	–	–	–	996
Total financial liabilities – derivatives	996	–	–	–	996
Total liabilities	683 989	697 636	121 363	–	1 502 988

22. FINANCIAL INSTRUMENTS (CONTINUED)

Contractual undiscounted cash flows

	0 – 12 months R000's	1 – 3 years R000's	3 – 5 years R000's	Over 5 years R000's	Total R000's
2024					
Liabilities – contractual undiscounted cash flows					
Interest-bearing borrowings	**55 083**	**843 010**	**136 725**	**–**	**1 034 818**
Trade and other payables	**474 038**	**–**	**–**	**–**	**474 038**
Bank overdrafts	**70 071**	**–**	**–**	**–**	**70 071**
Total financial liabilities – non-derivatives	**599 192**	**843 010**	**136 725**	**–**	**1 578 927**
Trade and other payables	**94**	**–**	**–**	**–**	**94**
Total financial liabilities – derivatives	**94**	**–**	**–**	**–**	**94**
2023					
Liabilities – contractual undiscounted cash flows					
Interest-bearing borrowings	73 476	837 861	170 151	–	1 081 488
Trade and other payables	548 877	–	–	–	548 877
Bank overdrafts	74 119	–	–	–	74 119
Total financial liabilities – non-derivatives	696 472	837 861	170 151	–	1 704 484
Trade and other payables	996	–	–	–	996
Total financial liabilities – derivatives	996	–	–	–	996

Reconciliation of liabilities arising from finance activities	Notes	Opening carrying value R000's	Financing cash flows per statement of cash flows: Proceeds R000's	Financing cash flows per statement of cash flows: Repayments R000's	Instalment sales agreements R000's	Other* R000's	Closing carrying value R000's
2024							
Secured loans – leases	12	**123 525**	**–**	**(18 740)**	**–**	**4 223**	**109 008**
Secured loans – other	26	**885 765**	**18 282**	**(68 923)**	**2 877**	**(993)**	**837 008**
		1 009 290	**18 282**	**(87 663)**	**2 877**	**3 230**	**946 016**
Bank overdraft		**67 350**					**63 184**
Total interest-bearing liabilities		**1 076 640**					**1 009 200**

* *The movement in lease liabilities relates predominantly to new leases entered into during the year. For other loans, the movement relates to deemed government grants on interest-free loans received from the IDC.*

** *Refer to note 12 for more information regarding leases.*

22. FINANCIAL INSTRUMENTS (CONTINUED)

Contractual undiscounted cash flows (continued)

Reconciliation of liabilities arising from finance activities	Notes	Opening carrying value R000's	Financing cash flows per statement of cash flows Proceeds R000's	Repayments R000's	Instalment sales agreements R000's	Other R000's	Closing carrying value R000's
2023							
Secured loans – leases	12	101 296	–	(18 762)	–	40 991	123 525
Secured loans – other	26	747 875	217 966	(79 570)	9 474	(9 980)	885 765
		849 171	217 966	(98 332)	9 474	31 011	1 009 290
Bank overdraft		14 498					67 350
Total interest-bearing liabilities		863 669					1 076 640

Fair value of financial instruments

The fair value of short-term financial assets and liabilities approximates their carrying values as disclosed in the balance sheet.

Fair value hierarchy

The table below analyses financial instruments carried at fair value, by valuation method. The different levels have been defined as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)
- Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Measurement of fair values

The following table shows the valuation techniques used in measuring Level 2 fair values for financial instruments measured at fair value in the consolidated balance sheet, as well as the significant unobservable inputs used.

Type	**Valuation techniques**	**Significant unobservable inputs**	**Inter-relationship between significant unobservable inputs and fair value measurement**
Equity securities (Business Partner Limited)	The fair value is determined using the most recent observable transaction data	Not applicable	Not applicable
Forward exchange contracts	Forward pricing, the fair value is determined using quoted prices	Not applicable	Not applicable

Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

22. FINANCIAL INSTRUMENTS (CONTINUED)

Measurement of fair values (continued)

		Carrying value				
	Notes	Financial assets at amortised cost R000's	Financial assets/ (liabilities) at fair value through profit or loss R000's	Financial asset at fair value through other comprehensive income R000's	Financial liabilities at amortised cost R000's	Total R000's
2024						
Financial assets measured at fair value						
Equity securities	16	**–**	**–**	**22 675**	**–**	**22 675**
Forward exchange contracts	19	**–**	**607**	**–**	**–**	**607**
Financial assets not measured at fair value						
Long-term receivables	17	**3 065**	**–**	**–**	**–**	**3 065**
Trade and other receivables	19	**501 910**	**–**	**–**	**–**	**501 910**
Cash and cash equivalents		**153 195**	**–**	**–**	**–**	**153 195**
		658 170	**607**	**22 675**	**–**	**681 452**
Financial liabilities measured at fair value						
Forward exchange contracts		**–**	**(94)**	**–**	**–**	**(94)**
Financial liabilities not measured at fair value						
Instalment sale agreements		**–**	**–**	**–**	**(7 583)**	**(7 583)**
Secured bank loans		**–**	**–**	**–**	**(829 425)**	**(829 425)**
Trade and other payables	23	**–**	**–**	**–**	**(474 038)**	**(474 038)**
Bank overdrafts	26	**–**	**–**	**–**	**(63 184)**	**(63 184)**
		–	**(94)**	**–**	**(1 374 230)**	**(1 374 324)**
2023						
Financial assets measured at fair value						
Equity securities	16	–	–	6 236	–	6 236
Forward exchange contracts	19	–	35	–	–	35
Financial assets not measured at fair value						
Long-term receivables	17	5 072	–	–	–	5 072
Trade and other receivables	19	522 154	–	–	–	522 154
Cash and cash equivalents		97 798	–	–		97 798
		625 024	35	6 236	–	631 295
Financial liabilities measured at fair value						
Forward exchange contracts		–	(996)	–	–	(996)
Financial liabilities not measured at fair value						
Instalment sale agreements		–	–	–	(9 544)	(9 544)
Secured bank loans		–	–	–	(876 220)	(876 220)
Trade and other payables	23	–	–	–	(548 877)	(548 877)
Bank overdrafts	26	–	–	–	(67 350)	(67 350)
		–	(996)	–	(1 501 991)	(1 502 987)

22. FINANCIAL INSTRUMENTS (CONTINUED)

Measurement of fair values (continued)

	Notes	Fair value Level 1 R000's	Level 2 R000's	Level 3 R000's	Total R000's
2024					
Financial assets measured at fair value					
Equity securities	16	**6 179**	**4 561**	**11 935**	**22 675**
Forward exchange contracts		**–**	**607**	**–**	**607**
Financial assets not measured at fair value					
Long-term receivables		**–**	**–**	**–**	**–**
Trade and other receivables		**–**	**–**	**–**	**–**
Cash and cash equivalents		**–**	**–**	**–**	**–**
		6 179	**5 168**	**11 935**	**23 282**
Financial liabilities measured at fair value					
Forward exchange contracts		**–**	**(94)**	**–**	**(94)**
Financial liabilities not measured at fair value					
Instalment sale agreements		**–**	**–**	**–**	**–**
Secured bank loans		**–**	**–**	**–**	**–**
Trade and other payables		**–**	**–**	**–**	**–**
Bank overdrafts		**–**	**–**	**–**	**–**
		–	**(94)**	**–**	**(94)**
2023					
Financial assets measured at fair value					
Equity securities	16	2 279	3 957	–	6 236
Forward exchange contracts		–	35	–	35
Financial assets not measured at fair value					
Long-term receivables		–	–	–	–
Trade and other receivables		–	–	–	–
Cash and cash equivalents		–	–	–	–
		2 279	3 992	–	6 271
Financial liabilities measured at fair value					
Forward exchange contracts		–	(996)	–	(996)
Financial liabilities not measured at fair value					
Instalment sale agreements		–	–	–	–
Secured bank loans		–	–	–	–
Trade and other payables		–	–	–	–
Bank overdrafts		–	–	–	–
		–	(996)	–	(996)

22. FINANCIAL INSTRUMENTS (CONTINUED)

Measurement of fair values (continued)

Reclassification of financial assets

No financial assets were reclassified from fair value to at cost or amortised cost or vice versa during the year.

Pledges of financial assets

Refer to note 32, Securitisation of assets.

Determination of fair value for financial assets and liabilities

The fair value of derivatives was based upon market valuations. The net market value of all foreign exchange contracts at year-end was calculated by comparing the foreign exchange contracted rates to the equivalent year-end market foreign exchange rates.

The carrying value of bank overdrafts and cash and cash equivalents approximates fair value due to the short-term maturity of these instruments.

Publicly traded investments are revalued using the latest traded price on an annual basis.

Derecognition of financial assets

There has been no transfer by the Group of financial assets to any outside party where such financial assets do not qualify for derecognition.

Defaults and breaches on loans

There were no breaches or defaults on the repayment of any loans payable during the current or prior period.

Market risk

Market risk is the risk that changes in the market prices such as foreign exchange rates and equity prices will affect the Group's income or the value of its holding of financial instruments. The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange rates. The Group enters into foreign exchange contracts to manage its exposure to foreign currency risk, including forward foreign exchange contracts to hedge the exchange rate risk arising on the import of electronic equipment, toys, finished goods and raw materials.

	2024 R000's	2023 R000's
The fair value of the derivatives at year-end determined by marking-to-market of contracts, amounted to:	**513**	(961)

The Group's exposure to market risk from foreign exchange contracts during the period was as follows:

	2024 R000's	2023 R000's
Amount of risk:		
Highest	**8 032**	26 984
Lowest	**(4 101)**	3 182
Average	**2 150**	4 477

22. FINANCIAL INSTRUMENTS (CONTINUED)

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

Adequate liquidity is managed through the use of cash flow forecasts and by the maintenance of adequate borrowing facilities (refer to note 26).

In sourcing funding, the Group only deals with reputable financial institutions that have strong credit ratings.

The Group is exposed to liquidity concentration risk because the vast majority of its borrowing facilities are held with Standard Bank. Management manages this risk by financing facilities over a longer period (refer to note 26). Standard Bank's credit rating (Moody's) is Baa3 (2023: Baa3).

Sensitivity analysis

Equity price sensitivity analysis

The Group faces an equity risk in that it holds investments in Business Partner shares as disclosed under the investments note. Net profit or loss for the period would be unaffected by equity price volatility as revaluations to the equity investment are taken directly to other comprehensive income.

Foreign currency sensitivity analysis

The Group is exposed to foreign currency risk in the form of trade receivables and trade payables denominated in foreign currencies as well as related forward exchange contracts and customer foreign currency accounts. Details of the Group's exposure in this regard is contained in note 28 of these financial statements.

Interest rate sensitivity analysis

At year-end the Group's net interest-bearing borrowings amounted to R747 million (2023: R855 million). In the main the interest rates applicable to these loans are variable. Consequently, in the event of a 10% change in interest rates, (i.e. an increase of 1,175%), there will be an additional interest charge of R7,47 million (2023: R8,55 million) before tax.

23. TRADE AND OTHER PAYABLES

	2024 R000's	2023 R000's
Trade payables	**322 037**	352 629
Accrued expenses	**76 808**	89 324
Fair value of outstanding foreign exchange contracts	**94**	996
VAT	**9 964**	5 970
Other current liabilities*	**75 193**	106 924
	484 096	555 843

* *Comprises predominantly payroll-related payables.*

Carrying values approximate fair values for all classes.

24. GOVERNMENT GRANTS

Government grants in the Group relate to funding arrangements and programmes such as the Production Incentive Programme ("PIP"), the Manufacturing Competitiveness Enhancement Programme ("MCEP") and the Automotive Investment Scheme ("AIS") established by the Department of Trade, Industry and Competition as an incentive offered to qualifying companies operating within the industrial manufacturing industry.

Deferred income	2024 R000's	2023 R000's
Deferred amounts, to be recognised in more than 12 months' time	**91 054**	94 949
Deferred amounts, to be recognised in the next 12 months	**10 900**	10 103
Deferred income	**101 954**	105 052
Reconciliation of deferred income:		
Opening carrying value	**105 052**	95 007
Government grants recognised during the period	**15 841**	22 110
Deferred income released during the period	**(18 939)**	(12 065)
Closing carrying value	**101 954**	105 052
Reconciliation of receivable:		
Receivable balance for government grants brought forward	**2 110**	2 509
Government receivable recognised during the period	**17 631**	22 110
Total cash received during the year from government grants amounted to	**(15 841)**	(22 509)
Amount outstanding as at year-end	**3 900**	2 110

Amounts outstanding at year-end are included under other receivables (refer to note 19).

There are no unfulfilled conditions or contingencies relating to the government assistance recognised.

25. BUSINESS COMBINATIONS

2024

No subsidiaries were acquired or sold during the current year.

2023

Disposal of CLM Home Limited ("CLM Home")

The Group disposed of its interest in its online furniture business, CLM Home, on 1 March 2023 for a consideration equal to net asset value.

Identifiable assets acquired and liabilities assumed

The following table summarises proceeds on disposal, including an analysis of assets and liabilities disposed of.

	Branded Product Distribution R000's
Non-current assets	
Property, plant and equipment	142
Goodwill	849
Intangible asset	673
Current assets	
Inventories	5 152
Trade and other receivables	974
Cash and cash equivalents	771
Current liabilities	
Trade and other payables	(688)
Net asset value disposed of	7 873
Deferred disposal proceeds	(5 873)
Cash and cash equivalents disposed of	(771)
Net cash inflow on disposal	1 229

26. BORROWING FACILITIES

Overdraft facility

	2024 R000's	2023 R000's
Available facility	**573 000**	573 000
Net utilised	**(75 332)**	(78 220)
Bank overdraft	**(63 184)**	(67 350)
Letter of credits	**(12 148)**	(10 870)
Unutilised balance	**497 668**	494 780

These facilities have been secured in terms of note 32.

Loan facilities

	2024 R000's	2023 R000's
Available facility	**972 258**	928 345
Utilised	**(844 533)**	(869 317)
Non-current portion	**(798 875)**	(806 314)
Current portion	**(45 658)**	(63 003)

26. BORROWING FACILITIES (CONTINUED)

Details of the loan facilities

	2024 R000's	2023 R000's
*Loan facility A**	**50 000**	50 000
Utilised	**50 000**	50 000
Date of repayment of capital towards the loan facility	**February 2026**	January 2026
Interest rates	**Jibar plus 1,95%**	Jibar plus 1,95%
*Loan facility B**	**150 000**	150 000
Utilised	**150 000**	150 000
Date of repayment of capital towards the loan facility	**February 2026**	January 2026
Interest rates	**Jibar plus 1,95%**	Jibar plus 1,95%
*Loan facility C**	**450 000**	450 000
Utilised	**450 000**	450 000
Date of repayment of capital towards the loan facility	**February 2026**	February 2026
Interest rates	**Jibar plus 2,39%**	Jibar plus 2,39%
Loan facility D	**29 000**	29 000
Utilised	**29 000**	29 000
Date of repayment of capital towards the loan facility	**May 2025**	May 2025
Interest rates	**Prime less 1%**	Prime less 1%
*Loan facility E**	**128 700**	128 700
Utilised	**95 213**	121 363
Date of repayment of capital towards the loan facility	**November 2027**	November 2027
Interest rates	**Jibar plus 2,75%**	Jibar plus 2,75%
Loan facility F	**93 000**	69 000
Utilised	**–**	33 731
Date of repayment of capital towards the loan facility	**On demand**	On demand
Interest rates	**Prime less 0,5%**	Prime less 0,5%
Loan facility G	**7 410**	8 645
Utilised	**6 172**	3 032
Date of repayment of capital towards the loan facility	**December 2026**	December 2026
Interest rates	**Prime less 0,5%**	Prime less 0,5%
Loan facility H	**47 490**	40 400
Utilised	**47 490**	29 862
Date of repayment of capital towards the loan facility	**March 2028**	March 2028
Interest rates	**Interest free**	Interest free
Loan facility I	**2 600**	2 600
Utilised	**2 600**	2 329
Date of repayment of capital towards the loan facility	**October 2026**	October 2026
Interest rates	**Prime plus 2,87%**	Prime less 2,87%
Loan facility J	**6 400**	–
Utilised	**6 400**	–
Date of repayment of capital towards the loan facility	**February 2028**	–
Interest rates	**2,50%**	–
Loan facility K	**1 600**	–
Utilised	**1 600**	–
Date of repayment of capital towards the loan facility	**February 2028**	–
Interest rates	**Prime plus 2,87%**	–
Loan facility L	**6 058**	–
Utilised	**6 058**	–
Date of repayment of capital towards the loan facility	**September 2029**	–
Interest rates	**Interest free**	–

* *The Group will be impacted by the future replacement of Jibar with a new benchmark rate, but this impact is not expected to be material. On 6 May 2024, an update on the Jibar transition plan was published by the South African Reserve Bank, and it is expected to be discontinued before the end of 2026.*

Compliance with loan covenants

Under the terms of the major borrowing facilities, the Group is required to comply with the following financial covenants for the property-backed facilities:

- loan-to-property-value ratio to not exceed 60%;
- interest cover ratio on property division to not be less than 1,65; and
- if rentals from owner-occupied properties exceed 30% of total rentals received, the excess will be disregarded in calculating the interest cover ratio.

The Group has complied with the financial covenants of its borrowing facilities during the year ending 31 March 2024 and is not close to breach.

27. DIRECTORS' EMOLUMENTS

Paid by a subsidiary company Name	Salary R000's	Bonus R000's	Retirement and medical contributions R000's	Share option expense R000's	Directors' fees R000's	Other benefits R000's	Total R000's
2024							
Executive directors*							
S A Queen (CEO)	**5 481**	**6 436**	**–**	**3 084**	**–**	**–**	**15 001**
G D T Wege	**2 900**	**2 975**	**198**	**495**	**–**	**–**	**6 568**
Non-executive directors							
J Copelyn (Chairperson)**	**–**	**–**	**–**	**–**	**226**	**–**	**226**
M H Ahmed	**–**	**–**	**–**	**–**	**292**	**–**	**292**
D Duncan	**–**	**–**	**–**	**–**	**160**	**–**	**160**
T G Govender**	**–**	**–**	**–**	**–**	**160**	**–**	**160**
N B Jappie	**–**	**–**	**–**	**–**	**292**	**–**	**292**
K F Mahloma	**–**	**–**	**–**	**–**	**226**	**–**	**226**
Y Shaik**	**–**	**–**	**–**	**–**	**160**	**–**	**160**
2023							
Executive directors*							
S A Queen (CEO)	5 213	9 327	–	2 921	–	–	17 461
G D T Wege	2 577	4 962	359	463	–	–	8 361
Non-executive directors							
J A Copelyn (Chairperson)**	–	–	–	–	214	–	214
M H Ahmed	–	–	–	–	227	–	227
D Duncan	–	–	–	–	151	–	151
T G Govender**	–	–	–	–	151	–	151
N B Jappie	–	–	–	–	277	–	277
K F Mahloma	–	–	–	–	214	–	214
Y Shaik**	–	–	–	–	151	–	151

* *There is no distinction made in the remuneration packages of executive directors for services as directors and services for carrying on the business of the Group and/or subsidiary companies.*

** *Ceded to HCI.*

27. DIRECTORS' EMOLUMENTS (CONTINUED)

Additional disclosure in terms of the share options granted during the year:

Deneb Investments Limited options	Opening balance of share options 000's	Number of share options awarded during the year 000's	Number of shares exercised 000's	Number of shares cancelled 000's	Closing balance of share options 000's	Strike price of share options awarded R	Exercised price of shares exercised R
2024							
Executive directors*							
S A Queen (CEO)	**12 530**	**2 168**	**(1 490)**	**–**	**13 208**	**2,00**	**2,19**
G D T Wege	**5 412**	**1 013**	**–**	**–**	**6 425**	**2,00**	**–**
Non-executive directors							
J A Copelyn (Chairperson)	**–**	**–**	**–**	**–**	**–**	**–**	**–**
N B Jappie	**–**	**–**	**–**	**–**	**–**	**–**	**–**
M H Ahmed	**–**	**–**	**–**	**–**	**–**	**–**	**–**
D Duncan	**–**	**–**	**–**	**–**	**–**	**–**	**–**
T G Govender	**–**	**–**	**–**	**–**	**–**	**–**	**–**
K F Mahloma	**–**	**–**	**–**	**–**	**–**	**–**	**–**
Y Shaik	**–**	**–**	**–**	**–**	**–**	**–**	**–**
2023							
Executive directors*							
S A Queen (CEO)	14 538	2 116	(4 124)	–	12 530	2,11	2,32
G D T Wege	5 836	966	(1 390)	–	5 412	2,11	2,32
Non-executive directors							
J A Copelyn (Chairperson)	–	–	–	–	–	–	–
N B Jappie	–	–	–	–	–	–	–
M H Ahmed	–	–	–	–	–	–	–
D Duncan	–	–	–	–	–	–	–
T G Govender	–	–	–	–	–	–	–
K F Mahloma	–	–	–	–	–	–	–
Y Shaik	–	–	–	–	–	–	–

* *There is no distinction made in the remuneration packages of executive directors for services as directors and services for carrying on the business of the Group and/or subsidiary companies.*

For the interest of directors in the company's share capital, please refer to the Analysis of Shareholders report on page 134.

Directors' interest in contracts is disclosed in note 30, Related parties.

27. DIRECTORS' EMOLUMENTS (CONTINUED)

The following table reflects the remuneration received by directors who also serve on the board of HCI and its subsidiaries for the year ended 31 March 2024:

Director	Board fees R000's	Salary R000's	Share options expense R000's	Bonus R000's	Total for the year ended 2024 R000's	Total for the year ended 2023 R000's
J A Copelyn	–	9 218	7 537	6 913	**23 668**	22 135
T G Govender	–	2 399	3 270	1 560	**7 229**	6 895
Y Shaik	–	4 763	3 245	3 096	**11 104**	10 370
M H Ahmed	857	–	–	–	**857**	808
N B Jappie	–	–	–	–	**–**	458

28. FOREIGN CURRENCY COMMITMENTS

	Currency	Uncovered R000's	Covered R000's	Total R000's
2024				
Foreign currency monetary items are as follows:				
Foreign receivables	EUR	**–**	**–**	**–**
	USD	**14 226**	**–**	**14 226**
	CNY	**–**	**–**	**–**
	Other	**–**	**–**	**–**
		14 226	**–**	**14 226**
Foreign payables	EUR	**–**	**813**	**813**
	USD	**3 648**	**38 463**	**42 111**
	CNY	**–**	**5 398**	**5 398**
	Other	**431**	**–**	**431**
		4 079	**44 674**	**48 753**

Sensitivity analysis

A 10% strengthening of the Rand would result in the uncovered receivables to be collected being reduced by R1 422 600 while the uncovered payables balance would decrease by R407 900 resulting in a net loss of R1 014 700. A weakening of the Rand by 10% would have an equal, but opposite effect.

	Currency	Uncovered R000's	Covered R000's	Total R000's
2023				
Foreign currency monetary items are as follows:				
Foreign receivables	EUR	–	–	–
	USD	12 180	–	12 180
	GBP	–	–	–
	CHF	–	–	–
		12 180	–	12 180
Foreign payables	EUR	–	4 619	4 619
	USD	26 795	69 069	95 864
	GBP	193	–	193
		26 988	73 688	100 676

The exchange rates were as follows:

	Spot rate	
Currency	2024	2023
CHF	**20,95**	19,41
EUR	**20,39**	19,27
GBP	**23,87**	21,91
USD	**18,89**	17,71

29. COMMITMENTS

	Capital expenditure		Contractual commitments	
	2024 R000's	2023 R000's	**2024 R000's**	2023 R000's
Investment property	**2 964**	17 325	**–**	–
Land and buildings	**–**	38 546	**3 633**	–
Plant and equipment	**84 305**	191 149	**7 462**	46 962
Intangible assets	**1 900**	1 866	**–**	–
	89 169	248 886	**11 095**	46 962

The capital commitments are expected to be incurred during the next 12 months.

30. RELATED PARTIES

Transactions between Group companies

During the year, in the ordinary course of business, certain companies within the Group entered into transactions with one another. These intra-group transactions have been eliminated on consolidation.

Transactions with Hosken Consolidated Investments Limited ("HCI") (ultimate holding company) entities in which HCI has an interest:

	Transaction values for the year ended 31 March Income/(Expense)		Balance outstanding as at 31 March Balance receivable/(owing)	
	2024 R000's	2023 R000's	**2024 R000's**	2023 R000's
Donations paid to the HCI Foundation	**(438)**	–	**–**	–
Management fees paid				
HCI – managerial and secretarial services	**–**	(397)	**–**	–
Internal audit fees to HCI	**(2 474)**	(2 048)	**–**	(234)
Management fees received				
Risk management to HCI	**531**	531	**–**	51

Remuneration of key management personnel

Key management personnel are directors and those executives having authority and responsibility for planning, directing and controlling the activities of the Group. The remuneration (all short-term benefits) paid by the Group to its key management personnel is as follows:

	2024 R000's	2023 R000's
Basic	**62 524**	79 956
Benefits	**7 654**	4 965
	70 178	84 921

A share incentive scheme has been implemented for key management personnel (see note 35 for further details).

The percentage of shares held by directors of the company and their related entities at the reporting date are disclosed in the Analysis of Shareholders report on page 134.

31. CONTINGENCIES

There are no material contingencies at the date of signing this report.

32. SECURITISATION OF ASSETS

Security has been provided by Deneb to Standard Bank via a special purpose company, Sargas Security Proprietary Limited ("the Security SPV"), which has guaranteed the obligations of the Borrower Group in favour of Standard Bank in terms of a Debt Guarantee. Sargas Proprietary Limited and Prima Toy and Leisure Trading Proprietary Limited have indemnified the Security SPV in respect of any claim arising from the Security SPV issuing the Debt Guarantee.

Continuing Covering Mortgage Bonds ("the Mortgage Bonds") have been registered in favour of the Security SPV in respect of Sargas' properties.

Prima Toy and Leisure Trading Proprietary Limited, Prima Interactive, Butterfly Products and Sirius Sales have provided an unlimited cession in favour of Standard Bank of its rights to all book debts and other debts due.

Each of the companies comprising the Borrower Group has guaranteed the payment and discharge of every other company's indebtedness to Standard Bank in terms of an Interlinking Demand Guarantee. (The "Borrower Group" comprises Deneb and its operating subsidiaries, excluding Formex Industries Proprietary Limited, Formex Tubing Proprietary Limited, Premier Rainwatergoods Proprietary Limited, HTIC Limited and Oops Global SA).

Formex Industries has provided security to Investec in respect of plant and equipment and ABSA in respect of its trade debtors.

Deneb Investments has issued a guarantee in favour of Microsoft Ireland Operations Limited in respect of trade debt of Prima Interactive.

Deneb Investments has issued guarantees in favour of the IDC for interest-free funding.

The impact of the above on the figures disclosed in the balance sheet is as follows:

	Per balance sheet R000's	Securitised R000's	Unsecuritised R000's
2024			
Property, plant and equipment	**952 250**	**239 731**	**712 519**
Investment property	**1 024 362**	**1 024 362**	**–**
Intangible assets	**20 122**	**–**	**20 122**
Financial asset at fair value through other comprehensive income	**22 676**	**–**	**22 676**
Long-term receivables	**3 065**	**–**	**3 065**
Inventories	**581 882**	**–**	**581 882**
Trade and other receivables	**543 697**	**152 592**	**391 105**
Non-current assets held for sale	**115 000**	**–**	**115 000**
2023			
Property, plant and equipment	931 346	225 296	706 050
Investment property	1 063 513	1 063 513	–
Intangible assets	20 536	–	20 536
Financial asset at fair value through other comprehensive income	6 236	–	6 236
Long-term receivables	5 072	–	5 072
Inventories	644 970	–	644 970
Trade and other receivables	564 399	158 567	405 832
Non-current assets held for sale	132 500	–	132 500

Note:

Security Cession means a security cession in terms of which the Security Grantor cedes to the Security SPV in securitatem debiti all of such Security Grantor's present and future Rights and Interest as security for the due, proper and timeous payment and performance in full of the Security Grantor's obligations under the Indemnity, on the terms of the written Security Cession signed between the Security SPV and the Security Grantor.

Indemnity means an irrevocable and unconditional indemnity given by the Security Grantor to the Security SPV, indemnifying the Security SPV in respect of any claim or liability of the Security SPV arising under the Guarantees which the Security SPV has provided in respect of all monies and liabilities owing by the Security Grantor and other companies within the Borrower Group in connection with the banking facilities provided by the Guaranteed Parties to the Borrower Group and against any loss, damage, liability, costs or expenses of any facilities provided by the Guaranteed Parties to the Borrower Group and against any loss, damage, liability, costs or expenses of any nature which the Security SPV may incur as a consequence of the occurrence of any Event of Default, on the terms of the written Indemnity Agreement signed between the Security SPV and the Security Grantor.

33. SHARE INCENTIVE SCHEME

Basis of accounting

The 2014 Deneb Share Incentive Scheme was established on 10 October 2014. In addition, the 2017 Deneb Share Incentive Scheme was approved by shareholders and adopted by the Group and its subsidiaries on 1 November 2017. The terms and conditions of the 2017 Share Scheme are in all material aspects the same as the 2014 Share Scheme.

The Incentive Schemes provide selected employees with the opportunity to acquire ordinary shares in Deneb Investments Limited, thereby ensuring that such employees are encouraged and motivated to pursue the continued growth and profitability of Group companies.

In terms of the 2014 Share Scheme, 53 977 647 ordinary shares of no par value each have been placed under the control of the directors, and 42 862 171 ordinary shares of no par value for the 2017 Share Scheme. The directors are authorised to allot and issue all or any of such shares in accordance with the terms of conditions of the Share Incentive Scheme. Options are accounted for as equity-settled.

Equity-settled

During the financial year 10 903 328 ordinary options (2023: 12 184 116) were allotted.

The exercise of the options by the employees is subject to them meeting performance targets relating to profitability of the relevant business unit or division or Group profitability, as well as the continued employment of the employee as at the date on which the option is exercised, in which case the employee may exercise:

2014 Deneb Share Incentive Scheme

- 11 552 529 options issued on 30 June 2016 of which 4 799 894 are unexercised and the vesting criteria have been met.
- 9 204 132 options issued on 26 June 2017 of which 2 257 973 are unexercised and the vesting criteria have been met.

2017 Deneb Share Incentive Scheme

- 13 096 530 options issued on 4 July 2019 of which 6 799 934 are unexercised and vest as follows from the grant date:
  - up to 10% of the option shares from the first anniversary of the option date;
  - up to a further 20% of the option shares from the second anniversary date;
  - up to a further 30% of the option shares from the third anniversary date; and
  - the balance, namely 40% of the option shares, from the fourth anniversary date.
- 13 158 970 options issued on 30 June 2020 of which 9 127 448 are unexercised and vest as follows from the grant date:
  - up to 10% of the option shares from the first anniversary of the option date;
  - up to a further 20% of the option shares from the second anniversary date;
  - up to a further 30% of the option shares from the third anniversary date; and
  - the balance, namely 40% of the option shares, from the fourth anniversary date.
- 9 559 945 options issued on 28 June 2021 of which 7 902 862 are unexercised and vest as follows from the grant date:
  - up to 10% of the option shares from the first anniversary of the option date;
  - up to a further 20% of the option shares from the second anniversary date;
  - up to a further 30% of the option shares from the third anniversary date; and
  - the balance, namely 40% of the option shares, from the fourth anniversary date.
- 12 184 116 options issued on 29 June 2022 of which 10 282 977 are unexercised and vest as follows from the grant date:
  - up to 10% of the option shares from the first anniversary of the option date;
  - up to a further 20% of the option shares from the second anniversary date;
  - up to a further 30% of the option shares from the third anniversary date; and
  - the balance, namely 40% of the option shares, from the fourth anniversary date.
- 10 903 328 options issued on 28 June 2023 of which 9 798 467 are unexercised and the vesting criteria have been met:
  - up to 10% of the option shares from the first anniversary of the option date;
  - up to a further 20% of the option shares from the second anniversary date;
  - up to a further 30% of the option shares from the third anniversary date; and
  - the balance, namely 40% of the option shares, from the fourth anniversary date.

33. SHARE INCENTIVE SCHEME (CONTINUED)

Options in issue are as follows:

Option holder	Grant date	Options issued	Strike price (cents)	Vesting conditions	Remaining life of option
S A Queen	30 June 2016	2 343 944	111	Continued employment	1 year
	4 July 2019	2 290 642	151	Continued employment	1 year
	30 June 2020	2 443 035	109	Continued employment	2 years
	28 June 2021	1 846 187	144	Continued employment	3 years
	29 June 2022	2 116 260	201	Continued employment	4 years
	28 June 2023	2 168 364	200	Continued employment	5 years
Total for S A Queen		**13 208 432**			
G D T Wege	30 June 2016	738 491	111	Continued employment	1 year
	26 June 2017	672 598	106	Continued employment	2 years
	4 July 2019	1 088 366	151	Continued employment	1 year
	30 June 2020	953 353	109	Continued employment	2 years
	28 June 2021	991 868	144	Continued employment	3 years
	29 June 2022	966 126	201	Continued employment	4 years
	28 June 2023	1 013 905	200	Continued employment	5 years
Total for G D T Wege		**6 424 707**			
Other, not being directors	30 June 2016	1 717 459	111	Continued employment	1 year
	26 June 2017	1 585 375	106	Continued employment	2 years
	4 July 2019	3 420 926	151	Continued employment	1 year
	30 June 2020	5 731 060	109	Continued employment	2 years
	28 June 2021	5 064 807	144	Continued employment	3 years
	29 June 2022	7 200 591	201	Continued employment	4 years
	28 June 2023	6 616 198	200	Continued employment	5 years
Total other		**31 336 416**			
Total options in issue		**50 969 555**			

Reconciliation of movements in options:

Number of options	2024	2023
Opening balance	**52 514 367**	60 287 289
Awarded during the period	**10 903 328**	12 184 116
Exercised during the period	**(1 736 378)**	(6 969 291)
Options used for strike price and tax	**(4 483 705)**	(12 847 595)
Lapsed/forfeited during the period	**(6 228 057)**	(140 152)
Closing balance	**50 969 555**	52 514 367
Number of options exercisable at year-end	**22 733 426**	14 932 694
Expense during the year (included in employment costs)	**3 937 033**	5 282 152
Value of shares issued during the year	**3 611 732**	12 149 871
Weighted average share price of share options exercised during the year	**2,22**	2,39

33. SHARE INCENTIVE SCHEME (CONTINUED)

Valuation methodology

The fair value of the options granted was determined as follows:

A stochastic model, based on the standard "binomial" options pricing model (which is mathematically consistent with the Black-Schöles-Merton model, but allows for the particular features of employee share options to be modelled realistically), was used.

The key principles of the Black-Schöles-Merton model are incorporated into this Actuarial Binomial Model. They include:

- risk-neutral valuation;
- the underlying share price is assumed to follow a log-normal distribution of returns;
- stock returns are independently distributed;
- a risk-free return can be earned and is known in advance;
- the market is efficient and thus an investor cannot make risk-free profits; and
- the underlying share price follows a Markov process – i.e. where the share price has been in the past does not have a bearing on where it will go in the future. All relevant information is contained in the share price at the grant date.

It follows then that if the Actuarial Binomial Model is being used to value a call option that:

- can only be exercised on a single date;
- has no performance conditions or vesting period;
- has a constant volatility and dividend yield throughout its life; and
- may not be forfeited,

then the value produced by the Actuarial Binomial Model will be exactly equal to that produced by the Black-Schöles formula.

The inability of the Black-Schöles formula to value American options was remedied by Cox, Ross and Rubinstein who devised a binomial lattice technique for valuing share options using the underlying financial economic principles of Black, Schöles and Merton.

The binomial model has proved over time to be the most flexible, intuitive and popular approach to option pricing. It is based on the simplification that over a single period (of possibly very short duration), the underlying asset can only move from its current price to two possible levels.

Using the concept of hedging to replicate the option value at each step (using a combination of a risky and risk-free asset), it is possible to calculate the value of the option by working recursively backwards from the expiry of the option.

The lattice provides a tremendously flexible framework for valuing employee share options. This is because the possible share price at each point over the option lifetime is considered. The framework also allows for the division of the option lifetime into distinct periods – e.g. vesting period, closed period and eligible exercise period.

Valuation assumptions

The model used for valuing the employee share option arrangements requires a number of financial assumptions to be made.

The table below summarises the principal assumptions used in the valuation of the 28 June 2023 grants:

Grant date	Vesting date	Share price (R)	Expected option lifetime (years)	Volatility %	Dividend yield %	Risk-free rate %
28/06/2023	28/06/2024	**2,20**	**3**	**24,31**	**4,55**	**8,75**
28/06/2023	28/06/2025	**2,20**	**3**	**24,31**	**4,55**	**8,75**
28/06/2023	28/06/2026	**2,20**	**3**	**24,31**	**4,55**	**8,75**
28/06/2023	28/06/2027	**2,20**	**4**	**26,21**	**4,55**	**9,13**

The main assumptions together with a detailed description of the derivation of each of these assumptions have been set out below.

Share price

The closing share price, as at the acceptance date of each option granted, was used as available on I-Net Bridge.

Risk-free interest rate

IFRS 2 requires the use of a risk-free interest rate with a term equal to the expected lifetime of the option. The Nominal Bond Curve as completed by the Johannesburg Stock Exchange of South Africa and obtained from I-Net Bridge was used. The rates used in the valuation are based on the yield curve provided at the acceptance date of each option granted. The Nominal Bond Curve was determined by the appropriate risk-free rate corresponding to the expected option lifetime of each grant.

Expected option lifetime

Our valuers have estimated the expected option lifetime by considering separately each of the tranches available within the grant. The expected lifetime was rounded to the nearest complete year.

33. SHARE INCENTIVE SCHEME (CONTINUED)

Volatility of share price

Volatility is a measure of the amount by which a share price is expected to fluctuate during the lifetime of the option. The estimate of the expected volatility over the term of the option is a significant assumption needed in determining the fair value of an employee share option. To be consistent with the definition of volatility used in option pricing models and the requirements of IFRS 2 (Appendix B, paragraph B22), an annualised standard deviation of the continuously compounded rates of return of the share was used.

In terms of IFRS 2, some of the factors that need to be considered in estimating the expected volatility include:

- Paragraph B25 (b) – “The historical volatility of the share price over the most recent period that is generally commensurate with the expected term of the option”; and
- Paragraph B25 (d) – “The tendency of volatility to revert to its mean, i.e. its long-term average level, and other factors indicating that expected future volatility might differ from past volatility”.

In order to estimate the share price volatility to be used in the valuation our valuers have considered the expected option lifetime of all the grants over the vesting period. As each grant is made up of four distinct tranches, being the staggered vesting periods, they have made use of the expected lifetime for each of these tranches.

Only share price data from 1 November 2008 has been considered due to the rights issue that occurred during October 2008.

Dividend yield

IFRS 2 requires an expected dividend or dividend yield to be taken into account in the valuation of share options in those arrangements where employees are not entitled to the dividend declared during the vesting period or the period before exercise. The dividend yield used should be the best estimate of the forward-looking dividend yield over the expected life of the option, determined at the grant date. A dividend of 10 cents (2023: 9 cents) per share was assumed.

Employee turnover

The main effect of allowing for employee turnover is that, in respect of the proportion of employees who are assumed to leave before the option (or part of the option) vests, the cost of that option (or part of the option) would be zero.

A forfeiture rate of 5% per annum compound during the vesting period has been assumed. Our valuers’ experience has been that employee turnover for staff included in share option schemes is generally between 5% and 15% although acknowledging that this varies between industries and sectors.

Further, where an employee leaves during the exercise period, he is assumed to exercise immediately if the option is “in-the-money”. A withdrawal assumption of 5% per annum compound as above has again been used.

It should be noted that the assumption of employee turnover is a non-market condition and therefore in accordance with IFRS 2, is adjusted during the period over which the expense is recognised (i.e. the vesting period). Each year, the employee turnover assumption should reflect the actual result of leavers in that year and to allow for the effect that actual experience would have on the future assumptions.

Ultimately, at the end of the particular vesting period, the actual number of options that eventually vest would need to have been expensed and the appropriate liability raised.

During the period over which the options vest, any differences in actual leavers to the assumption will be accounted for in the statement of comprehensive income at the end of the vesting period on a true-up basis.

Exercise behaviour

Option valuation theory implies that the optimal time to exercise the option (and maximise value) is generally towards the end of the allowable exercise period. However, individual behaviour often results in employees exercising their options relatively early (especially after a sudden share price rise), provided the options are “in-the-money”.

Our valuers have relied on a fairly general assumption for exercise behaviour based on internal investigations and a wide set of data provided by their international colleagues.

The following assumptions were used to reflect exercise behaviour in any given year:

- one-third of Scheme participants will exercise their options when they are 20% “in-the-money” (i.e. the share price is equal to 120% of the offer price);
- one-third of Scheme participants will exercise their options when they are 50% “in-the-money” (i.e. the share price is equal to 150% of the offer price); and
- the remaining one-third of Scheme participants will exercise their options at the theoretically “optimal” time.

34. NON-CONTROLLING INTEREST

Transactions with non-controlling interest

Current period

Non-controlling interest comprises the allocation of profit and losses generated from subsidiaries during the period.

Prior period

Non-controlling interest comprises the allocation of losses generated from these subsidiaries during the period.

The following table summarises the information relating to each of the Group's subsidiaries that has non-controlling interest.

	African Tooling Proprietary Limited		Explorius Proprietary Limited		Total	
	2024 R000's	2023 R000's	**2024 R000's**	2023 R000's	**2024 R000's**	2023 R000's
Non-controlling interests (%)	**40,0**	40,0	**49,75**	49,75		
Non-current assets	**–**	130	**6 122**	6 195	**6 122**	6 325
Current assets	**–**	1 196	**1 092**	1 015	**1 092**	2 211
Non-current liabilities	**–**	(160)	**(4 515)**	(3 837)	**(4 515)**	(3 997)
Current liabilities	**(135)**	(1 343)	**(50)**	–	**(185)**	(1 343)
Net assets attributable to the shareholders	**(135)**	(177)	**2 649**	3 373	**2 514**	3 196
Total carrying amount of non-controlling interests	**54**	167	**834**	238	**888**	405
Net assets attributable to the shareholders	**(189)**	(344)	**1 815**	3 135	**1 626**	2 791
Revenue	**5 153**	4 388	**360**	–	**5 513**	4 388
Profit/(Loss) for the year	**283**	(418)	**(1 198)**	(478)	**(915)**	(896)
Total comprehensive income	**283**	(418)	**(1 198)**	(478)	**(915)**	(896)
Profit/(Loss) allocated to non-controlling interests	**113**	(167)	**(596)**	(238)	**(483)**	(405)

35. POST YEAR-END EVENTS

A distribution of 10 cents per share was declared subsequent to the financial year.

On 13 October 2023 the Group entered into an agreement to dispose of a property situated in Mobeni, Durban, for a consideration of R65 million. The details of the disposal were published on SENS on 13 October 2023.

The property is included in assets held for sale as at 31 March 2024 and the transfer took place subsequent to year-end.

The directors are not aware of any other material fact or circumstances arising between the end of the financial year and the date of this report.

Property portfolio analysis

Property name	Classification	Location	GLA m²
Western Cape			
Brits Nonwoven	Group-occupied	John van Niekerk Street, Atlantis	10 214
Romatex	Group-occupied	Epping Avenue, Elsies River	15 305
Prima	Group-occupied	36 Gunners Circle, Epping 1	12 332
		Subtotal	**37 851**
Deneb House	Investment with minority of GLA internally let	368 Main Road, Observatory	10 785
Nourse	Investment property	Nourse Ave, Epping 2	8 215
Hextex	Investment property	Raymond Pollet Drive, Worcester	45 966
Winelands Industrial Park	Investment property	Driebergen Street, Paarl	15 054
14 Jig Road	Investment property	Jig Road, Montague Gardens	2 369
Radnor Industrial Park	Investment property	Radnor Street, Parow Industria	13 534
		Subtotal	**95 923**
		Total Western Cape	**133 774**
KwaZulu-Natal			
Mobeni – 195 Leicester Road*	Investment property	195 Leicester Road, Mobeni	14 216
Mobeni – 40 Leicester Road*	Investment property	40 Leicester Road, Mobeni	11 705
Mobeni Industrial Park	Investment property	Warrington Road, Mobeni	31 691
New Germany Industrial Park	Investment property with minority of GLA internally let	124 Escom Road, New Germany	161 716
		Total KwaZulu-Natal	**219 328**
Eastern Cape			
Libertas Road	Group-occupied	25 Libertas Road, Gqeberha	13 489
		Total Eastern Cape	**13 489**
Polokwane			
Antimoon Street	Group-occupied	52 Antimoon Street, Polokwane	3 527
		Total Polokwane	**3 527**
Total portfolio			**370 118**

* *Held for sale.*

Analysis of shareholders

SHAREHOLDER SPREAD

Pursuant to the Listings Requirements of the JSE and to the best knowledge of the directors, after reasonable enquiry, the spread of shareholders at the reporting date was as follows:

	2024				2023			
	Number of shareholders*	**%**	**Number of shares***	**%**	Number of shareholders*	%	Number of shares*	%
Ordinary shares								
Non-public	**17**	**1,0**	**386 858 440**	**88,3**	17	0,9	386 676 020	88,3
Directors of the company and subsidiaries	**3**	**0,2**	**9 478 497**	**2,2**	3	0,2	9 131 608	2,1
Shareholders with more than 10% holding*	**2**	**0,1**	**371 776 214**	**84,8**	2	0,1	371 776 214	84,8
Non-director share scheme participants	**12**	**0,7**	**5 603 729**	**1,3**	12	0,6	5 768 198	1,4
Public	**1 749**	**99,0**	**51 342 505**	**11,7**	1 771	99,1	51 647 653	11,7
	1 766	**100,0**	**438 200 945**	**100,0**	1 788	100,0	438 323 673	100,0

* *Includes indirect holdings held by directors via Fulela Trade and Invest 81 Proprietary Limited, and Hosken Consolidated Investments Limited.*

DIRECTORS' INTEREST IN SHARES

At the year-end the directors (including their family interests) were directly or indirectly interested in the company's issued shares as follows:

	2024		2023	
	Ordinary	**%**	Ordinary	%
Direct	**9 478 497**	**2,2**	9 131 608	2,1
Indirect	**74 510 631**	**17,0**	71 839 188	16,4

There have been no material changes to the date of this report.

Details of directors' beneficial direct and indirect interest in the ordinary shares are as follows:

	Direct		**Indirect**	
	2024 Ordinary	2023 Ordinary	**2024 Ordinary**	2023 Ordinary
S A Queen	**6 355 654**	6 008 765	**289 888**	329 303
G D T Wege	**1 911 781**	1 911 781	**–**	–
D Duncan	**1 211 062**	1 211 062	**–**	–
A M Ntuli	**–**	–	**–**	–
Y Shaik	**–**	–	**361 717**	361 818
N B Jappie	**–**	–	**–**	–
L Govender	**–**	–	**–**	–
R D Watson	**–**	–	**–**	–
T G Govender	**–**	–	**4 960 890**	4 962 279
J A Copelyn	**–**	–	**68 898 136**	66 185 788
	9 478 497	9 131 608	**74 510 631**	71 839 188

SHAREHOLDERS' INTEREST IN SHARES

The following are shareholders, other than directors, who own more than 5% of the company's issued share capital per class of share:

	2024		2023	
	Ordinary	**%**	Ordinary	%
Hosken Consolidated Investments Limited	**303 622 468**	**69,3**	303 622 468	69,3
Fulela Trade and Invest 81 Proprietary Limited*	**68 153 746**	**15,5**	68 153 746	15,5

* *Wholly owned subsidiary of Hosken Consolidated Investments Limited.*

Executives and staff members of the Group, other than directors, held 5 603 729 (2023: 5 768 198) ordinary shares at year-end.

Shareholders and members of the public are advised that the register of interest of directors, executives, senior management and other shareholders in the shares of the company is available upon request from the company secretary.

ANALYSIS OF SHAREHOLDERS

Deneb ordinary shares	**Number of shareholders**		**% of total shareholders**		**Number of shares**		**% of total shares**	
	2024	2023	**2024**	2023	**2024**	2023	**2024**	2023
1 – 1 000	**1 414**	1 395	**80**	78	**104 918**	109 640	**–**	–
1 001 – 5 000	**75**	86	**4**	5	**192 120**	221 801	**–**	–
5 001 – 50 000	**202**	234	**11**	13	**3 817 489**	4 292 641	**1**	1
50 001 – 100 000	**27**	26	**2**	1	**1 936 414**	1 815 812	**–**	–
Over 100 000	**48**	47	**3**	3	**432 150 004**	431 883 779	**99**	99
	1 766	1 788	**100**	100	**438 200 945**	438 323 673	**100**	100

	2024 %	2023 %
Banks, investment, finance and nominee companies and trusts	**94**	94
Directors and staff	**4**	4
Individuals	**2**	2

SHARE TRADING STATISTICS

			2024	2023
Total number of shares traded	(000's)	Ordinary	**2 745**	6 043
Total value of shares traded	(R000's)	Ordinary	**6 086**	13 033
Weighted average number of shares in issue	(000's)	Ordinary	**438 536**	436 994
% of shares traded to weighted average number of issued shares	(%)	Ordinary	**0,6**	1,4

Notice of annual general meeting

DENEB
INVESTMENTS LIMITED

DENEB INVESTMENTS LIMITED
Registration number: 2013/091290/06
(Incorporated in the Republic of South Africa)
JSE share code: DNB ISIN: ZAE000197398
("Deneb" or "the Group" or "the company")

NOTICE OF ANNUAL GENERAL MEETING FOR THE YEAR ENDED 31 MARCH 2024

NOTICE IS HEREBY GIVEN to the shareholders of Deneb Investments Limited ("Deneb") recorded in the company's securities register on Friday, 21 June 2024, that the Annual General Meeting ("AGM") of shareholders of Deneb will be held on Wednesday, 7 August 2024 at 10:30 at the offices of the company, Deneb Investments Limited, 5th Floor, Deneb House, 368 Main Road, Observatory, Cape Town 7925. Registration will start at 10:00.

The company is making provision to allow shareholders (including proxies) who cannot attend the in-person AGM to participate in the meeting via electronic communication as permitted by the Companies Act, No. 71 of 2008, as amended ("the Companies Act") and by the company's Memorandum of Incorporation ("MOI").

Participants will require an internet connection and an active e-mail address. The cost (e.g. for mobile data consumption or internet connectivity) of electronic participation in the AGM will be carried by the participant.

In terms of section 63(1) of the Act, meeting participants (including proxies) will be required to provide reasonably satisfactory identification before being entitled to participate in or vote at the AGM. Acceptable forms of identification include original and valid identity documents, driver's licences and passports.

Shareholders or their duly appointed proxy(ies) who wish to participate in the AGM via electronic communication must apply to Computershare, by sending an e-mail to proxy@computershare.co.za to be received by Computershare by no later than 10:30 on Monday, 5 August 2024.

Computershare will first validate such requests and confirm the identity of the shareholder in terms of section 63(1) of the Companies Act and, if the request is validated, further details on using the electronic communication facility will be provided. Computershare will inform participants who notified them of their intended participation by no later than 17:00 on Tuesday, 6 August 2024 by e-mail of the relevant details through which participants can participate electronically. Shareholders who wish to vote at the meeting, will be e-mailed a ballot form for this purpose. Once completed, the ballot form must be returned to proxy@computershare.co.za.

This document is available in English only. The proceedings at the meeting will be conducted in English.

VOTING AT THE ANNUAL GENERAL MEETING

The chairperson has already determined that all voting will be by way of poll. On a poll, shareholders present in person or represented by proxy at the AGM and entitled to vote, shall be entitled to one vote per ordinary share held by such shareholder. Accordingly, every holder of ordinary shares will have one vote in respect of each ordinary share held.

DETAILS OF DIRECTORS, SHAREHOLDERS, SHARE CAPITAL AND ANALYSIS OF SHAREHOLDERS, NO-CHANGE STATEMENT AND DIRECTORS' RESPONSIBILITY STATEMENT

The Integrated Annual Report of which this notice of AGM forms part, provides details of:

- the directors and management of the company, including brief CVs of the directors nominated for re-election, on pages 28 to 30;
- the major shareholders of the company on page 135;
- the directors' interests in securities on page 134; and
- the share capital of the company in note 20 and an analysis of shareholders on page 134.

NO-CHANGE STATEMENT

Other than the facts and developments reported on in the Integrated Annual Report, there have been no material changes to the financial or trading position of the company and its subsidiaries ("the Group"), nor are there any legal or arbitration proceedings that may materially affect the financial position of the Group between the signature date of the audit report and the date of this notice.

DIRECTORS' RESPONSIBILITY STATEMENT

The directors, whose names appear on pages 28 to 30 of the Integrated Annual Report, collectively and individually, accept full responsibility for the accuracy of the information given in this notice and certify that, to the best of their knowledge and belief, there are no facts that have been omitted which would make any statement in this notice false or misleading, and that all reasonable inquiries to ascertain such facts have been made and that the annual report and this notice of AGM contains all information required by the JSE Listings Requirements.

PURPOSE OF ANNUAL GENERAL MEETING

The purpose of the AGM is to transact the business set out in the agenda below, and to consider and, if approved, to pass with or without modification, the following ordinary and special resolutions, in the manner required by the company's MOI and the Act, as read with the JSE Listings Requirements.

AGENDA

1. **Presentation of the audited annual financial statements of the company, including the reports of the directors, external auditors and the audit committee, for the year ended 31 March 2024**

   In terms of the Act, the audited annual financial statements of the company (including the reports of the directors and the audit committee) for the year ended 31 March 2024 as approved by the board of directors will be presented to the shareholders of the company.

   The audited annual financial statements of the Group are set out on pages 64 to 132 of the Integrated Annual Report, of which this notice of AGM forms part. The audited annual financial statements are also available on Deneb's website at **www.deneb.co.za**. Shareholders of the company may also request and obtain a copy of the Integrated Annual Report by requesting an electronic copy from the company secretary at cshapiro@hci.co.za

2. **Presentation of social and ethics committee report**

   In accordance with Regulation 43 of the Companies Regulations, 2011, the company's social and ethics committee report for the financial year ended 31 March 2024, prepared and approved by the company's social and ethics committee and set out on pages 39 to 43 of the Integrated Annual Report, of which this notice of AGM forms part, will be presented to the shareholders of the company. Any specific questions to the social and ethics committee may be sent to the company secretary prior to the AGM.

3. **Ordinary resolution number 1 (1.1 to 1.3): Retirement and re-election of directors**

   - Ordinary resolution number 1.1: Re-election of Mr M H Ahmed as a director

     "Resolved that Mr M H Ahmed be and is hereby re-elected as a director of the company."

   - Ordinary resolution number 1.2: Re-election of Mr T G Govender as a director

     "Resolved that Mr T G Govender be and is hereby re-elected as a director of the company."

   - Ordinary resolution number 1.3: Re-election of Ms N B Jappie as a director

     "Resolved that Ms N B Jappie be and is hereby re-elected as a director of the company."

   Explanatory note

   Mr M H Ahmed, Mr T G Govender and Ms N B Jappie retire as directors in accordance with the company's MOI but, being eligible, each offer themselves for re-election as directors of the company.

   The board has considered the proposed re-election of Mr M H Ahmed, Mr T G Govender and Ms N B Jappie and recommends that they be re-elected as directors of the company. Brief CVs of the above-mentioned directors are on pages 29 and 30 of the Integrated Annual Report, of which this notice of AGM forms part.

   The reason for ordinary resolution numbers 1.1 to 1.3 is to propose the re-election of Mr M H Ahmed, Mr T G Govender and Ms N B Jappie who have retired as directors in accordance with the company's MOI. These elections will be conducted by separate votes in respect of the candidates.

   Accordingly, shareholders are requested to consider and, if deemed fit, to re-elect Mr M H Ahmed, Mr T G Govender and Ms N B Jappie by way of passing the ordinary resolutions set out above.

4. **Ordinary resolution number 2: Appointment of auditor**

   "Resolved that BDO South Africa Inc, and Mr S Cillié as designated auditor, is hereby appointed as the auditor to the company for the ensuing year."

   Explanatory note

   In terms of the Act, the company, being a public company, must have its financial results audited and such auditor of the company must each year at the company's AGM be appointed as an external auditor.

   The company's audit committee has recommended that BDO South Africa Inc be appointed as the auditor of the company for the financial year ending 31 March 2025. BDO South Africa Inc has indicated that Mr S Cillié, who is a director of the firm and a registered auditor and accredited with the JSE in accordance with the JSE Listings Requirements, will undertake the audit.

5. Ordinary resolution number 3 (3.1 to 3.3): Re-appointment of audit committee members

5.1 Ordinary resolution number 3.1: Re-election of Mr M H Ahmed as a member of the audit committee

"Resolved that Mr M H Ahmed, subject to the approval of ordinary resolution number 1.1, be and is hereby re-appointed to the audit committee of the company."

5.2 Ordinary resolution number 3.2: Re-election of Ms N B Jappie as a member of the audit committee

"Resolved that Ms N B Jappie, subject to the approval of ordinary resolution number 1.3, be and is hereby re-appointed to the audit committee of the company."

5.3 Ordinary resolution number 3.3: Re-election of Ms K F Mahloma as a member of the audit committee

"Resolved that Ms K F Mahloma be and is hereby re-appointed to the audit committee of the company."

Explanatory note

In terms of the Act, at each AGM an audit committee comprising at least three members must be elected. It is proposed that the following independent non-executive directors be re-elected as members of the audit committee for the ensuing year. The board has considered the proposed re-appointment of Mr M H Ahmed, Ms N B Jappie and Ms K F Mahloma and recommends that they be re-appointed to the audit committee. The re-appointment of each member of the audit committee will be voted on separately.

The re-appointment of Mr M H Ahmed and Ms N B Jappie to the audit committee is subject to the approval of the respective ordinary resolution numbers 1.1 and 1.3.

Brief CVs of the members are on page 30 of the Integrated Annual Report, of which this notice of AGM forms part.

6. Ordinary resolution number 4: General authority over authorised but unissued shares

"Resolved that, as required by the company's MOI and subject to the provisions of the Act and the JSE Listings Requirements, the authorised but unissued shares in the company be and are hereby placed under the control of the directors, subject to the provisions of the Act, the MOI and the JSE Listings Requirements, as presently constituted and which may be amended from time to time, and provided that such authority may not, in the aggregate, in any 1 (one) financial year, exceed 5% (five percent), being 21 897 045 ordinary shares, of the aggregate number of shares of the relevant class of shares in issue (excluding treasury shares), and such authority to endure until the next AGM of the company (whereupon this authority shall lapse, unless it is renewed at the aforementioned AGM), provided that it shall not extend beyond 15 (fifteen) months of the date of this meeting until the next AGM."

Explanatory note

In terms of the company's MOI, read with the JSE Listings Requirements, the shareholders of the company may authorise the directors to, inter alia, issue any authorised but unissued ordinary shares and/or grant options over them on such terms and conditions and to such persons whether they be shareholders or not, as the directors in their discretion deem fit. The authority will be subject to the provisions of the Act and the JSE Listings Requirements. The board has decided to seek annual renewal of this authority from the shareholders of the company in accordance with best practice. The board has no current plans to make use of this authority (other than in terms of the Deneb employee share schemes), but wishes to ensure, by having this authority in place, that the company retains its flexibility in managing the Group's capital resources and to enable the company to take advantage of any business opportunity that may arise in the future.

7. Non-binding advisory votes (1 and 2): Advisory endorsement of the remuneration policy and remuneration implementation report

7.1 Non-binding advisory vote 1:

"Resolved, by way of a non-binding advisory vote, that the company's remuneration policy set out in the Integrated Annual Report, of which this notice of AGM forms part, be accepted and endorsed."

7.2 Non-binding advisory vote 2:

"Resolved, by way of a non-binding advisory vote, that the company's remuneration implementation report set out in the Integrated Annual Report, of which this notice of AGM forms part, be accepted and endorsed."

Explanatory note

In terms of part 5.4, principle 14 (recommended practice 37) of the King IV Report on Corporate Governance™ for South Africa, 2016 ("King IV™") the company's remuneration policy and implementation report should be tabled to shareholders for separate non-binding advisory votes at the AGM. This vote enables shareholders to express their views on the remuneration policies adopted and on their implementation. Furthermore, King IV™ recommends that the remuneration policy should record the measures that the board commits to take in the event that either the remuneration policy or the implementation report, or both, have been voted against by 25% (twenty-five percent) or more of the voting rights exercised by the shareholders.

The shareholders are requested to separately endorse the company's remuneration policy on pages 47 to 49 and the remuneration implementation report on pages 50 to 52 in the Remuneration Report, by way of separate non-binding advisory votes.

8. Special resolution number 1: General authority to issue shares, options and convertible securities for cash

"Resolved that, subject to the passing of ordinary resolution number 4, the provisions of the Act and the provisions of the JSE Listings Requirements, the directors be and are hereby authorised to allot and issue ordinary shares of the company (or to issue options or convertible securities convertible into ordinary shares) for cash to such person or persons, on such terms and conditions as they may deem fit, subject to the following:

8.1 the securities shall be of a class already in issue, or convertible into a class already in issue;

8.2 the securities shall be issued to public shareholders as defined in the JSE Listings Requirements and not to related parties as defined in the JSE Listings Requirements save therefor that related parties may participate in a general issue for cash through a bookbuild process provided that (i) related parties may only participate with a maximum bid price at which they are prepared to take up shares or at book close price. In the event of a maximum bid price and the book closes at a higher price the relevant related party will be 'out of the book' and not be allocated shares; and (ii) equity securities must be allocated equitably 'in the book' through the bookbuild process and the measures to be applied must be disclosed in the SENS announcement launching the bookbuild;

- ordinary shares which are the subject of general issues for cash hereunder, in the aggregate, may not exceed 21 897 045, being 5% (five percent) of the company's relevant number of ordinary shares in issue (excluding treasury shares) as at the date of this notice;
- any number of ordinary shares issued under the authority must be deducted from the number of ordinary shares authorised immediately above;
- the maximum discount at which the shares may be issued shall be 10% (ten percent) of the weighted average traded price of the shares of the company over the 30 (thirty) business days prior to the date that the price of the issue is agreed to by the company and the party subscribing for the shares. The JSE will be consulted for a rating if the shares have not traded in such 30 (thirty) business day period;
- the company shall publish such announcements (if any) as may be required by the JSE Listings Requirements pursuant to the issue of shares under this authority; and
- the authority hereby granted will be valid until the company's next AGM, provided that it will not extend beyond 15 (fifteen) months from the date on which this resolution is passed."

Explanatory note

In terms of ordinary resolution number 4, the shareholders authorise the directors to allot and issue a portion of the authorised but unissued shares, as the directors in their discretion think fit. The existing general authority to issue shares for cash granted by the shareholders at the previous AGM, held on 21 August 2023, will expire at this AGM, unless renewed. The authority will be subject to the provisions of the Act and the JSE Listings Requirements. The aggregate number of ordinary shares capable of being allotted and issued for cash are limited as set out in the resolution. The directors consider it advantageous to renew this authority to enable the company to take advantage of any business opportunity that may arise in future.

9. Special resolution number 2: Approval of annual fees to be paid to non-executive directors

"Resolved that for the period 1 September 2024 until the date of the next AGM of the company, the remuneration payable to non-executive directors of the company for their services as directors will be as follows:

Type of fee	Current fee (excl. VAT) R	New proposed fee (excl. VAT) R
Board member	**164 000**	**173 000**
Audit committee member	**68 000**	**72 000**
Remuneration committee member	**68 000**	**72 000**

Explanatory note

In terms of section 66(8) of the Act, the company may pay remuneration to its directors for their services as directors. In terms of section 66(9) of the Act, the remuneration may only be paid to directors for their services as directors in accordance with a special resolution approved by the shareholders during the previous 2 (two) years.

10. Special resolution number 3: General authority to repurchase company shares

"Resolved that the company hereby approves, as a general approval contemplated in paragraph 5.72 of section 5 of the JSE Listings Requirements, the repurchase by the company or any of its subsidiaries from time to time of the issued ordinary shares of the company, upon such terms and conditions and in such amounts as the directors of the company may from time to time determine, but subject to the MOI, the provisions of the Act and the JSE Listings Requirements, as presently constituted and which may be amended from time to time, and provided further that:

- acquisitions by the company and its subsidiaries of shares in the capital of the company in terms of this general authority to repurchase shares may not, in the aggregate, exceed in any 1 (one) financial year 20% (twenty percent) of the company's issued share capital of the class of the repurchased shares as of the date on which this general authority is granted;
- any such repurchase shall be effected through the order book operated by the JSE trading system, without any prior understanding or arrangement between the company and the counterparty (reported trades are prohibited);
- the company (or any subsidiary) is authorised to do so in terms of its MOI;
- this general authority shall only be valid until the company's next AGM, provided that it shall not extend beyond 15 (fifteen) months from the date of passing of this special resolution;
- in determining the price at which the company's shares are repurchased by the company or its subsidiaries in terms of this general authority the maximum premium at which such shares may be acquired may not be greater than 10% (ten percent) above the weighted average of the market price at which such shares are traded on the JSE for the 5 (five) business days immediately preceding the date the repurchase transaction is effected or in accordance with a ruling issued by the JSE, who will be consulted for a ruling if the company's securities have not traded in such 5 (five) business day period;
- at any point in time, the company may only appoint 1 (one) agent to effect any repurchase(s) on the company's behalf;
- the company or its subsidiaries may not repurchase shares during a prohibited period as defined in paragraph 3.67 of the JSE Listings Requirements unless there is a repurchase programme in place and the dates and quantities of shares to be repurchased during the relevant period are fixed and full details thereof have been submitted to the JSE in writing prior to commencement of the prohibited period. The company must instruct an independent third party, which makes its investment decisions in relation to the company's securities independently of, and uninfluenced by, the company, prior to the commencement of the prohibited period to execute the repurchase programme submitted to the JSE;
- an announcement will be published on SENS as soon as the company and/or its subsidiaries has/have acquired shares in terms of this authority constituting, on a cumulative basis, 3% (three percent) of the initial number of shares of the class of shares in issue at the time that this general authority is granted by the shareholders, and each time the company acquires a further 3% (three percent) of the initial number thereafter, which announcement(s) shall contain full details of such repurchases as required in terms of the JSE Listings Requirements; and
- a repurchase shall only be effected if the board of directors has at the time of the repurchase passed a resolution authorising the repurchase in terms of sections 48 and 46 of the Act and it reasonably appears that the company and its subsidiaries have satisfied the solvency and liquidity test and that since the test was performed, there have been no material changes to the financial position of the company and its subsidiaries."

Explanatory note

The reason for special resolution number 3 is to grant the directors of the company and/or subsidiaries of the company a general authority in terms of the Act and the JSE Listings Requirements to acquire the company's ordinary shares, subject to the terms and conditions set out in the special resolution. This authority will provide the board with the necessary flexibility to repurchase shares in the market, should the board believe that it is in the interest of the company to do so.

For the avoidance of doubt, (i) a pro rata repurchase by the company from all its shareholders; and (ii) intra-group repurchases by the company of its shares from wholly owned subsidiaries, share incentive schemes pursuant to Schedule 14 of the JSE Listings Requirements and/or non-dilutive share incentive schemes controlled by the company, where such repurchased shares are to be cancelled, will not require shareholder approval, save to the extent as may be required by the Companies Act.

Directors' statement

Pursuant to and in terms of the JSE Listings Requirements, the board of directors of the company hereby states that:

- it is their intention to utilise the general authority to acquire shares in the company if at some future date the cash resources of the company are in excess of its requirements and the opportunity presents itself to do so during the year, which the board deems to be in the best interest of the company and its shareholders, taking prevailing market conditions and other factors into account;
- in determining the method by which the company intends to acquire its shares, the maximum number

of shares to be acquired and the date on which such repurchase will take place, the directors of the company will only make the repurchase if at the time of the repurchase they are of the opinion that the following conditions have been and will be met:

- the company and the Group will be able to pay their debts for a period of 12 (twelve) months after the date of this notice of AGM;
- the assets of the company and the Group are to be in excess of the liabilities of the company and Group for a period of 12 (twelve) months after the date of this notice of AGM (for this purpose the assets and liabilities are recognised and measured in accordance with the accounting policies used in the audited financial statements for the year ended 31 March 2024);
- the share capital and reserves of the company and the Group will be adequate for ordinary business purposes for a period of 12 (twelve) months after the date of this notice of AGM;
- the working capital of the company and the Group are adequate for ordinary business purposes for a period of 12 (twelve) months after the date of this notice of AGM; and
- resolution being passed by the board that it authorised the repurchase of shares, that the company and its subsidiaries have passed the solvency and liquidity test and that, since the test was performed, there have been no material changes to the financial position of the Group.

The authority granted in terms of this special resolution number 3 is limited to paragraph 5.72(a), (c), (d) and paragraph 5.68 of the JSE Listings Requirements.

The following additional information, some of which may appear elsewhere in the annual report of which this notice forms part, is provided in terms of the JSE Listings Requirements for purposes of this general authority:

- major beneficial shareholders – page 135 of the document of which this notice of AGM forms part; and
- share capital of the company – page 104 of the document of which this notice of AGM forms part.

11. Special resolution number 4: Shareholders' general authorisation of financial assistance

"Resolved that, to the extent required by sections 44 and 45 of the Act, the board of directors of the company may, subject to compliance with the requirements of the company's MOI and the Act, each as presently constituted and as amended from time to time, authorise the company to provide direct or indirect financial assistance by way of a loan, guarantee, the provision of security or otherwise, to:

11.1 any person for the purpose of, or in connection with, the subscription of any option, or any securities, issued or to be issued by the company or a related or inter-related company, or for the purchase of any securities of the company or a related or inter-related company; and/or

11.2 any of its present or future subsidiaries and/or any other company or corporation that is or becomes related to or inter-related with the company for any purpose or in connection with any matter; and/or

11.3 any of the present or future directors or prescribed officers (or any person related to any of them or to any company or entity related or inter-related to any of them), or to any other person who is or may be a participant in any of the Deneb employee share scheme, current or future employee share plans or other incentive schemes, or any share scheme trust or other entity facilitating any such scheme, for the purpose of, or in connection with, the subscription for any option, or any securities, issued or to be issued by the company or a related or inter-related company or entity or for the purchase of any securities of the company or a related or inter-related company, where such financial assistance is provided in terms of any such plan or scheme that does not constitute an employee share scheme that satisfies the requirements of section 97 of the Act."

The financial assistance may be provided at any time during the period commencing on the date of the adoption of this resolution and ending 2 (two) years after such date.

Explanatory note

As part of the normal conduct of the business of the company and its subsidiaries from time to time, the company, where necessary, provides financial assistance to its related and inter-related companies and entities (as contemplated in the Act) including the provision of guarantees and other forms of security to third parties which provide funding to the company's subsidiaries, whether by way of loans, subscribing for shares (including preference shares) or otherwise. In the circumstances and in order to ensure that, among other things, the company and its subsidiaries and other related and inter-related companies and entities continue to have access to, and are able to appropriately structure their financing for purposes of funding their corporate and working capital requirements, it is necessary that the company obtains the approval of shareholders in terms of this special resolution number 4.

The company may furthermore wish to provide financial assistance to its subsidiaries and other related and inter-related companies and corporations including pursuant to the company's employee and other share schemes.

Sections 44 and 45 of the Act provide that the financial assistance required can only be provided pursuant to a special resolution of the shareholders, adopted within the previous 2 (two) years, which resolution must have approved such financial assistance either for the specific recipient or generally for a category of potential recipients (and the specific recipient falls within that category), and the directors must be satisfied that:

- immediately after providing the financial assistance, the company will satisfy the solvency and liquidity test as defined in section 4 of the Act;
- the terms under which the financial assistance is proposed to be given are fair and reasonable to the company; and
- all relevant conditions and restrictions (if any) relating to the granting of financial assistance by the company as contained in the MOI have been met.

The passing of this special resolution number 4 will have the effect of authorising the company to provide direct or indirect financial assistance in accordance with sections 44 and 45 of the Act, for a period of 2 (two) years after the adoption of this resolution.

12. Ordinary resolution number 5: Directors' authority to implement company resolutions

"Resolved that each and every director of the company be and is hereby authorised to do all such things and sign all such documents as may be necessary for or incidental to the implementation of the resolutions passed at this AGM."

13. To transact such other business which may be transacted at an AGM

RECORD DATES, PROXIES AND VOTING

In terms of section 59(1)(a) and (b) of the Act, the board of the company has set the record date for the purpose of determining which shareholders are entitled to:

- receive notice of the AGM (being the date on which a shareholder must be registered in the company's shareholders' register in order to receive notice of the AGM) as Friday, 21 June 2024;
- participate in and vote at the AGM (being the date on which a shareholder must be registered in the company's shareholders' register in order to participate in and vote at the AGM) as Friday, 2 August 2024; and
- the last date to trade to participate in and vote at the AGM is Tuesday, 30 July 2024.

Certificated shareholders or own name dematerialised shareholders may attend and vote at the AGM, or alternatively appoint a proxy to attend, speak and, in respect of the applicable resolution(s), vote in their stead by completing the attached form of proxy and returning it to the transfer secretaries at the address given in the form of proxy by no later than Monday, 5 August 2024.

Shareholders who have dematerialised their shares, other than those shareholders who have dematerialised their shares with own name registration, should contact their Central Securities Depository Participant ("CSDP") or broker in the manner and within the time stipulated in the agreement entered into between them and their CSDP or broker to furnish their voting instructions; or, in the event that they wish to attend the AGM, to obtain the necessary letter of representation to do so.

Certificated shareholders or own name dematerialised shareholders who are entitled to attend and vote at the AGM are entitled to appoint a proxy to attend, participate in and vote at the AGM in their stead. A proxy need not also be a shareholder of the company. The completion of a form of proxy will not preclude a shareholder from attending the AGM.

APPROVALS REQUIRED FOR RESOLUTIONS

Unless otherwise specifically provided in this notice of AGM, for any of the ordinary resolutions to be adopted, 50% (fifty percent) of the voting rights plus 1 (one) vote exercised on each such ordinary resolution must be exercised in favour thereof. For any special resolutions to be adopted, at least 75% (seventy-five percent) of the voting rights exercised on each special resolution must be exercised in favour thereof.

By order of the board

Cheryl Philip
Company secretary

Cape Town
28 June 2024

Form of proxy

DENEB INVESTMENTS LIMITED
Registration number: 2013/091290/06
(Incorporated in the Republic of South Africa)
JSE share code: DNB ISIN: ZAE000197398
("Deneb" or "the Group" or "the company")

I/We, ________________________________ (name in full)

of address ________________________________

being a registered holder of [ ] ordinary shares in Deneb hereby appoint

1. ________________________________ or failing him/her

2. ________________________________ or failing him/her

3. ________________________________ or failing him/her,

the chairperson of the annual general meeting as my/our proxy to attend, speak and vote on my/our behalf at the annual general meeting of the company to be held at 10:30 on Wednesday, 7 August 2024 at the registered office of the Company, 5th Floor, Deneb House, 368 Main Road, Observatory, Cape Town, and via electronic communication and at any adjournment thereof as follows:

Resolution in respect of items of business:

Resolution number	**For**	**Against**	**Abstain**
ORDINARY RESOLUTIONS			
1. Retirement and re-election of directors			
1.1 Mr M H Ahmed			
1.2 Mr T G Govender			
1.3 Ms N B Jappie			
2. Appointment of BDO as the auditor			
3. Re-appointment of audit committee members			
3.1 Mr M H Ahmed			
3.2 Ms N B Jappie			
3.3 Ms K F Mahloma			
4. General authority over authorised but unissued shares			
5. Directors' authority to implement company resolutions			
NON-BINDING ADVISORY VOTES			
1. Advisory endorsement of remuneration policy			
2. Advisory endorsement of remuneration implementation report			
SPECIAL RESOLUTIONS			
1. General authority to issue shares, options and convertible securities for cash			
2. Approval of annual fees to be paid to non-executive directors			
3. General authority to repurchase company shares			
4. Shareholders' general authorisation of financial assistance			

(Indicate instruction to proxy by way of a cross in the space provided above.)

Unless otherwise instructed, my proxy may vote as he/she thinks fit.

Signed this ____________ day of ____________ 2024

Signature ________________________________

Assisted by (where applicable) ________________________________

Please read the notes overleaf

Notes

1. A form of proxy is only to be completed by those shareholders who are:
   - 1.1 holding shares in certificated form; or
   - 1.2 recorded in the sub-register in dematerialised electronic form in “own name”.
2. If you have already dematerialised your ordinary shares through a Central Securities Depository Participant (“CSDP”) or broker, other than with “own name” registration, and wish to attend the annual general meeting, which is to be held at the offices of the company, Deneb Investments Limited, 5th Floor, Deneb House, 368 Main Road, Observatory, Cape Town 7925 and by way of electronic communication, you must request your CSDP or broker to provide you with a letter of representation or you must instruct your CSDP or broker to vote by proxy on your behalf in terms of the agreement entered into between yourself and the CSDP or broker.
3. A member entitled to attend and vote at the annual general meeting is entitled to appoint a proxy to attend, speak and vote in his/her stead. A proxy need not be a member of the company.
4. All voting will be by way of poll. Every person present and entitled to vote at the meeting as a member or as a proxy or as a representative of a body corporate shall have 1 (one) vote for each ordinary share held.
5. Please insert the relevant number of shares/votes and indicate with a cross in the appropriate spaces on the face hereof, how you wish your votes to be cast. If you return this form duly signed without any specific directions, the proxy will vote or abstain from voting at his/her discretion.
6. A deletion of any printed details and the completion of any blank space/s need not be signed or initialled. Any alteration must be initialled.
7. The chairperson of the annual general meeting shall be entitled to decline to accept the authority of the signatory under a power of attorney, or on behalf of a company, unless the power of attorney or authority is produced or has been registered.
8. The signatory may insert the name of any person/s whom the signatory wishes to appoint as his/her proxy, in the blank space/s provided for that purpose.
9. When there are joint holders of shares and if more than one such joint holder is present or represented, then the person whose name stands first in the register in respect of such shares or his/her proxy, as the case may be, shall alone be entitled to vote in respect thereof.
10. A minor should be assisted by his/her parent or legal guardian unless the relevant documents establishing his/her legal capacity are produced or have been registered.
11. The completion and lodging of this proxy form will not preclude the signatory from attending the annual general meeting and speaking and voting in person thereat to the exclusion of any proxy appointed in terms hereof should such signatory wish to do so.
12. A shareholder’s instructions must be indicated by the insertion of a cross or, where applicable, the relevant number of votes exercisable by the shareholder, in the appropriate box of this proxy form.
13. If the signatory does not indicate how he/she wishes to vote in the appropriate place/s on the face hereof in respect of the resolution, his/her proxy shall be entitled to vote as he/she deems fit in respect of the resolutions.
14. If the shareholding is not indicated on the proxy form, the proxy will be deemed to be authorised to vote the total shareholding.
15. The chairperson of the annual general meeting may reject or accept any proxy form which is completed other than in accordance with these instructions, provided that he is satisfied as to the manner in which a shareholder wishes to vote.
16. Forms of proxy will not be accepted unless they have been returned by the shareholders concerned to Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank 2196 (Private Bag X9000, Saxonwold 2132) or e-mailed to proxy@computershare.co.za before the proxy exercises any rights of the shareholder at the meeting.

Corporate information

DENEB INVESTMENTS LIMITED
(Incorporated in the Republic of South Africa)
("Deneb" or "the Group" or "the company")

The company's shares are listed under the Financial Services – Diversified Financial Services.

Registration number:	2013/091290/06
JSE share code:	DNB
ISIN:	ZAE000197398
Income tax registration number:	9844426156
Registered office:	5th Floor, Deneb House, 368 Main Road, Observatory, Cape Town 7925 PO Box 1585, Cape Town 8000
Contact details:	info@deneb.co.za www.deneb.co.za
Directors:	J A Copelyn* (Non-executive Chairperson), M H Ahmed*^ (Lead Independent Director), D Duncan*, T G Govender*, N B Jappie*^, K F Mahloma*^, S A Queen (Chief Executive Officer), Y Shaik*, G D T Wege (Financial Director) (* Non-executive ^ Independent)
Company secretary:	C L Philip
Transfer secretaries:	Computershare Investor Services Proprietary Limited Rosebank Towers, 15 Biermann Avenue, Rosebank 2196 Private Bag X9000, Saxonwold 2132
Auditors:	PricewaterhouseCoopers Inc.
Sponsor:	PSG Capital Proprietary Limited

DENEB

INVESTMENTS LIMITED

5th Floor, Deneb House, Cnr Main and Browning Roads, Observatory, Cape Town 7925 • PO Box 1585, Cape Town 8000

www.deneb.co.za